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China Industrials | Asia Pacific

2026 Outlook – Stock Implications

We are bullish on China Industrials, on the back of AI theme tailwinds, high-end equipment localization and overseas expansion. We prefer **Geekplus**, **Sany Heavy**, **Leaderdrive**, **Han's Laser**, **Inovance**, **Hengli**, **Wuxi Lead**, and **Envicool**.

Automation and general machinery: We see sequential growth recovery for the automation market in 2026-27 at +3-4% y-y, led by: 1) replacement demand kicking in, with possible acceleration from rapid technology iteration; 2) AI and physical AI applications creating new capex demand, such as intelligent robots, PCB equipment, AI wearables and electronics; and 3) advanced equipment manufacturers' enhanced competitiveness in the global market. We prefer **Inovance** for its intact localization story, and **Geekplus** for rising AMR/robotics solution penetration in warehouses and robust orders globally.

Intelligent/humanoid robots: We expect adoption to gradually ramp up, with both suppliers and integrators seeing top-line benefits. We prefer leading players in precision components (**Leaderdrive**, **Hengli**, **Inovance**, **Shuanghuan**) for their advantage in mass production, even if their humanoid-related products are still in development.

Heavy industry: 1) Construction machinery (CM) is entering an improvement cycle, with the domestic recovery continuing along with overseas demand. We prefer **Sany Heavy** and **Jiangsu Hengli**. 2) We expect ~10% y-y decline in heavy-duty truck (HDT) sales to in 2026 to ~1mn units dragged down by the domestic market (-15% y-y) given the 2025 front-loading and 5% NEV purchase tax hike in 2026, however, exports should see decent growth momentum. 3) For railway equipment, we expect MU tenders to slowdown to <200 sets, implying notably slower net profit growth for **CRRC** and **Times Electric**.

New energy equipment: We see LiB equipment demand up 24%/21% in 2026e/27e, respectively, to a historical cyclical high in the next few years, on growing demand, replacement cycle, and solid state battery technology iteration. We prefer **Wuxi Lead**. We have a negative outlook for solar equipment in 2026 as solar capacity turnaround not in sight, while the non-solar order growth and potential new added capacity demand brought by space solar in next decade has been priced in.

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CHINA INDUSTRIALS

Asia Pacific

Industry View

In-Line

See [Exhibit 1](#) for Rating and PT changes

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Stock Rating and Price Target Changes

Exhibit 1: Stock rating and PT summary

Company	Ticker	Rating	Rating	Trading Curr	Price Target		Last Close	Up/Downside %
					Old	New		
Times Electric	3898.HK	OW	EW	HKD	44.0	39.0	41.1	-5%
CRRC-H	1766.HK	EW	UW	HKD	6.4	5.0	6.1	-17%
CRRC-A	601766.SS	EW	UW	HKD	8.4	5.9	6.9	-14%
Leaderdrive	688017.SS	EW	OW	CNY	153.0	269.0	216.4	24%
Han's Laser	002008.SZ	OW	OW	CNY	48.0	57.0	46.6	22%
Hongfa	600885.SS	OW	OW	CNY	34.0	35.0	32.8	7%
Shuanghuan	002472.SZ	OW	OW	CNY	44.0	50.0	46.9	7%
Neway	603699.SS	OW	OW	CNY	51.0	59.0	55.0	7%
Envicool	002837.SZ	OW	OW	CNY	74.0	118.0	96.3	23%
Bochu	688188.SS	OW	OW	CNY	155.0	169.0	159.6	6%
WeiChai - H	2338.HK	EW	EW	HKD	17.0	26.2	24.1	9%
WeiChai - A	000338.SZ	EW	EW	CNY	16.8	23.9	21.6	11%
Sinotruk	3808.HK	EW	EW	HKD	22.4	25.7	30.0	-14%
Hengli Hydraulic	601100.SS	OW	OW	CNY	105.0	133.0	114.9	16%
Zoomlion - H	1157.HK	OW	OW	HKD	7.5	9.1	8.3	9%
Zoomlion - A	000157.SZ	OW	OW	CNY	9.0	10.9	9.0	21%
Maxwell	300751.SZ	UW	UW	CNY	56.0	166.0	253.0	-34%
Autowell	688516.SS	UW	UW	CNY	26.0	41.0	64.7	-37%
SC New Energy	300724.SZ	UW	UW	CNY	79.0	56.0	110.5	-49%

Source: Factset as of January 20, 2026 close, Morgan Stanley Research estimates. Note: Green represents upgrade or PT upward revision. Red represents downgrade or PT downward revision.

Order of Preference

Exhibit 2: Overweight stocks

	Geekplus 2590.HK	Sany 600031.SS	LeaderDrive 688017.SS	Han's Laser 002008.SZ	Inovance 300124.SZ	Hengli 601100.SS	Wuxi Lead 300450.SZ	Hangke 688006.SS	Hongfa 600885.SS	Envicool 002837.SZ	Zoomlion-A 000157.SZ	Zoomlion-H 1157.HK	Shuanghuan 002472.SZ	Dingli 603338.SS	Neway 603699.SS	Bochu 688188.SS
Sub-sector	Automation	CM	Automation	Automation	Automation	CM	LIB Equip.	LIB Equip.	Automation	Others	CM	CM	Automation	CM	Others	Automation
Rating	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight
Trading Currency	HKD	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	HKD	CNY	CNY	CNY	CNY
Price Target	37.0	30.0	269.0	57.0	95.0	133.0	75.0	50.0	35.0	118.0	10.9	9.1	50.0	64.0	59.0	169.0
Current Price	29.2	22.6	216.4	46.6	79.4	114.9	57.7	31.5	32.8	96.3	9.0	8.3	46.9	58.4	55.0	159.6
Upside/(Downside) (%)	27%	33%	24%	22%	20%	16%	30%	59%	7%	23%	21%	9%	7%	10%	7%	6%
Market Cap (in USD mm)	5,008.9	27,445.0	5,245.6	7,115.1	30,513.4	22,120.4	12,979.8	2,730.8	6,871.7	13,506.6	10,853.6	10,853.6	5,706.7	4,245.9	6,071.1	6,592.5
Avg Daily Traded Vol (in USD mm)	12.7	195.4	131.5	153.9	332.4	150.8	331.4	31.3	61.1	375.3	78.1	9.2	127.3	56.5	30.4	34.6
Street View: Ratings																
Buy/Overweight	100%	96%	64%	100%	88%	85%	85%	83%	80%	76%	82%	83%	95%	83%	100%	75%
Hold/Equal-weight	0%	4%	18%	0%	8%	12%	15%	0%	13%	14%	18%	17%	5%	17%	0%	13%
Sell/Underweight	0%	0%	18%	0%	4%	4%	0%	17%	7%	10%	0%	0%	0%	0%	0%	13%
Morgan Stanley Estimates																
FY25e	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY
Sales	3,132	89,596	569	18,274	45,738	10,854	14,631	4,272	16,467	6,164	50,438	50,438	8,959	8,643	7,733	2,204
EBITDA	126	12,496	217	2,034	6,669	3,321	1,958	575	3,697	751	7,338	7,338	2,240	2,168	2,045	1,127
EBIT	88	9,125	101	1,580	5,825	2,786	1,292	458	2,677	705	6,110	6,110	1,445	1,982	1,871	1,081
EPS	0.09	1.01	0.67	1.19	2.00	2.19	0.79	0.94	1.27	0.61	0.56	0.56	1.47	3.63	1.94	3.84
FY26e																
Sales	4,123	103,405	821	22,584	53,242	13,338	20,058	5,801	18,781	10,633	59,656	59,656	10,249	9,986	8,909	2,741
EBITDA	381	16,118	268	2,694	7,823	4,065	3,195	881	4,239	1,654	9,123	9,123	2,521	2,529	2,380	1,439
EBIT	330	12,510	155	2,180	6,912	3,465	2,431	752	3,103	1,600	7,822	7,822	1,652	2,329	2,198	1,381
EPS	0.28	1.29	0.95	1.67	2.32	2.66	1.29	1.42	1.51	1.41	0.68	0.68	1.69	4.28	2.31	4.83
FY25 MSe vs. Consensus Mean																
Sales	-2.2%	0.1%	2.2%	4.3%	-0.2%	1.6%	0.4%	14.8%	-0.2%	-4.0%	-0.2%	0.5%	-4.8%	-0.9%	1.0%	1.7%
EBITDA	2.2%	-4.1%	31.2%	36.8%	5.4%	-4.0%	-7.7%	-13.0%	-4.9%	-7.8%	5.7%	8.4%	-3.4%	-12.1%	-0.4%	-5.6%
EBIT	-8.2%	-6.4%	-2.5%	51.1%	14.2%	-3.1%	-21.8%	-14.1%	-4.3%	-7.1%	15.9%	13.3%	-1.6%	-6.9%	-1.7%	0.0%
EPS	0.8%	2.7%	-1.5%	3.3%	-1.6%	2.3%	-22.8%	3.2%	-5.7%	-8.7%	1.3%	4.9%	0.0%	-8.5%	-1.9%	-4.5%
FY26 MSe vs. Consensus Mean																
Sales	-3.1%	1.0%	7.6%	7.9%	-3.7%	6.4%	8.6%	30.4%	0.2%	8.6%	3.8%	4.5%	-6.6%	2.1%	-0.9%	2.2%
EBITDA	-0.2%	2.2%	17.0%	36.5%	2.7%	-1.7%	8.4%	6.3%	-5.0%	24.0%	9.0%	12.2%	-7.2%	-9.2%	-4.7%	-3.0%
EBIT	-0.7%	1.3%	-0.1%	57.2%	11.0%	-2.1%	-1.7%	11.2%	-5.6%	23.8%	18.5%	17.0%	-6.4%	-2.2%	-1.0%	2.9%
EPS	16.7%	4.3%	-3.0%	7.8%	-4.8%	4.2%	-11.1%	23.2%	-3.8%	24.1%	0.7%	2.5%	-4.6%	-3.0%	-4.6%	-2.8%
Valuation Multiples at Last Close																
FY25e																
P/E	297.4x	22.2x	320.7x	39.3x	39.7x	52.4x	72.7x	33.4x	25.9x	157.5x	16.0x	13.2x	31.9x	16.1x	28.3x	41.6x
EV/EBIT	268.6x	17.9x	337.8x	26.4x	33.9x	49.9x	57.6x	29.3x	17.4x	148.1x	14.8x	14.8x	28.2x	12.2x	21.4x	33.9x
EV/EBITDA	186.3x	13.1x	156.9x	20.5x	29.6x	41.8x	38.0x	23.4x	12.6x	139.1x	12.3x	12.3x	18.2x	11.1x	19.6x	32.5x
EV/Sales	7.5x	1.8x	59.9x	2.3x	4.3x	12.8x	5.1x	3.1x	2.8x	16.9x	1.8x	1.8x	4.5x	2.8x	5.2x	16.6x
FCF Yield	-0.1%	6.0%	-1.2%	0.6%	2.2%	1.2%	4.3%	7.1%	6.8%	-0.1%	-0.3%	-0.3%	1.0%	1.4%	2.2%	2.5%
FY26e																
P/E	92.4x	17.5x	228.5x	27.9x	34.2x	43.2x	44.7x	22.2x	21.7x	68.5x	13.2x	10.9x	27.7x	13.6x	23.8x	33.0x
EV/EBIT	96.7x	14.2x	228.2x	21.9x	29.6x	41.6x	35.3x	19.8x	15.9x	58.9x	11.7x	11.7x	23.7x	9.4x	19.4x	31.3x
EV/EBITDA	83.6x	11.0x	132.1x	17.7x	26.1x	35.5x	26.9x	16.9x	11.7x	56.9x	10.1x	10.1x	15.5x	8.6x	17.9x	30.0x
EV/Sales	7.7x	1.7x	43.1x	2.1x	3.8x	10.8x	4.3x	2.6x	2.6x	8.9x	1.5x	1.5x	3.8x	2.2x	4.8x	15.8x
FCF Yield	0.9%	3.4%	0.4%	1.6%	2.5%	1.6%	1.2%	-0.1%	2.4%	0.0%	7.1%	7.1%	2.3%	11.4%	3.1%	3.2%

Source: Factset as of January 20, 2026 close, Morgan Stanley Research estimates.

Exhibit 3: Equal-weight stocks

	CRG-H	Weichai-A	Weichai-H	CRG-A	Haitian	iRay	Times Electric	Meyer	Sinotruk	CTI	DR Laser
	0390.HK	000338.SZ	2338.HK	601390.SS	1882.HK	688301.SS	3898.HK	002690.SZ	3808.HK	300012.SZ	300776.SZ
Sub-sector	E&C	HDT	HDT	E&C	Automation	Others	Railway	Others	HDT	Others	Solar Equip.
Rating	Equal-Weight	Equal-weight	Equal-weight	Equal-Weight	Equal-Weight	Equal-Weight	Equal-weight	Equal-Weight	Equal-weight	Equal-Weight	Equal-Weight
Trading Currency	HKD	CNY	HKD	CNY	HKD	CNY	HKD	CNY	HKD	CNY	CNY
Price Target	4.6	23.9	26.2	5.8	24.0	110.0	39.0	20.0	25.7	13.0	64.0
Current Price	4.1	21.6	24.1	5.5	23.8	115	41.1	21.8	30.0	16.4	74.4
Upside/(Downside) (%)	12%	11%	9%	5%	1%	-4%	-5%	-8%	-14%	-21%	-14%
Market Cap (in USD mm)	17,972.3	27,053.7	27,053.7	17,972.3	4,852.9	3,200.4	7,035.4	2,782.3	10,180.5	3,510.3	2,827.5
Avg Daily Traded Vol (in USD mm)	12.5	175.2	28.2	75.0	6.4	33.7	14.4	19.4	11.9	56.1	41.9
Street View: Ratings											
Buy/Overweight											
Hold/Equal-weight	0%	6%	14%	0%	0%	17%	9%	33%	13%	11%	0%
Sell/Underweight	0%	0%	0%	0%	0%	0%	0%	0%	13%	0%	0%
Morgan Stanley Estimates											
FY25e	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY
Sales	1,159,561	222,615	222,615	1,159,561	17,599	2,123	28,796	2,608	112,580	6,659	2,513
EBITDA	65,899	27,451	27,451	65,899	4,375	670	5,487	747	10,765	1,909	813
EBIT	53,611	16,157	16,157	53,611	3,897	455	4,304	718	8,731	1,502	813
EPS	1.12	1.35	1.35	1.12	2.10	3	2.92	0.84	2.49	0.60	2.56
FY26e											
Sales	1,179,319	227,047	227,047	1,179,319	18,612	2,623	31,637	2,929	109,810	7,282	3,199
EBITDA	69,205	31,150	31,150	69,205	4,636	823	6,030	871	11,189	2,118	935
EBIT	56,046	18,858	18,858	56,046	4,114	563	4,683	840	8,971	1,661	935
EPS	1.16	1.53	1.53	1.16	2.23	4	3.13	0.97	2.57	0.67	3.15
FY25 MSe vs. Consensus Mean											
Sales	2.0%	-4.5%	-3.2%	2.0%	-1.6%	-1.7%	1.3%	2.9%	4.1%	0.4%	2.1%
EBITDA	14.4%	-2.1%	-5.5%	15.6%	1.1%	-24.3%	-4.2%	-4.0%	5.0%	14.7%	2.2%
EBIT	28.9%	-3.3%	-8.3%	22.8%	1.3%	-16.0%	-1.4%	0.9%	4.1%	29.9%	7.4%
EPS	10.9%	-6.3%	-6.9%	7.7%	-2.5%	-3.5%	-2.4%	0.3%	0.8%	-2.7%	4.8%
FY26 MSe vs. Consensus Mean											
Sales	1.8%	-8.7%	-6.9%	1.2%	-2.9%	-11.6%	-1.6%	4.4%	-7.3%	-0.9%	12.4%
EBITDA	12.9%	-3.4%	-4.8%	13.1%	-1.3%	-30.8%	-6.8%	-0.5%	-2.9%	12.8%	11.6%
EBIT	28.4%	-8.7%	-7.9%	19.1%	-0.1%	-14.8%	-4.4%	3.7%	-6.0%	24.7%	8.3%
EPS	10.9%	-7.8%	-7.8%	6.8%	-3.5%	-6.7%	-6.8%	3.6%	-8.4%	-4.9%	17.7%
Valuation Multiples at Last Close											
FY25e											
P/E	3.2x	16.0x	15.9x	4.9x	10.1x	37.8x	11.9x	26.3x	10.3x	24.5x	28.2x
EV/EBIT	11.4x	7.8x	7.8x	11.4x	6.3x	44.9x	9.9x	23.1x	7.3x	14.5x	20.4x
EV/EBITDA	9.3x	4.6x	4.6x	9.3x	5.6x	30.5x	7.7x	22.2x	5.9x	11.4x	20.4x
EV/Sales	0.5x	0.6x	0.6x	0.5x	1.4x	9.6x	1.5x	6.4x	0.6x	3.3x	6.6x
FCF Yield	-30.3%	6.3%	6.3%	-30.3%	7.0%	-0.5%	-1.8%	3.8%	15.6%	2.8%	-0.7%
FY26e											
P/E	3.1x	14.1x	14.1x	4.7x	9.5x	31.6x	11.1x	22.7x	10.0x	21.9x	22.9x
EV/EBIT	11.8x	8.4x	8.4x	11.8x	6.1x	39.8x	9.5x	21.3x	7.1x	13.8x	20.8x
EV/EBITDA	9.5x	5.1x	5.1x	9.5x	5.4x	27.2x	7.4x	20.5x	5.7x	10.8x	20.8x
EV/Sales	0.6x	0.7x	0.7x	0.6x	1.4x	8.5x	1.4x	6.1x	0.6x	3.1x	6.1x
FCF Yield	-10.5%	7.2%	7.2%	-10.5%	8.6%	0.4%	0.8%	4.4%	11.4%	2.7%	-0.5%

Source: Factset as of January 20, 2026 close, Morgan Stanley Research estimates.

Exhibit 4: Underweight stocks

	CSCEC 601668.SS	CRR-C-A 601766.SS	CRR-C-H 1766.HK	Estun 002747.SZ	Maxwell 300751.SZ	Guomao 603915.SS	Autowell 688516.SS	SC New Energy 300724.SZ	JSG 300316.SZ
Sub-sector	E&C	Railway	Railway	Automation	Solar Equip.	Automation	Solar Equip.	Solar Equip.	Solar Equip.
Rating	Underweight	Underweight	Underweight	Underweight	Underweight	Underweight	Underweight	Underweight	Underweight
Trading Currency	CNY	CNY	HKD	CNY	CNY	CNY	CNY	CNY	CNY
Price Target	4.7	5.9	5.0	19.0	166.0	13.0	41.0	56.0	19.0
Current Price	5.1	6.9	6.1	25.2	253.0	18.4	64.7	110.5	41.5
Upside/(Downside) (%)	-9%	-14%	-17%	-25%	-34%	-29%	-37%	-49%	-54%
Market Cap (in USD mm)	29,769.9	25,982.4	25,982.4	3,084.8	8,846.6	1,649.4	2,705.0	5,812.9	7,245.3
Avg Daily Traded Vol (in USD mm)	158.3	95.6	13.9	102.4	91.3	41.5	35.8	157.9	89.6
Street View: Ratings									
Buy/Overweight	100%	100%	80%	0%	75%	100%	100%	67%	63%
Hold/Equal-weight	0%	0%	20%	44%	13%	0%	0%	11%	38%
Sell/Underweight	0%	0%	0%	56%	13%	0%	0%	22%	0%
Morgan Stanley Estimates									
FY25e	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY
Sales	2,201,793	290,261	290,261	4,897	8,076	2,642	6,562	17,438	10,432
EBITDA	112,229	27,392	27,392	301	1,353	418	1,414	3,612	1,111
EBIT	101,224	18,325	18,325	81	535	245	1,325	3,497	111
EPS	1.14	0.58	0.58	0.07	2.45	0.40	1.59	9.68	0.35
FY26e									
Sales	2,215,090	283,519	283,519	5,711	7,328	2,754	5,510	6,377	7,541
EBITDA	116,868	27,423	27,423	436	1,232	470	1,109	429	374
EBIT	105,603	17,758	17,758	188	448	277	1,006	338	(670)
EPS	1.18	0.55	0.55	0.23	2.19	0.47	0.58	1.43	(0.22)
FY25 MSe vs. Consensus Mean									
Sales	-2.1%	5.9%	9.7%	-3.4%	-15.0%	-3.2%	0.1%	5.5%	-18.7%
EBITDA	-6.8%	1.1%	-0.6%	-13.4%	-1.0%	-7.6%	28.8%	8.0%	-47.9%
EBIT	-6.4%	-0.6%	-3.2%	-36.8%	-55.1%	-9.4%	31.1%	-0.5%	-92.9%
EPS	-0.7%	12.0%	12.6%	-3.5%	-22.3%	-8.8%	-13.9%	14.2%	-62.7%
FY26 MSe vs. Consensus Mean									
Sales	-4.0%	-1.9%	-0.3%	-3.9%	-19.1%	-11.5%	-2.2%	-29.6%	-36.4%
EBITDA	-7.1%	-4.4%	-5.6%	-15.8%	-2.0%	-9.7%	8.0%	-77.7%	-83.5%
EBIT	-6.5%	-10.3%	-11.8%	-37.1%	-45.7%	-15.4%	17.9%	-83.3%	-140.4%
EPS	-1.5%	-2.0%	-1.3%	-12.2%	-27.8%	-8.5%	-69.7%	-70.9%	-123.1%
Valuation Multiples at Last Close									
FY25e									
P/E	4.5x	11.9x	9.3x	342.1x	90.2x	43.5x	37.6x	12.0x	110.2x
EV/EBIT	8.8x	9.7x	9.7x	295.6x	108.2x	39.3x	10.5x	8.4x	433.9x
EV/EBITDA	8.0x	6.5x	6.5x	79.7x	42.8x	23.0x	9.8x	8.1x	43.2x
EV/Sales	0.4x	0.6x	0.6x	4.9x	7.2x	3.6x	2.1x	1.7x	4.6x
FCF Yield	-11.8%	8.0%	8.0%	-1.3%	-1.5%	1.7%	7.0%	0.8%	0.2%
FY26e									
P/E	4.3x	12.6x	9.8x	107.2x	101.0x	36.8x	102.6x	81.7x	-173.5x
EV/EBIT	9.1x	9.5x	9.5x	136.0x	140.1x	32.0x	17.9x	103.7x	-75.1x
EV/EBITDA	8.2x	6.2x	6.2x	58.5x	51.0x	18.9x	16.3x	81.7x	134.6x
EV/Sales	0.4x	0.6x	0.6x	4.5x	8.6x	3.2x	3.3x	5.5x	6.7x
FCF Yield	-14.0%	6.9%	6.9%	-1.2%	1.7%	3.2%	6.1%	4.8%	0.6%

Source: Factset as of January 20, 2026 close, Morgan Stanley Research estimates.

Valuation Comps

Exhibit 5: Valuation Comps

Ticker	Company Name	MS Rating	Trading Curr	Last close 1/20/26	Mkt Cap US\$ (mn)	EPS Growth (%)		P/E (x)		P/B (x)		P/S (x)		EV/EBITDA (x)		ROE (%)	
						2025E	2026E	2025E	2026E	2025E	2026E	2025E	2026E	2025E	2026E	2025E	2026E
China Infrastructure Construction																	
601668.SS	CSCEC	UW	CNY	5.1	29,986	1%	3%	4.5x	4.4x	0.4x	0.4x	0.1x	0.1x	8.0x	8.2x	10%	9%
0390.HK	CRG-H	EW	HKD	4.1	18,316	-1%	4%	3.6x	3.5x	0.2x	0.2x	0.1x	0.1x	9.3x	9.5x	8%	7%
601390.SS	CRG-A	EW	CNY	5.5	18,316	-1%	4%	4.9x	4.8x	0.4x	0.3x	0.1x	0.1x	9.3x	9.5x	8%	7%
Peers Average						-1%	3%	4.4x	4.2x	0.3x	0.3x	0.1x	0.1x	8.8x	9.1x	8%	8%
Traditional Industrial Equipment																	
1766.HK	CRRC-H	UW	HKD	6.1	26,101	34%	-5%	10.5x	11.0x	0.9x	0.8x	0.7x	0.7x	6.5x	6.2x	10%	9%
601766.SS	CRRC-A	UW	CNY	6.9	26,101	34%	-5%	11.9x	12.6x	1.1x	1.1x	0.6x	0.6x	6.5x	6.2x	10%	9%
000338.SZ	Weichai Power-A	EW	CNY	21.6	27,054	10%	12%	15.0x	13.4x	1.6x	1.9x	0.8x	0.8x	4.6x	5.1x	13%	14%
2338.HK	Weichai Power-H	EW	HKD	24.1	27,054	10%	12%	16.7x	14.9x	1.6x	1.9x	0.9x	0.9x	4.6x	5.1x	13%	14%
600031.SS	Sany	OW	CNY	22.6	27,445	44%	27%	22.2x	17.5x	2.4x	2.3x	2.1x	1.8x	13.1x	11.0x	12%	14%
601100.SS	Hengli	OW	CNY	114.9	22,120	17%	21%	52.4x	43.2x	8.4x	7.8x	14.7x	12.9x	43.0x	38.4x	17%	18%
1157.HK	Zoomlion-H	OW	HKD	8.3	10,854	39%	21%	14.8x	12.3x	1.0x	1.0x	1.7x	1.6x	13.8x	11.7x	8%	8%
000157.SZ	Zoomlion-A	OW	CNY	9.0	10,854	39%	21%	16.0x	13.2x	1.2x	1.2x	1.5x	1.4x	13.8x	11.7x	8%	8%
3808.HK	Sinotruk	EW	HKD	30.0	10,625	17%	3%	12.0x	11.7x	1.5x	1.5x	0.8x	0.7x	6.5x	6.0x	15%	15%
603338.SS	Dingli	OW	CNY	58.4	4,246	13%	18%	16.1x	13.6x	2.5x	2.2x	3.4x	3.0x	11.1x	8.6x	17%	18%
3898.HK	Times Electric	EW	HKD	41.1	7,466	11%	7%	14.1x	13.1x	1.1x	1.1x	2.0x	1.7x	7.6x	7.4x	10%	10%
1882.HK	Haitian	EW	HKD	23.8	4,876	9%	6%	11.4x	10.7x	1.4x	1.3x	2.2x	2.0x	5.6x	5.5x	15%	15%
603915.SS	Guomao	UW	CNY	18.4	1,742	-9%	18%	45.8x	38.8x	3.2x	3.1x	4.6x	4.4x	23.0x	20.2x	7%	8%
Peers Average						21%	12%	19.9x	17.4x	2.1x	2.1x	2.8x	2.5x	12.3x	11.0x	12%	12%
Advanced manufacturing																	
300124.SZ	Inovance	OW	CNY	79.4	30,513	25%	16%	39.7x	34.2x	6.3x	5.8x	4.6x	3.9x	29.2x	25.1x	18%	19%
600885.SS	Hongfa	OW	CNY	32.8	6,872	-18%	19%	25.9x	21.7x	3.9x	3.5x	3.1x	2.8x	12.9x	12.1x	17%	17%
300012.SZ	Centre Testing	EW	CNY	16.4	3,943	9%	12%	27.5x	24.6x	2.9x	3.2x	4.1x	3.8x	11.4x	12.2x	14%	14%
688017.SZ	Leader Drive	OW	CNY	216.4	5,246	103%	40%	320.7x	228.5x	9.3x	10.2x	68.2x	52.9x	155.3x	160.4x	3%	3%
002008.SZ	Han's Laser	OW	CNY	46.6	7,115	-26%	41%	39.3x	27.9x	2.6x	2.7x	2.9x	2.4x	22.7x	21.0x	6%	8%
002472.SZ	Shuanghuan	OW	CNY	46.9	5,707	21%	15%	31.9x	27.7x	3.9x	3.3x	4.4x	4.0x	18.2x	15.8x	13%	12%
688301.SS	iRay	EW	CNY	115.5	3,321	-9%	20%	39.2x	32.7x	3.8x	3.9x	10.6x	8.7x	30.5x	28.2x	12%	13%
002690.SZ	Meyer	EW	CNY	21.8	2,762	14%	16%	26.1x	22.5x	6.4x	6.7x	7.4x	6.6x	22.2x	20.4x	26%	30%
002747.SZ	Estun	UW	CNY	25.2	3,143	-108%	219%	348.0x	109.1x	11.2x	11.5x	4.4x	3.8x	77.5x	67.2x	4%	6%
688188.SS	Bochu	OW	CNY	159.6	6,593	-11%	26%	41.6x	33.0x	6.7x	7.3x	21.1x	17.0x	32.5x	30.0x	20%	23%
002837.SZ	Envicool	OW	CNY	96.3	13,384	1%	103%	138.7x	68.5x	31.0x	23.8x	14.6x	11.1x	133.0x	87.0x	20%	24%
2590.HK	Geekplus	OW	HKD	29.2	5,009	-112%	222%	332.9x	103.4x	7.9x	9.4x	9.5x	7.3x	186.3x	83.6x	3%	11%
Peers Average						0%	48%	98.1x	57.3x	8.0x	7.5x	13.2x	10.6x	49.6x	43.6x	14%	15%
New Energy Equipment																	
300316.SZ	JSG	UW	CNY	41.5	7,812	-82%	-164%	118.7x	-186.9x	2.9x	3.3x	5.4x	6.8x	84.6x	91.9x	0%	-1%
300751.SZ	Maxwell	UW	CNY	253.0	10,151	-26%	-11%	103.3x	115.8x	7.3x	9.1x	9.5x	11.3x	69.6x	466.7x	6%	-2%
300724.SZ	SC New Energy	UW	CNY	110.5	5,516	22%	-85%	11.4x	77.4x	2.6x	2.8x	3.1x	3.7x	16.3x	34.2x	16%	8%
300776.SZ	DR Laser	EW	CNY	74.4	2,918	33%	23%	29.0x	23.6x	4.1x	4.0x	8.1x	6.4x	20.4x	21.4x	18%	19%
688516.SS	Autowell	UW	CNY	64.7	2,927	-66%	-63%	40.7x	110.8x	3.4x	5.0x	3.2x	4.2x	11.1x	22.7x	4%	-3%
300450.SZ	Wuxi Lead	OW	CNY	57.7	12,980	398%	62%	72.7x	44.7x	6.0x	6.1x	6.2x	4.5x	35.0x	26.9x	12%	15%
688006.SS	Hangke	OW	CNY	31.5	2,731	74%	51%	33.4x	22.2x	3.1x	3.0x	4.5x	3.3x	23.4x	16.9x	10%	14%
Peers Average						50%	-27%	58.5x	29.7x	4.2x	4.8x	5.7x	5.7x	37.2x	97.2x	10%	7%

Source: Factset as of January 20 close, Morgan Stanley Research estimates.

Valuation and Changes

Automation and General Machinery

Inovance (300124.SZ): Reiterate OW; PT unchanged

Our net profit estimates for 2025 are largely unchanged but we're trimming 2026-27 by 3-5% to reflect lower NEV sales expectations. We change our valuation methodology from P/E only to an SOTP comprised of P/E + P/S, after the listing of Inovance's subsidiary, Inovance Automotive, in September 2025. For the business excluding NEV powertrain, we continue to use 35x 2026e P/E to derive a value of ~Rmb170bn. For NEV powertrain, we base our valuation on its market cap and Inovance's stake. In addition, we estimate its humanoid robots business will generate revenue of ~Rmb5bn when global humanoid sales reach 1mn units. We use 6x Rmb5bn revenue (previously 5x), given the company's smooth launch and progress in product R&D. Combining these values, our PT is unchanged at Rmb95.

Exhibit 6: Estimate revisions

Rmb mn	2024A	2025E			2026E			2027E		
		New	Old	Chg%	New	Old	Chg%	New	Old	Chg%
Revenues	37,041	45,738	46,174	-1%	53,242	54,813	-3%	62,623	64,014	-2%
General Automation	14,143	16,996	16,527	3%	19,872	19,027	4%	22,838	21,743	5%
Elevator	4,939	4,953	4,953	0%	5,102	5,102	0%	5,292	5,292	0%
New Energy Vehicle	16,178	21,754	22,713	-4%	26,000	28,479	-9%	31,885	34,380	-7%
Railway	560	566	566	0%	566	566	0%	566	566	0%
Industrial Robot	1,100	1,210	1,155	5%	1,392	1,328	5%	1,670	1,660	1%
Gross Profit	10,632	12,833	12,937	-1%	14,857	15,370	-3%	17,393	17,972	-3%
Selling exp	1,481	1,621	1,637	-1%	1,887	1,943	-3%	2,157	2,205	-2%
G&A exp	4,688	5,788	5,843	-1%	6,525	6,718	-3%	7,600	7,705	-1%
Operating Profit	4,911	5,825	5,909	-1%	6,912	7,245	-5%	8,186	8,688	-6%
Net Profit	4,285	5,358	5,367	0%	6,208	6,432	-3%	7,388	7,742	-5%
EPS	1.60	2.00	2.00	0%	2.32	2.40	-3%	2.76	2.89	-5%
GPM	28.7%	28.1%	28.0%	0.0%	27.9%	28.0%	-0.1%	27.8%	28.1%	-0.3%
Selling exp as % of Revenue	4.0%	3.5%	3.5%	0.0%	3.5%	3.5%	0.0%	3.4%	3.4%	0.0%
G&A exp as % of Revenue	12.7%	12.7%	12.7%	0.0%	12.3%	12.3%	0.0%	12.1%	12.0%	0.1%
OPM	13.3%	12.7%	12.8%	-0.1%	13.0%	13.2%	-0.2%	13.1%	13.6%	-0.5%
NPM	11.6%	11.7%	11.6%	0.1%	11.7%	11.7%	-0.1%	11.8%	12.1%	-0.3%

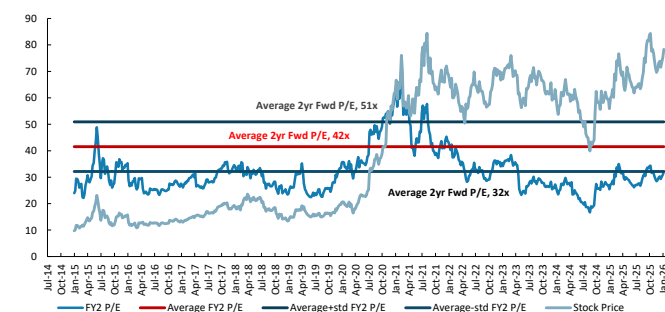
Source: Morgan Stanley Research (E) estimates

Exhibit 7: Valuation methodology - SOTP

Rmb mn	2024	2025e	2026e	2027e
Business excl. NEV powertrain				
NP (Rmb mn)	3,507	4,261	4,880	5,658
-Y-Y		21%	15%	16%
Target P/E			35	
Equity value			170,810	
NEV powertrain				
Market Capitalization			66,400	
Inovance's share			83.2%	
Equity value			55,225	
Humanoid business				
Sales (Rmb mn) when global humanoid robots sales at 1mn units			4,860	
PS multiple			6	
Equity Value (Rmb mn)			29,160	
Total Equity Value			255,195	
Shares Outstanding			2,677	
Equity value per share (Rmb)			95	

Source: Morgan Stanley Research (E) estimates

Exhibit 8: P/E band



Source: FactSet, Morgan Stanley Research

Estun (002747.SZ): Remain UW; PT unchanged at Rmb19

We cut our 2025 net profit estimates by 10% to reflect the 3Q25 actual results, but raise our 2026-27 estimates by a considerable 92%/83%, respectively, to factor in our elevated expectations for SG&A and financial cost control. We use SOTP to value the company for its existing business; we continue to use 60x 2026e P/E (unchanged) to derive our core business valuation of Rmb14 per share (up from Rmb7). This is in line with its 8-year average FY2 P/E of 60x. For the humanoid business, we use 15x (10x previously) on ~Rmb2bn in sales with global humanoid robots sales at 1mn units. We view this as good progress so far, but it is still below other core humanoid OEMs like Ubtech and Dobot who are trading at ~20x P/S on average. We think the difference is due to Estun's smaller scale and market share. After reflecting Estun's 14% stake in CODROID (which we didn't reflect previously), we derive Rmb5 per share for the humanoid business. Combining both these values, our PT is unchanged at Rmb19.

Exhibit 9: Estimate revisions

	2024	2025E			2026E			2027E		
		New	Old	Chg%	New	Old	Chg%	New	Old	Chg%
Revenue										
Industrial robot	3,032	3,921	3,891	1%	4,657	4,547	2%	5,457	5,208	5%
Automation components	976	976	1,074	-9%	1,054	1,160	-9%	1,107	1,253	-12%
Total	4,009	4,897	4,965	-1%	5,711	5,707	0%	6,564	6,460	2%
Gross Profit										
Selling expenses	446	411	412	0%	457	457	0%	505	510	-1%
G&A expenses	971	857	919	-7%	988	1,050	-6%	1,122	1,169	-4%
Operating Profit	(721)	81	89	-9%	188	137	37%	259	190	36%
Net Profit	(810)	63	70	-10%	201	105	92%	248	136	83%
EPS	(0.93)	0.07	0.08	-10%	0.23	0.12	92%	0.28	0.16	83%
Gross Margin										
SG&A expense % revenue	35.3%	25.9%	26.8%	-0.9%	25.3%	26.4%	-1.1%	24.8%	26.0%	-1.2%
Operating Margin	-18.0%	1.7%	1.8%	-0.1%	3.3%	2.4%	0.9%	3.9%	2.9%	1.0%
Net Margin	-20.2%	1.3%	1.4%	-0.1%	3.5%	1.8%	1.7%	3.8%	2.1%	1.7%

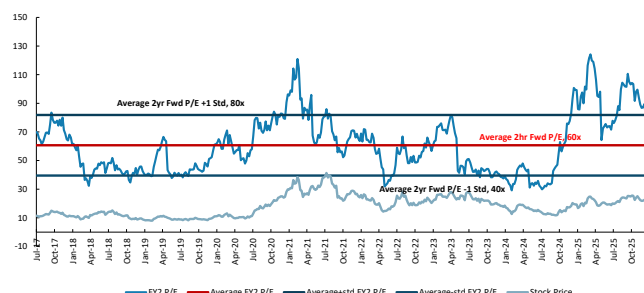
Source: Morgan Stanley Research (E) estimates

Exhibit 10: Valuation methodology

	2024	2025E	2026E	2027E
Core Business				
Net profit (Rmb mn)	(810)	63	201	248
% YoY	N.M	N.M	219%	23%
EPS (Rmb)	(0.93)	0.07	0.23	0.28
PE multiple			60	
Implied PEG (forward year)			2.6	
Equity Value (Rmb mn)			12,040	
Equity value per share (Rmb)			14	
Humanoid Business				
Revenue (Rmb mn) when global humanoid robots sales at 1mn units			2,165	
PS multiple			15	
Estun's stake in CODROID			14%	
Equity Value (Rmb mn)			4,546	
Equity value per share (Rmb)			5	
Total equity value (Rmb mn)			16,587	
Price Target (Rmb)			19	

Source: Morgan Stanley Research (E) estimates

Exhibit 11: P/E band



Source: FactSet, Morgan Stanley Research

Shuanghuan (002472.SZ): Reiterate OW; lift PT to Rmb50

We raise our revenue forecast by 0%/3%/5% for 2025e/26e/27e, respectively, to factor in 3Q25 performance. We remain positive on Shuanghuan's NEV gears business into 2026/27 amid decelerating domestic NEV sales (forecast by our autos team), due to share gains at domestic OEMs (such as Chery and Changan) and a production ramp-up at Hungary plants, as well as higher penetration for its high value coaxial gearbox. We raise our net profit forecasts by 2%/4%/7% for 2025e/26e/27e, respectively. We apply a 25x 2026e P/E (previously 23x) for the core business, which is in line with the company's 5-year average FY1 P/E multiple, considering the sustained growth across business lines. In addition, we estimate its humanoid robots business will generate revenue of ~Rmb1.1bn when global humanoid sales reach 1mn units. We use 6x P/S multiple (previously 5x) on Rmb1.1bn sales, considering a longer application timeline for new reducers but higher growth potential. Therefore, we lift our PT to Rmb50 (from Rmb44). We like Shuanghuan for its strong growth and margin in its NEV gears and other core businesses with a humanoid option value.

Exhibit 12: Revision Summary

	2024A			2025E			2026E				2027E			
Revenue (Rmb mn)	Actual	YoY	New	Old	Chg%	YoY	New	Old	Chg%	YoY	New	Old	Chg%	YoY
Passenger vehicle gear	5,325	26%	5,776	5,772	0%	8%	6,529	6,314	3%	13%	7,663	7,176	7%	17%
Commercial vehicle gear	722	-18%	665	672	-1%	-8%	692	699	-1%	4%	748	756	-1%	8%
Construction machinery gear	580	-10%	638	638	0%	10%	702	670	5%	10%	758	703	8%	8%
Reducer and others	656	18%	787	787	0%	20%	876	855	2%	11%	990	919	8%	13%
Other gears	867	48%	1,093	1,125	-3%	26%	1,451	1,451	0%	33%	1,824	1,824	0%	26%
Steel sales	632	-46%	-	-	-	-100%	-	-	-	0%	-	-	-	-
Total Revenue	8,781	9%	8,959	8,993	0%	2%	10,249	9,988	3%	14%	11,983	11,379	5%	17%
Gross Profit	2,196	22%	2,447	2,455	0%	11%	2,798	2,738	2%	14%	3,293	3,135	5%	18%
Selling Expense	(86)	5%	(95)	(95)	0%	10%	(103)	(101)	3%	9%	(121)	(115)	5%	17%
G&A Expense	(806)	13%	(854)	(857)	0%	6%	(981)	(957)	3%	15%	(1,132)	(1,077)	5%	15%
Operating Profit	1,249	31%	1,445	1,448	0%	16%	1,652	1,620	2%	14%	1,969	1,876	5%	19%
Net Profit	1,024	25%	1,247	1,227	2%	22%	1,435	1,373	4%	15%	1,709	1,604	7%	19%
	27.0%													
Basic EPS (Rmb)	1.22	26%	1.47	1.45	2%	21%	1.69	1.62	4%	15%	2.02	1.89	7%	19%
Margin														
Gross Margin	25.0%	2.8%	27.3%	27.3%	0.0%	2.3%	27.3%	27.4%	-0.1%	0.0%	27.5%	27.6%	-0.1%	0.2%
Selling Expense / Revenue	1.0%	0.0%	1.1%	1.1%	0.0%	0.1%	1.0%	1.0%	0.0%	0.0%	1.0%	1.0%	0.0%	0.0%
G&A Expense / Revenue	9.2%	0.3%	9.5%	9.5%	0.0%	0.4%	9.6%	9.6%	0.0%	0.0%	9.4%	9.5%	0.0%	-0.1%
Operating Margin	14.2%	2.4%	16.1%	16.1%	0.0%	1.9%	16.1%	16.2%	-0.1%	0.0%	16.4%	16.5%	-0.1%	0.3%
Net Margin	11.7%	1.5%	13.9%	13.6%	0.3%	2.3%	14.0%	13.8%	0.2%	0.1%	14.3%	14.1%	0.2%	0.3%

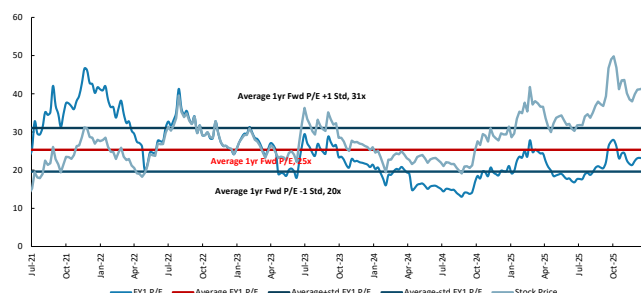
Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 13: Valuation Methodology

(in Rmb'mn, unless specified)	2024A	2025E	2026E	2027E
Core business				
Net profit	1,024	1,251	1,439	1,714
% YoY	27%	22%	15%	19%
EPS (Rmb)	1.21	1.48	1.70	2.02
PE multiple			25.0x	
Equity Value			35,978	
Equity price (Rmb per share)			42	
Humanoid business				
Revenue when global sales at 1mn units			1,101	
PS multiple			6.0x	
Equity Value (Rmb mn)			6,606	
Equity price (Rmb per share)			8	
Total Equity Value (Rmb mn)			42,584	
Price Target (Rmb)			50	

Source: Morgan Stanley Research (E) estimates

Exhibit 14: P/E Band



Source: Factset, Morgan Stanley Research

Hongfa (600885.SS): Reiterate OW; lift PT to Rmb35

We lift our revenue forecasts for Hongfa by 6%/9%/10% for 2025e/26e/27e, respectively, to reflect its strong near-term orders across new energy, industrials, signals, NEV, and auto relays. It is also showing strong prospects in AI data centre and energy storage systems. However, we expect near term margin pressure due to the recent surge in raw material prices (silver surged 56% and copper rose 17% in 4Q25). Consequently, we raise our net profit forecasts by 2%/5%/10% for 2025e/26e/27e, respectively. Our new PT of Rmb35 is based on a 2026e P/E multiple of 23x (unchanged), which is in-line with the 10-year average P/E. We think this is appropriate, considering Hongfa's sustained stable growth prospects with contributions from new non-relay products. Reiterate OW.

Exhibit 15: Revision Summary

	2024A			2025E				2026E				2027E						
	Actual	YoY	%chg	New	Old	Chg%	YoY	%chg	New	Old	Chg%	YoY	%chg	New	Old	Chg%	YoY	%chg
Revenue																		
Relays	12,701	9%		14,879	14,023	6%	17%		16,900	15,431	10%	14%		18,723	16,903	11%	11%	
General Relays	4,037	-2%		4,630	4,579	1%	15%		5,036	4,880	3%	9%		5,336	5,168	3%	6%	
Signal Relays	627	16%		777	752	3%	24%		824	813	1%	6%		849	861	-1%	3%	
Industrial Relays	701	1%		922	855	8%	32%		996	907	10%	8%		1,045	943	11%	5%	
Automotive Relays	5,373	25%		6,984	6,388	9%	30%		8,391	7,281	15%	20%		9,726	8,208	18%	16%	
Power Repays	1,983	16%		2,181	2,062	6%	10%		2,269	2,165	5%	4%		2,382	2,339	2%	5%	
Electrical Products	792	-3%		855	831	3%	8%		940	914	3%	10%		1,053	1,051	0%	12%	
Other	46	-12%		56	53	4%	20%		61	59	4%	10%		67	64	4%	10%	
Other non-relay business	564	40%		677	677	0%	20%		880	880	0%	30%		1,144	1,144	0%	30%	
Total	14,102	9%		16,467	15,584	6%	17%		18,781	17,284	9%	14%		20,987	19,163	10%	12%	
Gross Profit	5,106	7%		5,875	5,665	4%	15%		6,705	6,336	6%	14%		7,539	7,013	7%	12%	
Selling expenses	518	7%		583	573	2%	12%		646	635	2%	11%		701	705	-1%	8%	
G&A expenses	2,220	18%		2,489	2,387	4%	12%		2,811	2,648	6%	13%		3,110	2,935	6%	11%	
Operating Profit	2,259	-2%		2,677	2,585	4%	18%		3,103	2,920	6%	16%		3,567	3,226	11%	15%	
Net Profit	1,631	17%		1,850	1,812	2%	13%		2,200	2,102	5%	19%		2,569	2,342	10%	17%	
EPS	1.56	17%		1.27	1.24	2%	-19%		1.51	1.44	5%	19%		1.76	1.60	10%	17%	
Gross Margin	36.2%	-1%		35.7%	36.4%	-0.7%	-1%		35.7%	36.7%	-1.0%	0%		35.9%	36.6%	-0.7%	0%	
Selling exp as % of Rev	3.7%	0%		3.5%	3.7%	-0.1%	0%		3.4%	3.7%	-0.2%	0%		3.3%	3.7%	-0.3%	0%	
G&A as % of Rev	15.7%	1%		15.1%	15.3%	-0.2%	-1%		15.0%	15.3%	-0.4%	0%		14.8%	15.3%	-0.5%	0%	
Operating Margin	16.0%	-2%		16.3%	16.6%	-0.3%	0%		16.5%	16.9%	-0.4%	0%		17.0%	16.8%	0.2%	0%	
Net Margin	11.6%	1%		11.2%	11.6%	-0.4%	0%		11.7%	12.2%	-0.4%	0%		12.2%	12.2%	0.0%	1%	

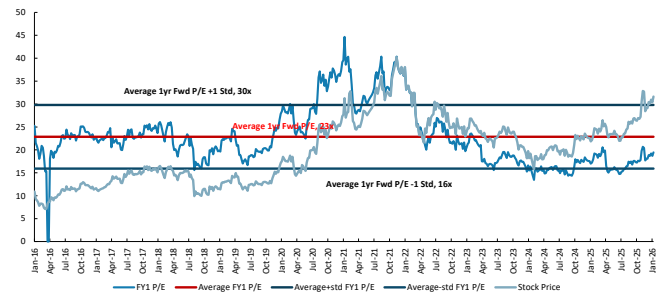
Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 16: Valuation methodology

	2024A	2025E	2026E	2027E
Net profit (Rmbmn)	1,631	1,850	2,200	2,569
% YoY	17%	13%	19%	17%
% 3yr CAGR				
EPS (Rmb)	1.56	1.27	1.51	1.76
PE multiple			23.0x	
Implied PEG (forward year)			1.2	
Equity Value (Rmb mn)			50,604	
Price Target (Rmb)			35.0	

Source: Morgan Stanley Research (E) estimates

Exhibit 17: P/E Band



Source: Factset, Morgan Stanley Research

Leaderdrive (688017.SS): Well-positioned to capture structural robotics tailwind beyond humanoid; upgrade to OW, lift PT to Rmb269

Lifting earnings estimates: We lift our revenue forecasts by 8%/19%/28% for 2025e/26e/27e, respectively, to factor in the strong 3Q25 results, sustained growth in industrial robots (especially cobots, in which Leaderdrive has a high market share). We also update Leaderdrive's humanoid business forecasts based on the latest MS Global Robot and Component Forecasts. As its scale ramps up, we see room for margin expansion. As a result, we raise our net profit forecasts by 22%/49%/68% for 2025e/26e/27e, respectively.

Changing valuation methodology to DCF to factor in long term potential: Following the launch of [Morgan Stanley's Global Robot Model](#), we recognize the long-term structural potential of Leaderdrive's robotics component business beyond humanoids harmonic reducer. Therefore, we now use DCF as our primary valuation methodology (from an SOTP comprised of P/E + DCF previously). We use an 11% WACC and 4% terminal growth to derive our new price target of Rmb269. **Upgrade to OW.**

Key assumptions:

- First, **we extend our DCF time frame to 2050** to factor in the sustained fast pace of growth over 2040e-50e, we believe the previous 4% terminal growth rate didn't recognize this growth potential (compared to the latest forecast CAGR of 14% over 2040e-50e).
- Second, **we expect Leaderdrive to maintain its leading market share**, largely following the trend of our previous forecast; for example, for the humanoid harmonic reducer, we now estimate 20% market share for the China supply chain (including low/middle income countries), and 10% for RoW. This is supported by better component performance (such as longer lifespan), and penetration in leading humanoid integrator (such as UBTECH and Agibot).
- Third, **we introduce our long-term forecast for industrial robot, mobile robot and professional robot**. For these robots, we expect an increase in usage of harmonic reducer, attributed to its higher manipulation abilities (i.e., higher cobot mix among industrial robot sales, mobile robots equipped with robotic arms).

Exhibit 18: Revision summary

	2024A	YoY	2025e	Change	YoY	2026e	Change	YoY	2027e	Change	YoY
		%	Old	%	%	Old	%	%	Old	%	%
EPS (Rmb)	0.33	-33%	0.58	17%	103%	0.69	37%	40%	0.85	54%	38%
Recurring EPS (Rmb)	0.31	-37%	0.55	11%	96%	0.66	38%	51%	0.82	56%	40%
Net profit (Rmb mn)	56	-33%	97	22%	111%	116	49%	46%	143	68%	38%
Revenue (Rmb mn)	387	8.8%	535	6%	47%	691	19%	44%	861	28%	34%
Harmonic reducer & Precision parts	325	2.6%	427	8%	42%	538	24%	45%	662	37%	35%
Gross profit (Rmb mn)	145	-0.7%	185	13%	44%	235	29%	45%	286	42%	34%
Harmonic reducer & Precision parts	118	-10.0%	156	12%	48%	198	26%	44%	245	37%	34%
Margin											
GP Margin	37.5%	-3.6%	34.6%	2.1%	-0.8%	34.1%	2.8%	0.2%	33.3%	3.6%	0.0%
OP Margin	14.7%	-2.6%	15.9%	1.8%	3.0%	15.7%	3.2%	1.1%	15.6%	4.1%	0.8%
NP Margin	14.5%	-9.1%	18.1%	2.7%	6.4%	16.9%	4.3%	0.3%	16.6%	5.1%	0.6%

Source: Company data, Morgan Stanley Research estimates

Exhibit 19: DCF Valuation

(in Rmb'mn unless specified)	2025e	2026e	2027e	2028e	2029e	2030e	2040e	2050e
Revenue	569	821	1,104	1,796	2,647	3,526	76,886	278,959
Harmonic reducer - non-humanoid	349	437	546	654	806	1,003	6,205	29,093
Harmonic reducer - humanoid	88	203	328	872	1,541	2,193	69,855	248,301
Precision Parts	26	29	32	36	39	42	78	115
Integrated actuator	88	123	160	191	211	227	421	617
Intelligent equipment	12	21	29	35	42	50	312	808
Other business	7	8	8	8	9	9	15	24
Gross profit	209	303	407	665	979	1,299	26,910	89,267
GPM	%	36.7%	36.9%	36.9%	37.0%	37.0%	36.8%	32.0%
Operating profit	101	155	217	358	532	710	15,377	50,213
OPM	%	17.7%	18.9%	19.6%	20.0%	20.1%	20.0%	18.0%
FCFF	32	55	82	139	210	284	6,612	21,870
Discount factor	1.0	0.9	0.8	0.7	0.7	0.6	0.2	0.1
Start year	2026							
End year	2050							
NPV of future cash flow	23,840							
Terminal value	310,954							
NPV of terminal value	25,614							
Terminal value % of EV	51.8%							
Equity value	49,384							
Per share value (Rmb)	269							

Source: Company data, Morgan Stanley Research estimates

Exhibit 20: WACC assumption

WACC	
Cost of equity	13.2%
Risk free rate	4.2%
Equity risk premium	6.0%
Beta	1.5
Cost of debt	2.1%
Pre-tax CofD	2.4%
Tax rate	12.0%
Equity/Capital	80.0%
Debt/Capital	20.0%
WACC	11.0%

Source: Morgan Stanley Research

Exhibit 21: Bull/bear scenario

Leaderdrive	Bull/Base/Bear Scenario			Per share value	Upside/Downside
	2050e M/S		2050e		
	China	RoW	OPM		
Bull case	23%	14%	22%	409	89%
Base case	20%	10%	18%	269	24%
Bear case	15%	4%	14%	141	-35%

Source: Morgan Stanley Research. Note: market share represents humanoid harmonic reducer market share. Upside/downside represents the difference to the closing of Rmb216.44 on January 20, 2026.

Han's Laser(002008.SZ): Stay OW; raise PT to Rmb57 on strong fundamentals

We are raising our revenue estimates by 6%/9%/11% for 2025/26/27, respectively, mainly to reflect stronger-than-expected PCB and 3C business. GPM is also turning better with a 0.5/1.0/1.1ppt improvement in 2025-27. Hence, we raise our net profit estimates by 18%/28%/31% in 2025/26/27. We continue to use a SOTP valuation methodology, where we use 20x 2026e P/E for its non-PCB business (vs. 22x previously), which is in line with the company's 8-year historical average FY2 P/E of 20x. PCB business is based on its subsidiary Han's CNC market cap and Han Laser's stake. Combining both values, our new PT is Rmb57 (up from Rmb48 previously).

Exhibit 22: Revision Summary

	2024	2025E			2026E			2027E		
		New	Old	Chg%	New	Old	Chg%	New	Old	Chg%
Revenue										
3C equipment	2,143	2,650	2,650	0%	3,680	3,180	16%	3,700	3,200	16%
PCB equipment	3,343	5,940	5,010	19%	8,715	7,396	18%	10,005	8,135	23%
New energy equipment	1,540	1,600	1,600	0%	1,700	1,700	0%	1,800	1,800	0%
Semi equipment	1,775	1,775	1,598	11%	1,864	1,677	11%	1,957	1,761	11%
General equipment	5,971	6,310	6,310	0%	6,625	6,811	-3%	6,956	7,152	-3%
Total	14,771	18,274	17,167	6%	22,584	20,764	9%	24,418	22,048	11%
Gross Profit	4,704	5,921	5,469	8%	7,497	6,682	12%	8,206	7,174	14%
Selling expenses	1,179	1,439	1,369	5%	1,755	1,656	6%	1,849	1,736	7%
G&A expenses	1,167	1,384	1,300	6%	1,710	1,572	9%	1,825	1,648	11%
Operating Profit	435	753	597	26%	1,156	810	43%	1,447	1,005	44%
Net Profit	1,694	1,247	1,054	18%	1,758	1,374	28%	2,081	1,585	31%
EPS	1.61	1.19	1.00	18%	1.67	1.31	28%	1.98	1.51	31%
Gross Margin	31.8%	32.4%	31.9%	0.5%	33.2%	32.2%	1.0%	33.6%	32.5%	1.1%
Selling exp as % of Rev	8.0%	7.9%	8.0%	-0.1%	7.8%	8.0%	-0.2%	7.6%	7.9%	-0.3%
G&A as % of Rev	7.9%	7.6%	7.6%	0.0%	7.6%	7.6%	0.0%	7.5%	7.5%	0.0%
Operating Margin	2.9%	4.1%	3.5%	0.6%	5.1%	3.9%	1.2%	5.9%	4.6%	1.4%
Net Margin	11.5%	6.8%	6.1%	0.7%	7.8%	6.6%	1.2%	8.5%	7.2%	1.3%

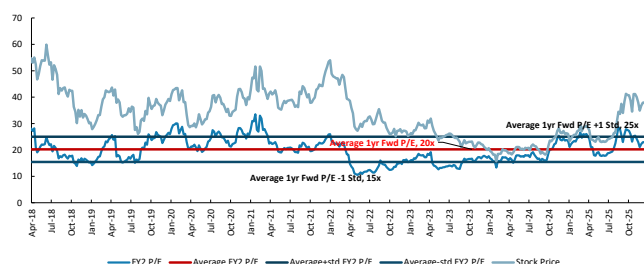
Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 23: Valuation methodology-SOTP

Non-PCB business	2024	2025E	2026E	2027E
Net profit (Rmb mn)	1,438	540	684	805
% YoY		-62%	27%	18%
EPS (Rmb)	1.37	0.51	0.65	0.77
PE multiple			20	
Implied PEG			0.8	
Equity value per share (Rmb)			13	
Equity Value (Rmb mn)			13,678	
PCB business (Han's CNC)				
Han's CNC market cap			55,000	
Han's Laser's stake in Han's CNC			85%	
Equity Value (Rmb mn)			46,750	
Total equity value (Rmb mn)			60,428	
Price Target (Rmb)			57	

Source: Morgan Stanley Research (E) estimates

Exhibit 24: P/E Band



Source: Factset, Morgan Stanley Research

Bochu (688188.SS): Stay OW; raise PT to Rmb169

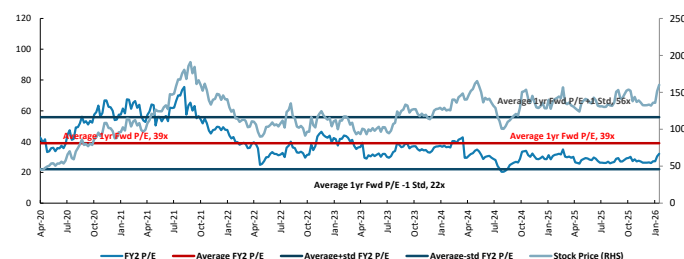
Our 2025-27 earnings estimates are unchanged, but we lift our 2026e P/E multiple to 35x (from 32x previously) to derive our new PT of Rmb169 (vs. Rmb155 previously). The multiple of 35x is in-line with Inovance's 35x 2026e P/E for its core business, given Bochu's dominant position in laser cutting motion control system, but it's still below Bochu's 5-year historical average FY2 P/E of 39x due to our expectation of slower revenue growth in 2026-27. Having said that, we think market sentiment around AI applications and industrial software could trigger a re-rating.

Exhibit 25: Valuation methodology

	2023	2024	2025E	2026E	2027E
Net Profit (Rmb, mn)	729	883	1,104	1,390	1,707
% YoY	52%	21%	25%	26%	23%
Basic EPS (Rmb)	4.98	4.30	3.84	4.83	5.94
PE multiple				35	
Implied PEG (forward year)				1.4	
Equity Value (Rmb mn)				48,648	
Price Target (Rmb)				169	

Source: Morgan Stanley Research (E) estimates

Exhibit 26: P/E Band



Source: Factset, Morgan Stanley Research

Neway Valve (603699.SS): Remain OW; raise PT to Rmb59

We keep our 2025 net profit estimates unchanged but raise our 2026-27 estimates by 2%/5%, respectively, mainly to reflect stronger-than-expected orders intake. We continue to use P/E as our valuation methodology, and apply 25x 2026e P/E (22x previously) to derive our new PT of Rmb59.0 in-line with general equipment peers' average P/E of 25x, implying 1.2x PEG. We think the buoyant market sentiment around nuclear fusion, Neway's robust growth in new orders and its market share gains in the nuclear valve market could trigger a re-rating for the stock.

Exhibit 27: Revision Summary

Rmb mn	2024A	2025E			2026E			2027E		
		New	Old	Chg%	New	Old	Chg%	New	Old	Chg%
Revenues	6,238	7,733	7,733	0%	9,104	8,909	2%	10,598	10,099	5%
Gross Profit	2,376	2,966	2,966	0%	3,510	3,433	2%	4,104	3,908	5%
Selling exp	(448)	(547)	(547)	0%	(635)	(621)	2%	(729)	(694)	5%
G&A exp	(412)	(496)	(496)	0%	(566)	(554)	2%	(638)	(608)	5%
Operating Profit	1,352	1,718	1,718	0%	2,078	2,032	2%	2,480	2,360	5%
Net Profit	1,156	1,495	1,495	0%	1,819	1,779	2%	2,143	2,041	5%
EPS	1.50	1.94	1.94	0%	2.37	2.31	2%	2.79	2.66	5%
GPM	38.1%	38.4%	38.4%	0.0%	38.6%	38.5%	0.0%	38.7%	38.7%	0.0%
Selling exp as % of Revenue	7.2%	7.1%	7.1%	0.0%	7.0%	7.0%	0.0%	6.9%	6.9%	0.0%
G&A exp as % of Revenue	6.6%	6.4%	6.4%	0.0%	6.2%	6.2%	0.0%	6.0%	6.0%	0.0%
OPM	21.7%	22.2%	22.2%	0.0%	22.8%	22.8%	0.0%	23.4%	23.4%	0.0%
NPM	18.5%	19.3%	19.3%	0.0%	20.0%	20.0%	0.0%	20.2%	20.2%	0.0%

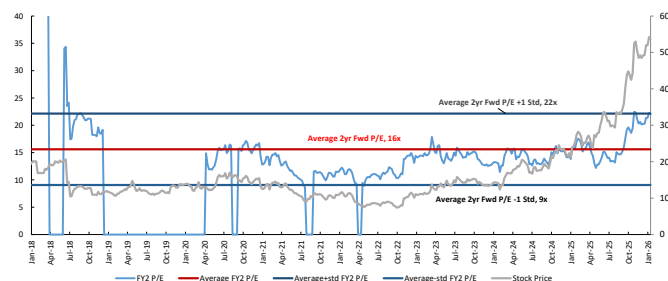
Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 28: Valuation methodology

	2023A	2024A	2025E	2026E	2027E
Net profit (Rmbmn)	722	1,156	1,495	1,819	2,143
% YoY	55%	60%	29%	22%	18%
EPS (Rmb)	0.95	1.50	1.94	2.37	2.79
PE multiple				25	
Implied PEG				1.2	
Equity Value (Rmb mn)				45,465	
Price Target (Rmb)				59	

Source: Morgan Stanley Research (E) estimates

Exhibit 29: P/E Band



Source: Factset, Morgan Stanley Research

Construction Machinery

Zoomlion (1157.HK; 000157.SZ): Remain OW on Zoomlion-H and Zoomlion-A, lift PTs to HK\$9.1 (H-share), Rmb10.9 (A-share)

We raise our revenue forecasts for 2025/26/27 by 6%/15%/26% to reflect continued non-excavator sales recovery in the domestic upcycle, exports growth driven by DM demand recovery and EM urbanization, and solid overseas mining machinery demand with a positive outlook for commodity prices. We expect GPM to be largely flat YoY in 2026/27, considering pricing competition and tariff hikes for selective machinery exports are partly offsetting improving scale and exports sales mix. Accordingly, we raise our net profit forecasts for 2025/26/27 by 9%/19%/27%.

We apply 12x 2026e PE (unchanged) to our H-share to derive our new price target of HK \$9.1. We think this multiple is appropriate, as it is in line with the average P/E over 2013-25 of 13x. We apply a 20% A-H premium to derive our PT for the A-shares at Rmb10.9, implying a 16x A-share P/E for 2026 (unchanged).

Exhibit 30: Revision Summary

	2025E		% Chng	YoY	2026E		% Chng	YoY	2027E		% Chng	YoY
	Old	New			Old	New			Old	New		
EPS (Rmb)	0.52	0.56	9%	39%	0.57	0.68	19%	21%	0.66	0.84	27%	23%
Revenue (Rmb mn)												
Construction machinery												
Concrete machinery	9,536	10,017	5%	25%	11,061	12,020	9%	20%	12,168	14,183	17%	18%
Crane machinery	14,934	16,413	10%	11%	15,233	18,875	24%	15%	16,361	22,272	36%	18%
Earth working machinery	8,205	8,538	4%	28%	9,682	10,417	8%	22%	10,650	13,021	22%	25%
AWP	5,330	5,330	0%	-22%	5,064	6,023	19%	13%	5,317	6,926	30%	15%
Other machinery	4,863	5,228	8%	29%	5,690	6,953	22%	33%	6,543	9,248	41%	33%
Agricultural machinery	4,232	4,418	4%	-5%	4,866	4,859	0%	10%	5,596	5,491	-2%	13%
Finance lease services	485	495	2%	5%	482	509	6%	3%	479	540	13%	6%
Total	47,585	50,438	6%	11%	52,078	59,656	15%	18%	57,114	71,681	26%	20%
Gross margin												
Construction machinery												
Concrete machinery	23.0%	23.0%	0.0%	0.3%	24.0%	24.0%	0.0%	1.0%	24.0%	24.0%	0.0%	0.0%
Crane machinery	33.0%	33.0%	0.0%	0.6%	33.3%	33.3%	0.0%	0.3%	33.5%	33.5%	0.0%	0.2%
Earth working machinery	30.5%	30.5%	0.0%	0.3%	32.0%	32.0%	0.0%	1.5%	33.0%	33.0%	0.0%	1.0%
AWP	27.0%	27.0%	0.0%	-2.7%	27.0%	27.0%	0.0%	0.0%	28.0%	27.0%	-1.0%	0.0%
Others	28.5%	28.0%	-0.5%	0.1%	28.5%	28.0%	-0.5%	0.0%	28.5%	28.0%	-0.5%	0.0%
Agricultural machinery	12.5%	12.5%	0.0%	0.2%	13.0%	13.0%	0.0%	0.5%	13.0%	13.0%	0.0%	0.0%
Finance lease services	95.0%	95.0%	0.0%	-1.4%	95.0%	95.0%	0.0%	0.0%	95.0%	95.0%	0.0%	0.0%
Total	28.2%	28.3%	0.0%	0.1%	28.6%	28.8%	0.2%	0.6%	28.8%	29.1%	0.3%	0.3%
Gross profit	13,439	14,249	6%	11%	14,905	17,192	15%	21%	16,452	20,848	27%	21%
Operating profit	4,797	5,455	14%	26%	5,957	7,047	18%	29%	6,869	8,717	27%	24%
Net profit	4,471	4,889	9%	39%	4,976	5,907	19%	21%	5,717	7,250	27%	23%
Margin												
Gross margin	28.2%	28.3%	0.0%	0.1%	28.6%	28.8%	0.2%	0.6%	28.8%	29.1%	0.3%	0.3%
Operating margin	10.1%	10.8%	0.7%	1.3%	11.4%	11.8%	0.4%	1.0%	12.0%	12.2%	0.1%	0.3%
Net margin	9.4%	9.7%	0.3%	2.0%	9.6%	9.9%	0.3%	0.2%	10.0%	10.1%	0.1%	0.2%

Source: Morgan Stanley Research (E) estimates

Exhibit 31: Valuation methodology

	2024	2025E	2026E	2027E
Net profit (Rmbmn)	3,521	4,889	5,907	7,250
% YoY	-1%	39%	21%	23%
% 3yr CAGR	19%	27%		
Diluted EPS (Rmb)	0.41	0.56	0.68	0.84
PE multiple			12	
Price Target (HKD)			9.1	
A-H Premium			1.2	
A share P/E multiple			16	
Price Target (Rmb)			10.9	

Source: Morgan Stanley Research (E) estimates

Exhibit 32: P/E band



Source: Refinitiv, Morgan Stanley Research

Jiangsu Hengli (601100.SS): Remain OW, lift PT to Rmb133

We raise our revenue forecasts by 3%/12%/22% for 2025/26/27 to factor in overseas market share gains and non-excavator growth along with the domestic upcycle into 2026-27. We keep GPM unchanged for 2025 but lower it slightly for 2026/27 given margin drag with new capacity ramping up (Mexico plant and linear actuator plant). Overall, we raise our net profit forecasts by 5%/9%/18% for 2025/26/27. We apply 35x P/E (unchanged) to 2026e EPS for its core hydraulic parts business, to derive a value of Rmb93.

For the humanoid robots business, we use a DCF methodology to discount free cash flow over 2025-2050, with a WACC of 10.9% and 4% terminal growth to drive a humanoid robots business value per share of Rmb93. Combining both these values, our new PT is Rmb133.

Exhibit 33: Revision Summary

(RMB mn)	2025E				2026E				2027E			
	Old	New	Chg %	YoY	Old	New	Chg %	YoY	Old	New	Chg %	YoY
EPS (Rmb)	2.12	2.19	3%	17%	2.45	2.66	9%	21%	2.85	3.35	18%	26%
Total Revenue	10,464	10,854	4%	16%	11,928	13,338	12%	23%	13,566	16,585	22%	24%
Excavator Cylinder	2,600	2,636	1%	19%	2,852	3,554	25%	35%	3,137	4,710	50%	33%
Non-standard Cylinder	2,577	2,616	2%	3%	2,784	3,009	8%	15%	3,062	3,580	17%	19%
Pumps and Valves	4,067	4,260	5%	19%	4,606	5,134	11%	21%	5,105	6,213	22%	21%
Components and Integrated system	332	371	12%	25%	365	463	27%	25%	402	533	33%	15%
Accessories and castings	806	871	8%	27%	1,237	1,027	-17%	18%	1,774	1,329	-25%	29%
Others	81	101	24%	55%	84	151	81%	50%	86	219	154%	45%
Total Gross Profit	4,517	4,633	3%	15%	5,185	5,689	10%	23%	5,960	7,145	20%	26%
Cylinder	2,147	2,181	2%	7%	2,374	2,703	14%	24%	2,626	3,444	31%	27%
Pumps and Valves	2,061	2,169	5%	26%	2,357	2,614	11%	21%	2,616	3,193	22%	22%
Components and Integrated system	96	127	33%	13%	129	164	27%	29%	159	194	22%	18%
Accessories and castings	137	76	-45%	-24%	247	87	-65%	15%	479	138	-71%	59%
GPM	43.2%	42.7%	-0.5%	0%	43.5%	42.7%	-0.8%	0%	43.9%	43.1%	-0.9%	0%
Cylinder	41.5%	41.5%	0.1%	-1%	42.1%	41.2%	-0.9%	0%	42.4%	41.5%	-0.8%	0%
Pumps and Valves	50.7%	50.9%	0.2%	3%	51.2%	50.9%	-0.2%	0%	51.2%	51.4%	0.1%	0%
Components and Integrated system	28.9%	34.4%	5.5%	-4%	35.3%	35.4%	0.2%	1%	39.4%	36.4%	-3.1%	1%
Accessories and castings	16.9%	8.7%	-8.3%	-6%	20.0%	8.5%	-11.5%	0%	27.0%	10.4%	-16.6%	2%
Operating Profit	2,699	2,786	3%	16%	3,162	3,465	10%	24%	3,690	4,393	19%	27%
Operating Margin	25.8%	25.7%	0%	0%	26.5%	26.0%	-1%	0%	27.2%	26.5%	-1%	1%
SG&A % of Revenue	8.6%	8.6%	0%	0%	8.4%	8.4%	0%	0%	8.3%	8.3%	0%	0%
Net Profit	2,844	2,942	3%	17%	3,281	3,565	9%	21%	3,815	4,498	18%	26%
Net Margin	27.3%	27.2%	0%	0%	27.6%	26.8%	-1%	0%	28.2%	27.2%	-1%	0%

Source: Morgan Stanley Research (E) estimates

Exhibit 34: DCF valuation of the humanoid business

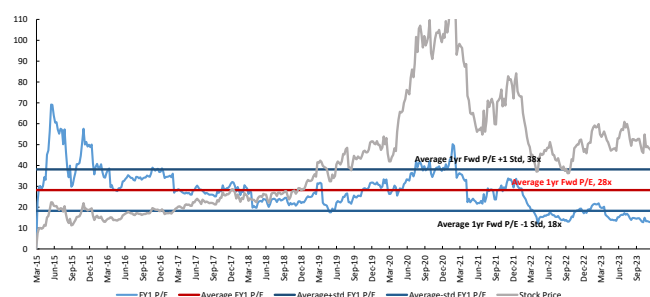
	Unit	2024e	2025e	2026e	2027e	2028e	2029e	2030e	2040e	2050e
Revenue	Rmb'mn		55	98	195	549	1,261	1,896	106,569	385,026
GPM	%		-50%	-35%	-25%	-8%	8%	25%	30%	35%
OPEX			30%	29%	27%	26%	25%	23%	19%	15%
Operating profit			(44)	(62)	(102)	(189)	(206)	32	12,059	77,005
NOPAT			(44)	(62)	(102)	(189)	(206)	28	10,476	65,454
Tax rate			0%	0%	0%	0%	0%	12%	13%	15%
Net capex			5	10	19	54	122	182	9,378	30,802
Capex as % of revenue	%		10%	10%	10%	10%	10%	10%	9%	8%
FCFF	Rmb'mn		(49)	(72)	(121)	(242)	(328)	(154)	1,098	34,652
Discount factor			1.0	0.9	0.8	0.7	0.7	0.6	0.2	0.1
WACC										
Cost of equity										
Risk free rate			4.2%							
Equity risk premium			6.0%							
Beta			1.5							
			13.2%							
Cost of debt										
Pre-tax CofD			1.5%							
Tax rate			12.0%							
			1.3%							
Equity/Capital			80.0%							
Debt/Capital			20.0%							
WACC										
Terminal growth rate			10.8%							
			4.0%							

Source: Company data, Morgan Stanley Research estimates.

Exhibit 35: Valuation methodology

Rmb mn	
NPV of future cash flow	13,405
NPV of terminal value	40,505
Humanoid business valuation	53,910
Shares outstanding	1,341
Per share value	40
Main business 2026 NP	
P/E	35
Main business valuation	124,759
Shares outstanding	1,341
Per share value	93
Combined valuation	
Shares outstanding	1,341
Per share value	133

Source: Morgan Stanley Research (E) estimates

Exhibit 36: P/E band

Source: Refinitiv, Morgan Stanley Research

HDT

Weichai (000338.SZ; 2338.HK): Stay EW on balanced risk-reward; lift PTs to HK\$26.2 (H-share), Rmb23.9 (A-share)

We raise our 2025-27 net profit estimates by 7%/6%/7% to reflect stronger than expected 2H25 HDT sales, as well as stronger data center generator demand. We change our valuation methodology from P/E to SOTP to better quantify the valuation of the AIDC-related business, which we believe will deliver the fastest growth of all the sub-segments in next few years. To value the traditional engine and truck business, we use 10x 2026e P/

E, which is in line with the 8-year historical average FY2 P/E of 10x. We use 60x 2026e P/E for its AIDC business, supported by its strong net profit growth (~100% y-y). The KION valuation is based on its market cap and Weichai's stake. As a result, our PT rises to HK \$26.2 for the H-share (from HK\$18.8 previously). We apply no A-H share premium now so our A-share price target moves to Rmb23.9 (vs. Rmb17.4 previously), reflecting an FX (HKD/RMB) exchange rate of 0.9.

Exhibit 37: Estimate revisions

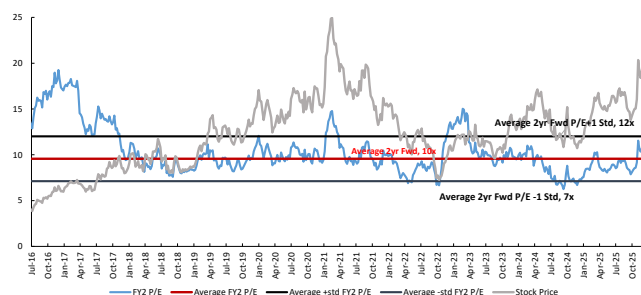
(RMB mn)	2024A		2025E		% Chng	YoY	2026E		% Chng	YoY	2027E		% Chng	YoY
		YoY	Old	New			Old	New			Old	New		
EPS (Rmb)	1.31	27%	1.35	1.44	7%	10%	1.53	1.62	6%	12%	1.61	1.72	7%	7%
MW EPS (RMB)	1.31	27%	1.35	1.44	7%	10%	1.53	1.62	6%	12%	1.61	1.72	7%	7%
Revenue														
Engine	59,409	-2%	63,499	66,567	5%	12%	65,360	67,882	4%	2%	68,341	72,526	6%	7%
Heavy Truck	44,197	-2%	47,965	53,608	12%	21%	48,065	49,017	2%	-9%	50,225	51,219	2%	4%
Fast Gear	12,609	-12%	12,609	12,609	0%	0%	13,240	13,240	0%	5%	13,902	13,902	0%	5%
KION	88,777	1%	87,958	87,958	0%	-1%	89,027	88,376	-1%	0%	94,226	93,512	-1%	6%
Total revenue	215,691	1%	222,615	230,215	3%	7%	227,047	229,766	1%	0%	238,701	243,150	2%	6%
Net Profit														
Engine	9,502	31%	11,113	11,626	5%	22%	10,760	12,005	12%	3%	11,429	12,920	13%	8%
Heavy Truck	351	104%	375	419	12%	19%	376	383	2%	-9%	392	400	2%	4%
Fast Gear	419	2%	219	219	0%	-48%	317	343	8%	57%	297	353	19%	3%
KION	1,267	30%	520	520	0%	-59%	1,605	1,660	3%	219%	1,925	1,976	3%	19%
Total net profit	11,403	27%	11,792	12,573	7%	10%	13,365	14,103	6%	12%	14,021	15,041	7%	7%
Net Margin														
Engine	16.0%	4.9%	17.5%	17.5%	0.0%	1.5%	16.5%	17.7%	1.2%	0.2%	16.7%	17.8%	1.1%	0.1%
Heavy Truck	0.8%	1.3%	0.8%	0.8%	0.0%	0.0%	0.8%	0.8%	0.0%	0.0%	0.8%	0.8%	0.0%	0.0%
Fast Gear	3.3%	-0.2%	1.7%	1.7%	0.0%	-1.6%	2.4%	2.6%	0.2%	0.9%	2.1%	2.5%	0.4%	-0.1%
KION	1.4%	-0.9%	0.6%	0.6%	0.0%	-0.8%	1.8%	1.9%	0.1%	1.3%	2.0%	2.1%	0.1%	0.2%
Overall net margin	5.3%	1.0%	5.3%	5.5%	0.2%	0.2%	5.9%	6.1%	0.3%	0.7%	5.9%	6.2%	0.3%	0.0%
Selling expense	12,485	9%	13,182	13,393	2%	7%	13,645	13,720	1%	2%	14,326	14,450	1%	5%
G&A expense	18,559	16%	20,615	20,615	0%	11%	19,825	19,825	0%	-4%	20,717	20,717	0%	4%
Operating profit	17,659	28%	16,713	17,461	4%	-1%	19,653	20,134	2%	15%	21,082	21,996	4%	9%
Net profit	11,403	20%	11,792	12,573	7%	10%	13,365	14,103	6%	12%	14,021	15,041	7%	7%

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 38: Valuation methodology-SOTP

Rmb mn	2024	2025e	2026e	2027e
Traditional business				
NP (Rmb mn)	9,976	11,569	11,476	11,454
--y-y		16%	-1%	0%
Target P/E			10	
Equity value			114,756	
KION Group				
Market Capitalization			75,970	
Weichai's share			46.5%	
Equity value			35,326	
AIDC business				
NP (Rmb mn)	160	484	968	1,611
--y-y		203%	100%	66%
--Large-bore engine	160	484	968	1,331
--SOFC	-	-	-	280
Target P/E			60	36
Equity value			58,080	
Total Equity Value			208,162	
Shares Outstanding			8,727	
Equity value per share (Rmb)			23.9	
H Share Price Target (HKD)			26.2	
A-H premium			0%	
A Share Price Target (Rmb)			23.9	

Source: Morgan Stanley Research (E) estimates

Exhibit 39: P/E band

Source: FactSet, Morgan Stanley Research

Sinotruk (3808.HK): Stay EW; lift PT to HK\$25.7

We adjust our 2025-27 net profit estimates by 8%/2%/2% to reflect the stronger than expected 2H25 HDT sales. We use 9x 2026e P/E (vs. 8x 2026e P/E previously) to derive our new PT of HK\$25.7 (vs. HK\$22.4 previously). This is slightly above the 8-year historical average FY2 P/E of 8x, as we believe Sinotruk's expansion overseas is now more resilient and will be the key profit contributor going forward.

Exhibit 40: Estimate revisions

(RMB mn)	2024A	YoY	2025E		% Chg	YoY	2026E		% Chg	YoY	2027E		% Chg	YoY
			Old	New			Old	New			Old	New		
EPS (Rmb)	2.12	10%	2.31	2.49	8%	17%	2.52	2.57	2%	3%	2.70	2.76	2%	8%
Volume (Unit)														
HDT	243,418	7%	274,184	300,574	10%	23%	294,419	291,044	-1%	-3%	313,713	305,597	-3%	5%
LDT	100,780	4%	110,857	110,857	0%	10%	115,292	115,292	0%	4%	119,903	119,903	0%	4%
Engine	109,104	-15%	135,308	147,975	9%	36%	148,150	146,497	-1%	-1%	160,936	156,877	-3%	7%
ASP (Rmb '000)														
HDT	295.3	-11%	335.6	336.6	0%	14%	338.6	336.1	-1%	0%	343.0	339.6	-1%	1%
LDT	83.3	-22%	107.5	107.5	0%	29%	108.5	108.5	0%	1%	109.6	109.6	0%	1%
Engine	97.8	-14%	114.9	114.9	0%	17%	118.3	118.3	0%	3%	121.9	121.9	0%	3%
Revenue														
HDT	83,152	11%	90,935	99,987	10%	20%	98,519	96,671	-2%	-3%	106,332	102,546	-4%	6%
LDT	9,840	11%	10,502	10,502	0%	7%	11,031	11,031	0%	5%	11,587	11,587	0%	5%
Engine	715	15%	798	873	9%	22%	900	890	-1%	2%	1,007	982	-3%	10%
Finance	1,354	11%	1,219	1,219	0%	-10%	1,219	1,219	0%	0%	1,219	1,219	0%	0%
Total	95,062	11%	103,454	112,580	9%	18%	111,668	109,810	-2%	-2%	120,145	116,334	-3%	6%
Gross Profit	14,865	10%	16,304	17,693	9%	19%	17,564	17,414	-1%	-2%	18,730	18,501	-1%	6%
GP Margin	15.6%	-0.2%	15.8%	15.7%	0.0%	0.1%	15.7%	15.9%	0.1%	0.1%	15.6%	15.9%	0.3%	0.0%
Operating Profit														
HDT	4,412	1%	4,808	5,280	10%	20%	5,197	5,168	-1%	-2%	5,706	5,429	-5%	5%
LDT	(215)	-65%	(227)	(227)	0%	5%	(226)	(226)	0%	0%	(211)	(211)	0%	-7%
Engine	1,972	-5%	2,331	2,550	9%	29%	2,629	2,600	-1%	2%	2,942	2,868	-3%	10%
Finance	807	5%	732	732	0%	-9%	732	732	0%	0%	732	732	0%	0%
Total	7,458	15%	8,154	8,731	7%	17%	8,847	8,971	1%	3%	9,443	9,662	2%	8%
OP Margin														
HDT	5.2%	-0.5%	5.2%	5.2%	0.0%	0.0%	5.2%	5.3%	0.1%	0.1%	5.3%	5.2%	-0.1%	-0.1%
LDT	-1.9%	4.1%	-1.9%	-1.9%	0.0%	0.0%	-1.8%	-1.8%	0.0%	0.1%	-1.6%	-1.6%	0.0%	0.2%
Engine	14.2%	-0.1%	15.0%	15.0%	0.0%	0.8%	15.0%	15.0%	0.0%	0.0%	15.0%	15.0%	0.0%	0.0%
Finance	54.6%	-1.0%	55.0%	55.0%	0.0%	0.4%	55.0%	55.0%	0.0%	0.0%	55.0%	55.0%	0.0%	0.0%
Total	7.8%	0.3%	7.9%	7.8%	-0.1%	-0.1%	7.9%	8.2%	0.2%	0.4%	7.9%	8.3%	0.4%	0.1%
Net profit	5,858	10%	6,372	6,874	8%	17%	6,950	7,083	2%	3%	7,451	7,631	2%	8%
Net margin	6.2%	-0.1%	6.2%	6.1%	-0.1%	-0.1%	6.2%	6.5%	0.2%	0.3%	6.2%	6.6%	0.4%	0.1%

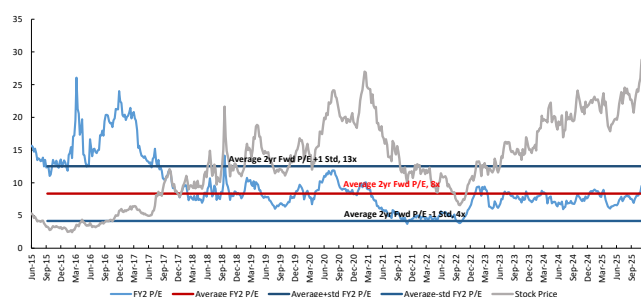
Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 41: Valuation methodology

	2024	2025E	2026E	2027E
Net profit (Rmb, mn)	5,858	6,874	7,083	7,631
% YoY	10%	17%	3%	8%
EPS (Rmb)	2.12	2.49	2.57	2.76
PE multiple			9	
Implied PEG (forward year)			3.0	
Equity Value (Rmb mn)			63,747	
Exchange Rate (RMB/HK\$)			0.90	
Price Target (HKD)			25.7	

Source: Morgan Stanley Research (E) estimates

Exhibit 42: P/E band



Source: FactSet, Morgan Stanley Research

New Energy Equipment

Wuxi Lead (300450.SZ): Stay OW; PT unchanged

Our sales forecast for 2025/26/27 stays largely unchanged but we lower our GPM for 2025/26 considering the margin pressure that has built from legacy orders received during the downcycle. We lower our net profit estimates for 2025/26 by 17%/5% and keep them largely flat for 2027 to reflect impairment loss risk due to the still-intense downstream

competition.

Our price target of Rmb75 is unchanged, and is derived by applying a market cap-to-new order multiple of 4x to 2026 new orders. We think the 4x multiple is appropriate as it is in line with the multiple the stock traded at during the early stage of the last cycle. We cross check our PT with P/E valuation, which implies 53x P/E on 2026e.

Exhibit 43: Revision Summary

	2025E				2026E				2027E			
	New	Old	Chg%	YoY	New	Old	Chg%	YoY	New	Old	Chg%	YoY
Revenue												
Lithium Battery Equip.	10,159	10,159	0.0%	32.1%	14,676	14,676	0.0%	44.5%	22,422	22,222	0.9%	52.8%
Solar Equip.	1,017	1,017	0.0%	17.3%	1,040	1,040	0.0%	2.2%	1,015	1,013	0.2%	-2.3%
Intelligent logistic	1,307	1,307	0.0%	-30.0%	1,765	1,765	0.0%	35.0%	2,382	2,382	0.0%	35.0%
3C and others	2,148	2,148	0.0%	50.0%	2,578	2,578	0.0%	20.0%	3,094	3,094	0.0%	20.0%
Total	14,631	14,631	0.0%	23.4%	20,058	20,058	0.0%	37.1%	28,913	28,711	0.7%	44.1%
Gross Profit	4,761	4,863	-2.1%	14.8%	6,806	6,879	-1.1%	43.0%	10,227	10,151	0.7%	50.3%
Selling exp.	(382)	(382)	0.0%	5.3%	(523)	(523)	0.0%	37.1%	(725)	(720)	0.7%	38.6%
Admin exp.	(1,186)	(1,186)	0.0%	9.2%	(1,445)	(1,445)	0.0%	21.9%	(2,083)	(2,068)	0.7%	44.1%
R&D exp.	(1,756)	(1,756)	0.0%	5.1%	(2,206)	(2,206)	0.0%	25.7%	(3,180)	(3,158)	0.7%	44.1%
Operating Profit	1,292	1,393	-7.3%	36.8%	2,431	2,504	-2.9%	88.2%	3,949	3,917	0.8%	62.5%
Net Profit	1,390	1,667	-16.6%	386.0%	2,222	2,342	-5.1%	59.8%	3,584	3,558	0.7%	61.3%
EPS	0.89	0.97	-8.6%	386.0%	1.42	1.37	3.8%	59.8%	2.29	2.09	9.6%	61.3%
Gross Margin	32.5%	33.2%	-0.7%	-2.4%	33.9%	34.3%	-0.4%	1.4%	35.4%	35.4%	0.0%	1.4%
Selling exp as % of Rev	2.6%	2.6%	0.0%	-0.4%	2.6%	2.6%	0.0%	0.0%	2.5%	2.5%	0.0%	-0.1%
Admin exp as % of Rev	8.1%	8.1%	0.0%	-1.1%	7.2%	7.2%	0.0%	-0.9%	7.2%	7.2%	0.0%	0.0%
R&D exp as % of Rev	12.0%	12.0%	0.0%	-2.1%	11.0%	11.0%	0.0%	-1.0%	11.0%	11.0%	0.0%	0.0%
Operating Margin	8.8%	9.5%	-0.7%	0.9%	12.1%	12.5%	-0.4%	3.3%	13.7%	13.6%	0.0%	1.5%
Net Margin	9.5%	11.4%	-1.9%	7.1%	11.1%	11.7%	-0.6%	1.6%	12.4%	12.4%	0.0%	1.3%

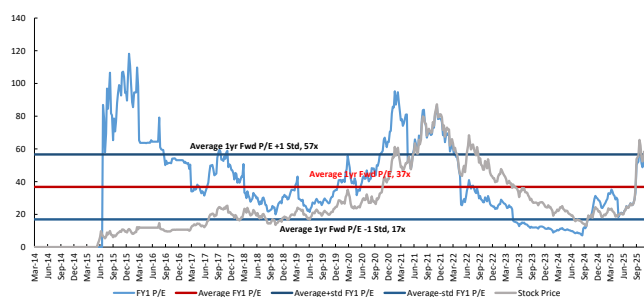
Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 44: Valuation methodology

	2024	2025E	2026E	2027E
Net profit (Rmbmn)	286	1,390	2,222	3,556
% YoY	-84%	386%	60%	60%
% 3yr CAGR	8%	132%		
EPS (Rmb)	0.18	0.89	1.42	2.27
PE multiple			53	
Equity Value (Rmb mn)			117,760	
Price Target (Rmb)			75	
	2024	2025E	2026E	2027E
New order (Rmb mn)	17,500	23,000	29,440	35,622
% YoY	-22%	31%	28%	21%
Mkt cap to new orders			4.0	
Equity Value (Rmb mn)			117,760	
Price Target (Rmb)			75	

Source: Morgan Stanley Research (E) estimates

Exhibit 45: P/E band



Source: FactSet, Morgan Stanley Research

Hangke (688006.SZ): Stay OW; PT unchanged

We lower our sales forecast by 16%/19%/13% for 2025/26/27 to factor in longer delivery/recognition of overseas orders, but raise our GPM forecasts by 6.2/4.6/1.9ppt for 2025/26/27 considering the higher overseas mix. We lower our net profit forecasts for 2025/26/27 by 12%/11%/14% accordingly.

Our price target of Rmb50 is unchanged, and is derived by applying a market cap-to-new order multiple of 4x to 2026 new orders. We think the 4x multiple is appropriate as it is in line with the multiple the stock traded at during the early stage of the last cycle. We cross check our PT with P/E valuation, which implies 39x P/E on 2026e.

Exhibit 46: Revision Summary

	2025E				2026E				2027E			
	New	Old	Chg%	% yoy	New	Old	Chg%	% yoy	New	Old	Chg%	% yoy
EPS	0.83	0.94	-11.6%	54.1%	1.27	1.42	-10.7%	52.2%	1.83	2.12	-13.5%	44.6%
Revenue (Rmb. mn)	3,579	4,272	-16.2%	20.1%	4,727	5,801	-18.5%	32.1%	6,656	7,621	-12.7%	40.8%
Charging and discharging equipment	2,897	3,591	-19.3%	12.1%	3,914	4,988	-21.5%	35.1%	5,802	6,767	-14.3%	48.2%
Accessories	26	26	0.0%	15.0%	29	29	0.0%	10.0%	30	30	0.0%	5.0%
Other equipment	629	629	0.0%	80.0%	754	754	0.0%	20.0%	792	792	0.0%	5.0%
Other business	27	27	0.0%	10.0%	30	30	0.0%	10.0%	31	31	0.0%	5.0%
Gross Margin	30.8%	24.7%	6.2%	-0.5%	31.4%	26.9%	4.6%	0.6%	31.9%	30.0%	1.9%	0.5%
Charging and discharging equipment	29.0%	22.0%	7.0%	-2.3%	30.0%	25.0%	5.0%	1.0%	31.0%	29.0%	2.0%	1.0%
Accessories	68.0%	68.0%	0.0%	15.3%	68.0%	68.0%	0.0%	0.0%	68.0%	68.0%	0.0%	0.0%
Other equipment	35.0%	35.0%	0.0%	9.4%	35.0%	35.0%	0.0%	0.0%	35.0%	35.0%	0.0%	0.0%
Other business	95.0%	95.0%	0.0%	-1.2%	95.0%	95.0%	0.0%	0.0%	95.0%	95.0%	0.0%	0.0%
Gross Profit	1,104	1,054	4.8%	18.2%	1,486	1,559	-4.7%	34.7%	2,126	2,290	-7.2%	43.1%
Operating Profit	505	458	10.2%	33.7%	701	752	-6.8%	38.9%	1,068	1,230	-13.2%	52.2%
Net Profit	503	569	-11.6%	54.1%	766	857	-10.7%	52.2%	1,107	1,280	-13.5%	44.6%
Gross Margin	30.8%	24.7%	6.2%	-0.5%	31.4%	26.9%	4.6%	0.6%	31.9%	30.0%	1.9%	0.5%
Operating Margin	14.1%	10.7%	3.4%	1.4%	14.8%	13.0%	1.9%	0.7%	16.0%	16.1%	-0.1%	1.2%
Net Margin	14.1%	13.3%	0.7%	3.1%	16.2%	14.8%	1.4%	2.1%	16.6%	16.8%	-0.2%	0.4%

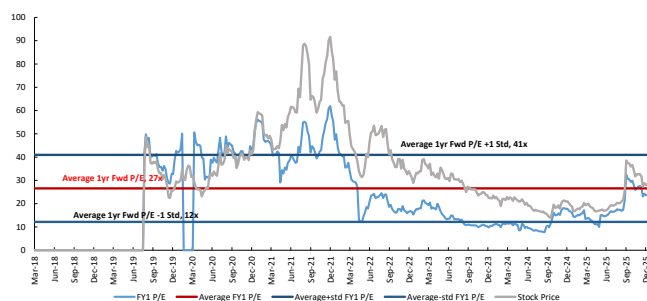
Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 47: Valuation methodology

	2024	2025E	2026E	2027E
Net profit (Rmbmn)	326	503	766	1,107
% YoY	-60%	54%	52%	45%
% 3yr CAGR	-2%	50%		
EPS (Rmb)	0.54	0.83	1.27	1.83
PE multiple			39	
Equity Value (Rmb mn)			50	
Price Target (Rmb)			50	
	2024	2025E	2026E	2027E
New order (Rmb mn)	4,600	6,000	7,500	9,375
% YoY	-23%	30%	25%	25%
Mkt cap to new order			4.0	
Equity Value (Rmb mn)			30,000	
Price Target (Rmb)			50	

Source: Morgan Stanley Research (E) estimates

Exhibit 48: P/E band



Source: FactSet, Morgan Stanley Research

Maxwell (300751.SZ): Remain UW, lift PT to Rmb166

We revised down sales forecasts by 9%/17%/24% for 2025/26/27 to factor in faster HJT delivery and sales recognition with positive silver price outlook into 2026, as HJT outperforms with higher cost efficiency and lower silver cost than TOPCon. We raise our GPM by 0.3/0.4/1.3ppt to factor in higher overseas mix.

We change our valuation methodology from P/B to a market cap-to-new orders multiple on our 2026e new orders estimates, as new orders are forward-looking for downstream demand while a P/E methodology values sales recognition with a lag.

- New PT (also our base case) at Rmb166: We expect Maxwell's 2026 new orders to

grow 68% YoY, driven by HJT demand from overseas ground solar capacity and space solar powering satellites and data center, and perovskite and semiconductor equipment orders. Applying a 5x market cap-to-new-orders multiple to our 2026E new orders of c.Rmb9bn implies a price target of Rmb166. We view the multiple as justified by faster-than-peer order growth and long-term optionality from space applications, but remain Underweight given limited near-term contributions from space solar demand, which has been priced in. Our price target implies 5.3x 2026E P/B.

- Bull and bear case values: Holding other assumptions constant, the key swing factor between our bull and bear case values lies in the scale and timing of HJT turnkey equipment orders driven by satellite and space-based data center deployment.

- **In our bull case (Rmb306),** we assume 50GW+ of incremental solar capacity demand to support c.190GW solar module powering LEO/SSO satellites space-based data centers over the next decade. Given HJT's superior conversion efficiency, stronger radiation resistance, and more stable performance under extreme temperature and degradation conditions, we assume high HJT penetration in space solar and Maxwell sustains a leading ~70% market share in HJT equipment. Applying a 7x market cap-to-new-orders multiple to our 2026E bull-case new-order estimate of c.Rmb12bn, we derive a bull-case value of Rmb306.
- **In our bear case (Rmb79),** we assume a slower-than-expected ramp-up in LEO/SSO satellite launches and space-based data center deployment in the near to medium term, constrained by launch capacity bottlenecks, elevated upfront capex requirements, regulatory and geopolitical uncertainties, as well as delayed commercialization timelines for space infrastructure. Under this scenario, we assume HJT maintains its high penetration and Maxwell maintains its dominant 70% market share in HJT equipment. Applying a 3x market cap-to-new-order multiple to our 2026E bull case new orders of c.Rmb12bn, we derive a new bear case value of Rmb79.

Exhibit 49: Revision Summary

(RMB mn)	Old	2025E New	Chg %	YoY	Old	2026E New	Chg %	YoY	Old	2027E New	Chg %	YoY
EPS (Rmb)	1.58	2.45	55%	-26%	-0.66	2.19	NA	-11%	-1.64	2.64	NA	21%
Total Revenue	7,439	8,076	8.6%	-17.8%	6,243	7,328	17.4%	-9.3%	6,557	8,100	23.5%	10.5%
Solar equipment	5,552	6,189	11.5%	-31.3%	4,106	4,991	21.6%	-19.4%	4,188	5,611	34.0%	12.4%
Screen printer	2,579	3,401	31.9%	-1.7%	1,274	1,274	0.0%	-62.5%	1,444	1,274	-11.8%	0.0%
HJT equipment	2,973	2,788	-6.3%	-49.7%	2,832	3,717	31.3%	33.3%	2,743	4,336	58.1%	16.7%
Single machine	1,280	1,280	0.0%	264.2%	1,524	1,724	13.1%	34.7%	1,750	1,870	6.9%	8.5%
Accessories and others	607	607	0.0%	28.0%	613	613	0.0%	1.0%	619	619	0.0%	1.0%
Gross profit Margin	36.3%	36.6%	0.3%	8.5%	36.5%	36.9%	0.4%	0.3%	36.4%	37.7%	1.3%	0.8%
Solar equipment	35.0%	35.5%	0.5%	7.8%	35.0%	36.0%	1.0%	0.5%	35.0%	37.0%	2.0%	1.0%
Single machine	33.0%	33.0%	0.0%	0.2%	33.0%	33.0%	0.0%	0.0%	33.0%	34.0%	1.0%	1.0%
Accessories and others	55.0%	55.0%	0.0%	23.4%	55.0%	55.0%	0.0%	0.0%	55.0%	55.0%	0.0%	0.0%
Operating Margin	1.4%	6.6%	5.2%	0.5%	(7.8%)	6.1%	NA	-0.5%	(11.0%)	7.1%	NA	0.9%
Net Margin	5.9%	8.5%	2.5%	-0.9%	(3.0%)	8.3%	NA	-0.1%	(7.0%)	9.1%	NA	0.8%

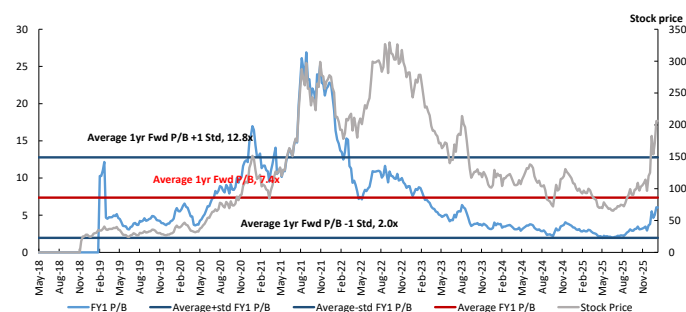
Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 50: Valuation methodology

	2024	2025E	2026E	2027E
New orders (Rmb mn)	9,619	5,514	9,273	11,937
% YoY	-49%	-43%	68%	29%
Mkt cap to new order			5.0	
Equity value (Rmb mn)			46,366	
Share capital (mn)			279	
Price target (Rmb)			166	

Source: Morgan Stanley Research (E) estimates

Exhibit 51: P/B band



Source: FactSet, Morgan Stanley Research

Exhibit 52:

Bull and bear case scenario values

	Base				Bull				Bear			
	2024	2025E	2026E	2027E	2024	2025E	2026E	2027E	2024	2025E	2026E	2027E
New orders (Rmb mn)	9,619	5,514	9,273	13,157	9,619	5,514	12,213	18,757	9,619	5,514	7,313	10,007
% YoY	-49%	-43%	68%	42%	-49%	-43%	121%	54%	-49%	-43%	33%	37%
TOPCon screen printing	2,269	764	763	807	2,269	764	763	807	2,269	764	763	807
Volume (GW)	95	32	32	34	95	32	32	34	95	32	32	34
ASP (Rmb mn)	24	24	24	24	24	24	24	24	24	24	24	24
HJT turnkey	7,350	2,450	4,410	7,350	7,350	2,450	7,350	12,950	7,350	2,450	2,450	4,200
Volume (GW)	21	7	13	21	21	7	21	37	21	7	7	12
Ground	21	7	7	7	21	7	7	7	21	7	7	7
Space	-	-	6	14	-	-	14	30	-	-	-	5
ASP (Rmb mn)	350	350	350	350	350	350	350	350	350	350	350	350
Perovskite equipment		300	600	800		300	600	800		300	600	800
Semi equipment		2,000	3,500	4,200		2,000	3,500	4,200		2,000	3,500	4,200
Mkt cap to new order			5.0				7.0				3.0	
Equity value (Rmb mn)			46,366				85,492				21,940	
Share capital (mn)			279				279				279	
Scenario value (Rmb)			166				306				79	

Source: Morgan Stanley Research (E) estimate

SC New Energy (300724.SZ): Remain UW, lower PT

We raise our sales forecast by 39% for 2025 given better sales recognition for rushed domestic solar installations in 2025, but lower it by 39%/40% for 2026/27 on front-loaded sales in 2025 and 2025 new order shortfall (we estimate down 60% YoY). We lift GPM by 0.7/1.7/2.9ppt for 2025-27 to factor in the higher overseas mix. We raise our net profit forecast by 75% for 2025 but lower it by 55%/67% for 2026/27.

We change our valuation methodology from P/B to a market cap-to-new orders multiple on our 2026e new orders estimates, as new orders are forward-looking for downstream demand while a P/E methodology values sales recognition at a lag.

We expect new orders to rise by 11% YoY in 2026 and 13% in 2027 vs. a 60% decline in 2025, with overseas TOPCon demand, perovskite and semi equipment growth to partly offset the domestic order shortfall. We apply a 5x market cap-to-new order multiple on 2026 new orders of c.Rmb3.9bn to derive our new PT of Rmb56 (down from Rmb79). We think the 5x multiple is appropriate given we think SC has greater potential for order growth than most peer companies, as 1) solar cell equipment is more critical than other types of equipment for companies to retain their cost/technology leadership; and 2) the company could be a potential beneficiary of space solar in the long term if more space data center/satellites ramp up. Having said that, we remain UW on SC considering a turnaround in solar overcapacity does not look likely in the medium term and we see

limited new order growth in the short term coming from the non-solar segment. We cross-check our PT with P/B valuation method, which implies 1.4x P/B for 2026e.

Exhibit 53: Revision Summary

(RMB mn)	2025E				2026E				2027E			
	Old	New	Chg %	YoY	Old	New	Chg %	YoY	Old	New	Chg %	YoY
EPS (Rmb)	5.53	9.68	75.1%	21.8%	3.19	1.43	-55.3%	-85.3%	1.93	0.63	-67.2%	-55.5%
Total Revenue	12,556	17,438	38.9%	-7.7%	10,508	6,377	-39.3%	-63.4%	9,153	5,491	-40.0%	-13.9%
Solar cell equipment	9,590	14,936	55.7%	-8.2%	7,260	4,384	-39.6%	-70.6%	5,646	3,821	-32.3%	-12.8%
Automatic supporting equipment	2,275	1,812	-20.4%	-10.0%	2,502	1,268	-49.3%	-30.0%	2,703	888	-67.1%	-30.0%
Accessories and others	690	690	0.0%	15.0%	746	725	-2.8%	5.0%	805	783	-2.8%	8.0%
Gross Profit Margin	28.2%	28.9%	0.7%	2.4%	26.8%	28.6%	1.7%	-0.3%	26.4%	29.3%	2.9%	0.8%
Solar cell equipment	28.0%	28.6%	0.6%	2.0%	26.0%	27.0%	1.0%	-1.6%	25.0%	27.0%	2.0%	0.0%
Automatic supporting equipment	23.0%	24.0%	1.0%	2.7%	23.0%	23.0%	0.0%	-1.0%	23.0%	23.0%	0.0%	0.0%
Accessories and others	48.0%	48.0%	0.0%	8.0%	48.0%	48.0%	0.0%	0.0%	48.0%	48.0%	0.0%	0.0%
Operating Profit	1,649	3,406	106.6%	38.8%	794	217	-72.7%	-93.6%	332	(64)	NA	NA
Operating Margin	13.1%	19.5%	6.4%	6.5%	7.6%	3.4%	-4.2%	-16.1%	3.6%	-1.2%	NA	NA
Net Profit	1,923	3,367	75.1%	21.8%	1,110	496	-55.3%	-85.3%	672	221	-67.2%	-55.5%
Net Margin	15.3%	19.3%	4.0%	4.7%	10.6%	7.8%	-2.8%	-11.5%	7.3%	4.0%	-3.3%	-3.8%

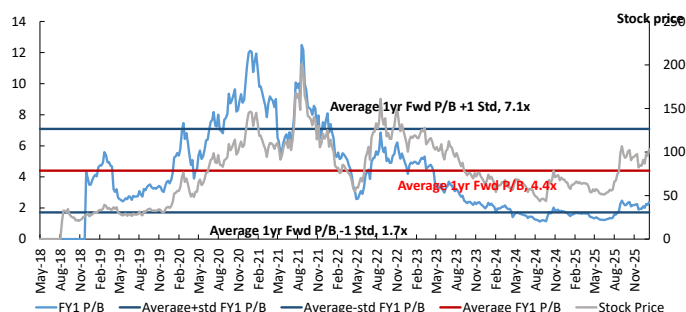
Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 54: Valuation methodology

	2024	2025E	2026E	2027E
New order (Rmb mn)	8,650	3,500	3,900	4,400
% YoY	-75%	-60%	11%	13%
Mkt cap to new order			5	
Equity Value (Rmb mn)			19,500	
Share capital (mn)			348	
Price Target (Rmb)			56	

Source: Morgan Stanley Research (E) estimates

Exhibit 55: P/B band



Source: FactSet, Morgan Stanley Research

JSG (300316.SZ): Remain UW; PT unchanged

We raise our sales forecast by 3% for 2025 but lower it by 5%/5% for 2026/27 to factor in front-loaded solar installations in 2025 and a sequential deterioration with order shortfall. We raise our GPM slightly by 2.8/0.6ppt for 2025/26 on product mix. EPS therefore turns positive in 2025 but deteriorates further in 2026-27.

We apply a 1.5x 2026e P/B multiple to derive our price target. Our P/B multiple remains around JSG's historical low valuation level, as JSG's key solar equipment domain is wafer slicing equipment which will need a longer time to see new order recovery given more deep overcapacity than other solar manufacturing processes.

Exhibit 56: Revision Summary

	2025E				2026E				2027E			
	Old	New	Chg%	YoY	Old	New	Chg%	YoY	Old	New	Chg%	YoY
EPS	(0.02)	0.35	NA	-82%	(0.10)	(0.22)	125%	NA	(0.21)	(0.32)	52%	44%
Revenue												
Total	10,104	10,432	3%	-41%	7,949	7,541	-5%	-28%	7,690	7,338	-5%	-3%
Equipment	7,125	7,279	2%	-46%	4,788	4,197	-12%	-42%	4,155	3,611	-13%	-14%
Solar equip	5,679	5,833	3%	-52%	3,108	2,482	-20%	-57%	2,447	1,687	-31%	-32%
Semi equip	1,446	1,446	0%	19%	1,679	1,715	2%	19%	1,707	1,925	13%	12%
Materials	2,068	2,068	0%	-38%	2,205	2,205	0%	7%	2,531	2,531	0%	15%
Sapphire	651	651	0%	55%	781	781	0%	20%	898	898	0%	15%
Quartz crucible	955	955	0%	-60%	1,002	1,002	0%	5%	1,066	1,066	0%	6%
Diamond wire	150	150	0%	52%	202	202	0%	35%	236	236	0%	17%
SiC	313	313	0%	-25%	219	219	0%	-30%	331	331	0%	51%
Other parts	911	1,085	19%	25%	957	1,139	19%	5%	1,005	1,196	19%	5%
As % of total rev												
Equipment	71%	70%	-1%	-6%	60%	56%	-5%	-14%	54%	49%	-5%	-6%
Materials	20%	20%	-1%	1%	28%	29%	2%	9%	33%	34%	2%	5%
Other parts	9%	10%	1%	5%	12%	15%	3%	5%	13%	16%	3%	1%
GPM												
Total	23%	26%	2.8%	-7.6%	22%	22%	0.6%	-3.4%	21%	21%	-0.2%	-1.3%
Equipment	31%	34%	3.0%	-2.4%	31%	33%	2.0%	-1.0%	31%	33%	2.0%	0.0%
Materials	8%	8%	0.0%	-21.1%	11%	11%	0.0%	3.3%	12%	12%	0.0%	0.6%
Other parts	-5%	5%	10.0%	0.0%	5%	5%	0.0%	0.0%	5%	5%	0.0%	0.0%
OPM	-3.4%	1.1%	4.4%	-15.1%	-4.5%	-8.9%	-4.3%	NA	-6.6%	-11.0%	-4.5%	-2.1%
NPM	-0.2%	4.4%	4.6%	-9.9%	-1.6%	-3.9%	-2.2%	NA	-3.6%	-5.7%	-2.1%	-1.9%

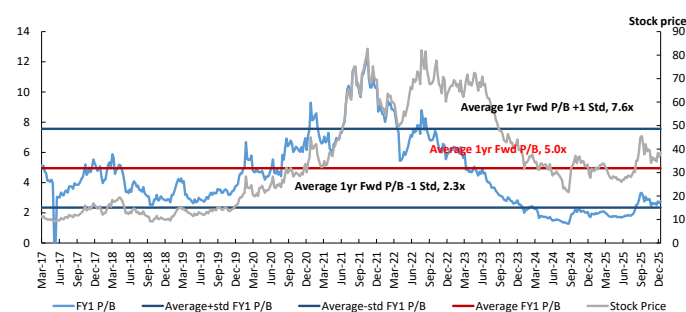
Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 57: Valuation methodology

	2024	2025E	2026E	2027E
BVPS	12.7	13.0	12.8	12.4
% YoY	11%	3%	-2%	-3%
PB multiple			1.5	
Equity Value (Rmb mn)			25,102	
Price Target (Rmb)			19	

Source: Morgan Stanley Research (E) estimates

Exhibit 58: P/B band



Source: FactSet, Morgan Stanley Research

Autowell (688516.SS): Remain UW, lift PT to Rmb41

We raise our sales forecast by 3%/13%/46% for 2025/26/27 to factor in the better sales outlook on ESS equipment and solar equipment upgrade amid the downcycle. We raise our GPM forecasts by 5/5.4/5.2ppt for 2025/26/27 on product mix (higher mix of high-margin solar equipment, and solar equipment upgrade service). We revised net losses in 2026-27 to net profits at Rmb184/314mn.

We change our valuation methodology from P/B to a market cap-to-new orders multiple on our 2026e new orders estimates, as new orders are forward-looking for downstream demand while a P/E methodology values sales recognition at a lag.

We expect Autowell new orders to rise by 8% YoY in 2026 and 6% in 2027 vs. a 41% decline in 2025, with overseas module equipment, ESS equipment and semi equipment demand partly offsetting the domestic downcycle. We apply a 2x market cap-to-new order multiple on 2026 new orders of c.Rmb6.5bn to derive our new PT of Rmb41 (was Rmb26). We think the 2x multiple is appropriate given lower growth potential from perovskite (less or completely not using stringer) cell iteration. We remain UW on Autowell considering a solar overcapacity turnaround is not in sight while the market has priced in the potential growth from space solar.

Exhibit 59: Revision Summary

	2025e				2026e				2027e			
	Old	New	% Chg	YoY	Old	New	% Chg	YoY	Old	New	% Chg	YoY
EPS (Rmb)	0.51	1.59	209%	-61%	-0.43	0.58	NA	-63%	-1.57	1.00	NA	71%
Total Revenue (Rmb mn)	6,397	6,562	3%	-29%	4,887	5,510	13%	-16%	4,135	6,022	46%	9%
Solar equipment	4,815	4,509	-6%	-42%	3,108	3,199	3%	-29%	2,589	3,470	34%	8%
Lithium battery equipment	550	550	0%	20%	773	1,057	37%	92%	665	1,349	103%	28%
Semiconductor equipment	135	135	0%	193%	185	154	-17%	14%	219	221	1%	43%
Equipment upgrade service and parts	880	1,350	53%	49%	800	1,080	35%	-20%	640	960	50%	-11%
Others	18	18	0%	10%	20	20	0%	10%	22	22	0%	10%
Net profit (Rmb mn)	162	501	209%	-61%	(134)	184	NA	-63%	(495)	314	NA	71%
Margin (%)												
GP Margin	27.0%	32.0%	5.0%	-1%	26.7%	32.1%	5.4%	0.1%	26.9%	32.1%	5.2%	0.0%
Solar equipment	24.0%	29.0%	5.0%	-3%	23.0%	31.0%	8.0%	2.0%	23.0%	32.0%	9.0%	1.0%
Lithium battery equipment	22.0%	22.0%	0.0%	-8%	23.0%	22.0%	-1.0%	0.0%	24.0%	23.0%	-1.0%	1.0%
Semiconductor equipment	17.0%	17.0%	0.0%	-11%	20.0%	20.0%	0.0%	3.0%	25.0%	25.0%	0.0%	5.0%
Equipment upgrade service and parts	47.0%	47.0%	0.0%	7%	45.0%	46.0%	1.0%	-1.0%	45.0%	46.0%	1.0%	0.0%
Others	75.0%	75.0%	0.0%	-15%	75.0%	75.0%	0.0%	0.0%	75.0%	75.0%	0.0%	0.0%
OP Margin	1.3%	7.0%	5.7%	-9%	-4.9%	2.3%	NA	-4.7%	-15.8%	4.4%	NA	2.1%
NP Margin	2.5%	7.6%	5.1%	-6.2%	-2.7%	3.3%	NA	-4.3%	-12.0%	5.2%	NA	1.9%

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 60: Valuation methodology

	2024	2025E	2026E	2027E
New order (Rmb mn)	10,149	6,000	6,500	6,900
% YoY	-22%	-41%	8%	6%
Mkt cap to new order			2	
Equity Value (Rmb mn)			13,000	
Share capital (mn)			315	
Price Target (Rmb)			41	

Source: Morgan Stanley Research (E) estimates

Exhibit 61: P/B band



Source: FactSet, Morgan Stanley Research

DR Laser (300776.SZ): Remain EW; PT unchanged

We lower our sales forecast by 7% for 2025 and keep it flat for 2026/27 to factor in slower recognition of domestic orders amid the downcycle, but expect BC order delivery and recognition to support sales growth in 2026-27.

We remain EW on DR Laser as we do not expect a significant change in order book. DR Laser remains a key beneficiary among solar equipment companies we cover based on its high ASP orders from the BC tech route to mitigate order shortfalls from TOPCon

equipment. We apply an unchanged 20x P/E multiple to our 2026E EPS to arrive at our price target of Rmb64.00 (unchanged).

Exhibit 62: Revision Summary

	2025E			2026E			2027E		
	New	Old	Chg%	New	Old	Chg%	New	Old	Chg%
EPS	2.38	2.56	-7.3%	3.15	3.15	0.0%	3.62	3.62	0.0%
Revenue	2,513	2,513	0.0%	3,199	3,199	0.0%	3,898	3,898	0.0%
Gross Profit	1,140	1,197	-4.8%	1,562	1,562	0.0%	1,903	1,903	0.0%
Selling expenses	20	20	0.0%	64	64	0.0%	105	105	0.0%
G&A expenses	88	88	0.0%	115	115	0.0%	140	140	0.0%
Operating Profit	756	813	-7.0%	935	935	0.0%	1,073	1,073	0.0%
Net Profit	649	700	-7.3%	859	859	0.0%	988	988	0.0%
Gross Margin	45.4%	47.6%	-2.3%	48.8%	48.8%	0.0%	48.8%	48.8%	0.0%
Selling exp as % of Rev	0.8%	0.8%	0.0%	2.0%	2.0%	0.0%	2.7%	2.7%	0.0%
G&A as % of Rev	3.5%	3.5%	0.0%	3.6%	3.6%	0.0%	3.6%	3.6%	0.0%
Operating Margin	30.1%	32.3%	-2.3%	29.2%	29.2%	0.0%	27.5%	27.5%	0.0%
Net Margin	25.8%	27.9%	-2.0%	26.9%	26.9%	0.0%	25.4%	25.4%	0.0%

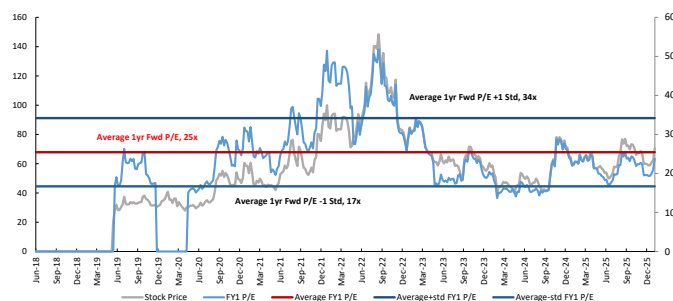
Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 63: Valuation methodology

	2024	2025E	2026E	2027E
Net profit (Rmbmn)	528	649	860	989
% YoY	14%	23%	32%	15%
% 3yr CAGR	23%	23%		
EPS (Rmb)	1.93	2.38	3.15	3.62
PE multiple			20	
Equity Value (Rmb mn)			17,192	
Price Target (Rmb)			64	

Source: Morgan Stanley Research (E) estimates

Exhibit 64: P/E band



Source: FactSet, Morgan Stanley Research

Railway Equipment

CRRC (1766.HK, 601766.SS): Downgrade both the H and A share to UW on soft fundamentals and lack of catalysts; lowering PTs by 22-30%

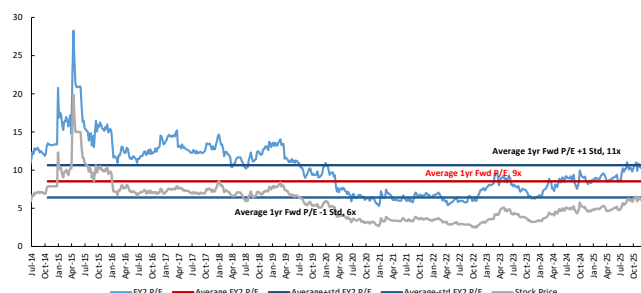
Our 2025-27 earnings estimates are unchanged. But we apply a lower multiple of 8x 2026e P/E (vs. 10x previously), which is roughly between the historical 8-year average FY2 of 9x and the avg -1sd of 6x, considering the cycle peaked out in 2025. Our H-share PT moves to HK\$5.0 from HK\$6.4. We apply a 30% A-H premium (previously 45%) to derive our A-share PT (in line with its past 1-year average premium) of Rmb5.9 (vs. Rmb8.4 previously).

Exhibit 65: Valuation methodology

	2024	2025E	2026E	2027E
Recurring net profit (Rmbmn)	13,005	17,551	16,679	17,072
% YoY	3%	35%	-5%	2%
Recurring EPS (Rmb)	0.45	0.61	0.58	0.59
PE multiple			8	
Equity Value (Rmb mn)		130,099		
CNY/HKD		1.1		
Price Target-H share (HKD)		5.0		
A-H share premium (1-year average)		30%		
Price Target-A share (Rmb)		5.9		

Source: Morgan Stanley Research (E) estimates

Exhibit 66: H share P/E band



Source: FactSet, Morgan Stanley Research

Times Electric (3898.HK): Cut estimates; downgrade to EW on balanced risk-reward; PT falls to HK\$39

We cut our 2025-27 net profit estimate by 3%/7%/9% to reflect 3Q25 results and lower MU projections in 2026-27. Our SOTP-derived PT moves to HK\$39 from HK\$44 as we apply a 9x 2026e P/E to the railway equipment business (vs. 10x previously) on lower growth, and a 12x 2026e P/E (unchanged) to its emerging businesses. Our PT equates to 10x 2026e P/E for the company as a whole.

Exhibit 67: Revision Summary

	2024		2025E				2026E				2027E			
		YoY	New	Old	% Chg	YoY	New	Old	% Chg	YoY	New	Old	% Chg	YoY
Revenue (Rmb mn)														
Railway electrical equipment	10,990	7%	11,839	12,253	-3%	8%	11,552	13,181	-12%	-2%	11,807	14,503	-19%	2%
Signaling	1,105	68%	1,229	1,229	0%	11%	1,290	1,290	0%	5%	1,355	1,355	0%	5%
Railway construction machinery	1,891	12%	1,970	1,970	0%	4%	2,068	2,068	0%	5%	2,172	2,172	0%	5%
Emerging equipment	10,115	14%	12,797	12,797	0%	27%	15,668	15,668	0%	22%	18,487	18,487	0%	18%
Total Revenue	24,909	13%	28,796	29,210	-1%	16%	31,637	33,266	-5%	10%	34,974	37,670	-7%	11%
Gross Profit	8,091	29%	9,564	9,771	-2%	18%	10,382	11,106	-7%	9%	11,415	12,587	-9%	10%
Selling Expense	589	20%	681	691	-1%	16%	732	787	-7%	8%	792	891	-11%	8%
G&A Expense	3,826	22%	4,406	4,469	-1%	15%	4,777	5,056	-6%	8%	5,211	5,688	-8%	9%
Operating Profit	3,514	38%	4,304	4,435	-3%	22%	4,683	5,063	-8%	9%	5,201	5,782	-10%	11%
Net Profit	3,703	22%	4,128	4,245	-3%	11%	4,437	4,774	-7%	7%	4,889	5,402	-9%	10%
Basic EPS (Rmb)	2.61	22%	2.92	3.00	-3%	11%	3.13	3.37	-7%	7%	3.45	3.81	-9%	10%
Margin														
Gross Margin	32.5%	3.9%	33.2%	33.4%	-0.2%	0.7%	32.8%	33.4%	-0.6%	-0.4%	32.6%	33.4%	-0.8%	-0.2%
Selling Expense / Revenue	2.4%	0.1%	2.4%	2.4%	0.0%	0.0%	2.3%	2.4%	-0.1%	-0.1%	2.3%	2.4%	-0.1%	-0.1%
G&A Expense / Revenue	14.1%	2.5%	14.9%	15.2%	-0.2%	0.8%	14.8%	15.2%	-0.4%	-0.1%	14.9%	15.3%	-0.5%	0.1%
Operating Margin	14.1%	2.5%	14.9%	15.2%	-0.2%	0.8%	14.8%	15.2%	-0.4%	-0.1%	14.9%	15.3%	-0.5%	0.1%
Net Margin	14.9%	1.0%	14.3%	14.5%	-0.2%	-0.5%	14.0%	14.4%	-0.3%	-0.3%	14.0%	14.3%	-0.4%	0.0%

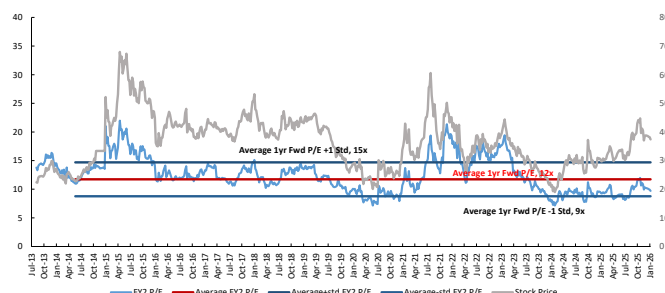
Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 68: Valuation methodology

	Railway business				Emerging business				Total			
	2024	2025E	2026E	2027E	2024	2025E	2026E	2027E	2024	2025E	2026E	2027E
Recurring net profit (Rmbmn)	2,579	2,737	2,592	2,529	1,380	1,753	2,243	2,799	3,959	4,490	4,835	5,328
% YoY	27%	6%	-5%	-2%	3%	27%	28%	25%	18%	13%	8%	10%
Recurring EPS (Rmb)	1.8	1.9	1.8	1.8	1.0	1.2	1.6	2.0	2.8	3.2	3.4	3.8
CN/HKD			1.1				1.1					
Recurring EPS (HKD)			2.0				1.7					4
P/E multiples			9				12					10
Equity Value per share (HKD)			18				21					39
Equity value (HKD mn)			25,657				29,608					55,265

Source: Morgan Stanley Research (E) estimates

Exhibit 69: P/E band



Source: FactSet, Morgan Stanley Research

AIDC Equipment

Envicool (002837.SZ): Stay OW, lift PT to Rmb118 on overseas acceleration

We cut slightly our 2025 revenue estimates by 3% while raising our 2026-27 estimates more substantially by 28%/41%, respectively, to reflect higher conviction from overseas customers in terms of progress in the electronic heat dissipation business (classified in the other business segment) after Google's factory inspection in December 2025 and potential scale orders since 2026. We raise GPM by 2.8/3.3pt for 2026-27 considering the notable region mix change. Hence, our net profit estimates are 3% lower in 2025 vs. before but increase 68%/76% for 2026/27.

For the valuation methodology, we change from previous P/E to SOTP consisting of DCF +P/E, to better capture Envicool's market potential in the overseas liquid cooling market, as we believe its consecutive breakthroughs in US CSPs have broadened its addressable market in the mid-to long term. We use a DCF methodology to discount free cash flow over 2025-2035, with a WACC of 9.7% and 3% terminal growth to drive its overseas liquid cooling business value per share of Rmb94. We use 30x 2026e P/E for its other traditional business to get value per share of Rmb24, which is largely in-line with its historical 5-year average FY2 P/E of 32x. Combining both these values, our new PT is Rmb118.

Exhibit 70: Revision Summary

	2024	2025E			2026E			2027E		
	Actual	New	Old	Chg%	New	Old	Chg%	New	Old	Chg%
Revenue										
Room cooling	2,441	3,538	3,666	-3%	4,446	4,404	1%	5,298	5,034	5%
Cabinet cooling	1,715	2,012	2,114	-5%	2,724	2,698	1%	3,203	3,296	-3%
Rail transit cooling	75	81	81	0%	86	86	0%	91	91	0%
Bus cooling	111	118	118	0%	152	152	0%	169	169	0%
Other business	247	415	415	0%	3,225	1,037	211%	5,541	1,647	236%
Total	4,589	6,164	6,394	-4%	10,633	8,376	27%	14,302	10,236	40%
Gross Profit	1,319	1,722	1,787	-4%	3,317	2,375	40%	4,639	2,979	56%
Selling expenses	(207)	(272)	(282)	-4%	(452)	(356)	27%	(601)	(430)	40%
R&D expenses	(350)	(455)	(472)	-4%	(780)	(614)	27%	(1,013)	(725)	40%
G&A expenses	(198)	(254)	(263)	-4%	(422)	(332)	27%	(560)	(401)	40%
Operating Profit	435	580	601	-4%	1,400	854	64%	2,103	1,151	83%
Net Profit	453	597	623	-4%	1,373	867	58%	2,031	1,149	77%
EPS	0.61	0.61	0.64	-5%	1.41	0.90	57%	2.08	1.19	75%
Gross Margin	28.7%	27.9%	28.0%	0.0%	31.2%	28.4%	2.8%	32.4%	29.1%	3.3%
Selling exp as % of Rev	-4.5%	-4.4%	-4.4%	0.0%	-4.3%	-4.3%	0.0%	-4.2%	-4.2%	0.0%
R&D as % of Rev	-7.6%	-7.4%	-7.4%	0.0%	-7.3%	-7.3%	0.0%	-7.1%	-7.1%	0.0%
G&A as % of Rev	-4.3%	-4.1%	-4.1%	0.0%	-4.0%	-4.0%	0.0%	-3.9%	-3.9%	0.0%
Operating Margin	9.5%	9.4%	9.4%	0.0%	13.2%	10.2%	3.0%	14.7%	11.2%	3.5%
Net Margin	9.9%	9.7%	9.7%	-0.1%	12.9%	10.4%	2.6%	14.2%	11.2%	3.0%

Source: Company data, Morgan Stanley Research (E) estimates

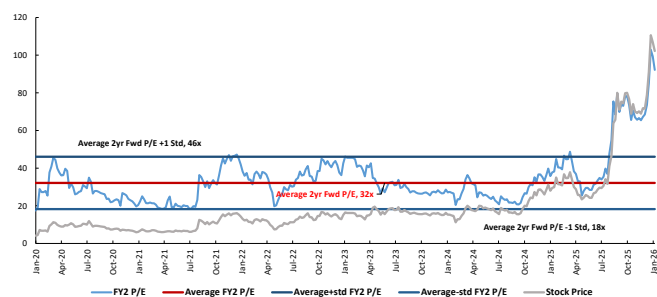
Exhibit 71: Valuation methodology - SOTP

Envicool overseas liquid cooling business												
CNY mn	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	Terminal Value
Discounted cash flow analysis												
Revenue	153	3,025	5,330	9,238	16,437	26,796	33,489	43,639	54,744	66,377	75,665	
Profit after tax	31	599	1,045	1,792	3,156	5,091	6,296	8,117	10,073	12,081	13,620	
PAT margin	20%	20%	20%	19%	19%	19%	19%	19%	18%	18%	18%	
YoY Growth		1862%	74%	72%	76%	61%	24%	29%	24%	20%	13%	
CAPEX (net)	(229)	(454)	(799)	(1,016)	(1,315)	(1,876)	(2,009)	(2,182)	(2,190)	(2,655)	(2,119)	
Capex as % of revenue	150%	15%	15%	11%	8%	7%	6%	5%	4%	4%	3%	
Free Cash Flow	(198)	145	245	776	1,841	3,215	4,287	5,935	7,883	9,426	11,501	176,281
Discount Factor	1.00	0.91	0.83	0.76	0.69	0.63	0.57	0.52	0.48	0.43	0.40	
PV of FCF	(198)	132	204	588	1,270	2,022	2,457	3,100	3,753	4,090	4,549	69,719

Fair value	CNY mn			
Summary of PV (Enterprise Value)	91,685			
Total shares issued	977			
Per Share Value - Rmb	94			
DCF valuation assumptions				
Valuation date				
Cost of Equity	12.0%			
Risk free rate	4.2%			
Beta	1.3			
Risk premium	6.0%			
China premium				
Cost of Debt	4.4%			
Debt rate	5.0%			
Tax rate	12.0%			
Long-Term Debt / Total Cap.	30.0%			
WACC	9.7%			
Perpetual Growth	3.0%			
Other traditional business				
2024	2025E	2026E	2027E	
Net profit (Rmb mn)	567	774	986	
% YoY		37%	27%	
PE multiple			30	
Equity Value (Rmb mn)			23,217	
Per Share Value - Rmb			24	
Price target - Rmb			118	

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 72: P/E band



Source: FactSet, Morgan Stanley Research

Financial Summary

Exhibit 73: Inovance

Income Statement

(Rmb Mn)	2023	2024	2025E	2026E	2027E
Revenue	30,420	37,041	45,738	53,242	62,623
Cost of sales and services	(20,584)	(26,409)	(32,904)	(38,385)	(45,230)
Gross profit	9,836	10,632	12,833	14,857	17,393
Other income	729	680	686	799	939
Sales expenses	(197)	(231)	(285)	(331)	(390)
G&A expenses	(3,923)	(4,688)	(5,788)	(6,525)	(7,600)
Business Tax	(197)	(231)	(285)	(331)	(390)
Operating profit	4,871	4,911	5,825	6,912	8,186
Financial expenses	(1)	3	94	125	216
Asset Impairment loss	(554)	(523)	(632)	(764)	(876)
Profit before tax and MI	5,000	4,609	5,689	6,592	7,845
Income tax	(225)	(262)	(256)	(297)	(353)
Non-controlling interests	(34)	(61)	(75)	(87)	(104)
Net profit attributable to shareholders	4,742	4,285	5,358	6,208	7,388
EPS (Rmb)	1.77	1.60	2.00	2.32	2.76
Recurring NP to shareholders	4,578	4,609	5,578	6,633	7,920
Recurring EPS (Rmb)	1.72	1.72	2.08	2.48	2.96

Balance Sheet

(Rmb Mn)	2023	2024	2025E	2026E	2027E
Non-current assets	17,710	26,728	26,861	26,987	27,187
PPE	4,719	7,041	7,304	7,550	7,856
Intangible assets	797	808	768	739	723
Other current assets	12,194	18,879	18,789	18,698	18,608
Current assets	31,247	30,451	41,519	52,579	65,330
Cash	8,537	3,337	9,242	15,881	23,107
Cash Deposits and Equivalents	622	2,004	2,004	2,004	2,004
Notes Receivable	3,795	3,505	4,328	5,039	5,926
Account Receivable	8,795	10,714	13,229	15,400	18,113
Prepayments	385	466	580	677	798
Other Receivables	47	107	107	107	107
Inventory	6,248	6,956	8,666	10,110	11,912
Other Current Assets	687	986	986	986	986
Total Assets	48,958	57,179	68,380	79,567	92,517

Current liabilities	19,644	23,374	30,554	37,082	44,488
Notes Payable	5,120	6,858	8,545	9,968	11,745
Account Payable	7,191	10,140	12,634	14,738	17,367
Prepayment Received	871	903	903	903	903
Salary Payable	1,223	1,396	1,396	1,396	1,396
Tax Payable	325	391	391	391	391
Other Payable	1,076	802	802	802	802
Non-current liabilities	4,313	5,376	5,376	5,376	5,376
Debt in estimates	489	650	650	650	650
Deferred Revenue	282	373	373	373	373
Other Non-current Liabilities	935	1,233	1,233	1,233	1,233
Non-controlling interests	519	435	510	597	701
Shareholders' equity	24,482	27,994	31,940	36,512	41,953
Share Capital	2,677	2,692	2,692	2,692	2,692
Additional Paid-in Capital	5,670	6,147	6,147	6,147	6,147
Retained Earnings	16,135	19,155	23,100	27,672	33,113
Total Liabilities and Equity	48,958	57,179	68,380	79,567	92,517

Financial Analysis

	2023	2024	2025E	2026E	2027E
Growth (%)					
Turnover	32%	22%	23%	16%	18%
Operating Profit	22%	1%	19%	19%	18%
Net Profit	10%	-10%	25%	16%	19%
Recurring EPS	20%	0%	21%	19%	19%
Margins (%)					
Gross Margin	32.3%	28.7%	28.1%	27.9%	27.8%
Selling expenses	5.2%	4.0%	3.5%	3.5%	3.4%
G&A expenses	12.9%	12.7%	12.7%	12.3%	12.1%
Operating Margin	16.0%	13.3%	12.7%	13.0%	13.1%
Net Margin	15.6%	11.6%	11.7%	11.7%	11.8%
Efficiency					
Asset Turnover (X)	0.7	0.7	0.7	0.7	0.7
Inventory Days	111	96	96	96	96
Receivables Days	151	140	140	140	140
Payable Days	218	235	235	235	235
Return (%)					
ROA	9.7%	7.5%	7.8%	7.8%	8.0%
ROE	19.4%	15.3%	16.8%	17.0%	17.6%
ROIC	15.0%	15.0%	11.5%	12.0%	11.8%
Gearing (X)					
Asset/Equity	2.0	2.0	2.1	2.1	2.2
Total Liabilities/Equity	96%	101%	111%	114%	117%
Total IB Debt/Equity	13%	12%	20%	25%	29%
Net Cash	6,009	1,988	4,892	8,532	12,758
Valuations (X)					
P/E	36	37	39	34	28
P/BV	6.9	5.7	6.6	5.7	5.0
EV/EBITDA	29	29	32	27	23
Dividend Yield (%)	0.7%	0.7%	0.7%	0.8%	0.9%

Cashflow Statement

(Rmb Mn)	2023	2024	2025E	2026E	2027E
Operating cash flow	3,370	7,200	5,450	6,552	7,682
Investing cash flow	(454)	(10,551)	(977)	(1,037)	(1,187)
Financing cash flow	(323)	(1,833)	1,432	1,125	731
Increase in cash	2,593	(5,183)	5,905	6,639	7,226
Effect of foreign exchange rate changes	(20)	(17)	0	0	0
Cash and cash equivalents at BOP	5,964	8,537	3,337	9,242	15,881
Cash and cash equivalents at EOP	8,537	3,337	9,242	15,881	23,107

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 74: Hongfa

Hongfa Technology Co Ltd
Income Statement

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Revenue	12,930	14,102	16,467	18,781	20,987
Cost of sales and services	(8,160)	(8,996)	(10,591)	(12,077)	(13,449)
Gross profit	4,770	5,106	5,875	6,705	7,539
Business Tax and plus	(99)	(109)	(127)	(144)	(161)
Selling exp.	(484)	(518)	(583)	(646)	(701)
G&A exp.	(1,885)	(2,220)	(2,489)	(2,811)	(3,110)
Operating profit	2,301	2,259	2,677	3,103	3,567
Asset impairment Loss	(81)	(34)	(42)	(43)	(37)
Investment Gains	(95)	(25)	(25)	(25)	(25)
Non-operating profit	191	276	263	301	336
Non-operating loss	(8)	(4)	0	0	0
Financial expenses	(49)	(70)	(57)	(22)	(12)
Profit before tax	2,245	2,445	2,816	3,314	3,828
Tax	(326)	(282)	(324)	(381)	(440)
Net profit	1,918	2,163	2,492	2,933	3,388
Minority	(525)	(532)	(642)	(732)	(819)
Net profit to shareholders	1,393	1,631	1,850	2,200	2,569
EPS (Rmb)	1.34	1.56	1.27	1.51	1.76
NP to shareholders - recurring	1,174	1,417	1,703	2,033	2,382
Diluted EPS - recurring	1.13	1.34	1.17	1.39	1.63

Balance Sheet

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Non-current assets	7,111	7,784	7,903	8,245	8,715
PPE	4,862	5,254	5,526	5,764	6,106
Intangible assets	476	485	476	471	466
Other current assets	1,773	2,045	1,900	2,010	2,143
Current assets	10,613	12,881	15,065	17,560	20,217
Cash	1,736	1,863	3,703	4,482	5,738
Cash Deposits and Equivalents	206	2,091	0	0	0
Notes Receivable	1,781	1,649	1,933	2,205	2,464
Account Receivable	3,102	3,271	4,060	4,888	5,462
Prepayments	177	169	199	227	253
Other Receivables	49	55	84	96	107
Inventory	2,550	3,487	4,105	4,681	5,213
Other Current Assets	1,013	296	980	980	980
Total Assets	17,724	20,664	22,967	25,805	28,933
Current liabilities	3,969	4,732	5,036	5,469	5,854
Short-term borrowing	43	1,214	1,214	1,214	1,214
Notes Payable	499	626	638	728	811
Account Payable	1,407	1,693	1,935	2,140	2,310
Prepayments	1	1	1	1	1
Salary payable	598	684	659	751	839
Tax payable	130	153	165	188	210
Other current assets	1,292	361	425	448	470
Non-current liabilities	2,697	3,390	3,434	3,514	3,594
Debt and long term bond	1,906	2,565	2,645	2,725	2,805
Other Non-current Liabilities	791	825	790	790	790
Non-controlling interests	2,717	3,038	3,038	3,038	3,038
Shareholders' equity	8,341	9,504	11,459	13,783	16,446
Share Capital	1,043	1,043	1,043	1,043	1,043
Additional Paid-in Capital	1,632	1,857	1,857	1,857	1,857
Retained Earnings	5,667	6,605	8,559	10,883	13,547
Total Liabilities and Equity	17,724	20,664	22,967	25,805	28,933

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Financial Analysis

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Growth (%)					
Turnover	11%	9%	17%	14%	12%
Operating Profit	22%	-2%	18%	16%	15%
Net Profit	11%	17%	13%	19%	17%
Margins (%)					
Gross Margin	36.9%	36.2%	35.7%	35.7%	35.9%
Selling expenses	3.7%	3.7%	3.5%	3.4%	3.3%
G&A expenses	14.6%	15.7%	15.1%	15.0%	14.8%
Operating Margin	17.8%	16.0%	16.3%	16.5%	17.0%
Net Margin	10.8%	11.6%	11.2%	11.7%	12.2%
Efficiency					
Asset Turnover (X)	0.7	0.7	0.7	0.7	0.7
Inventory Days	114	141	141	141	141
Account Receivables Days	88	85	90	95	95
Account Payable Days	63	69	67	65	63
Return (%)					
ROA	7.9%	7.9%	8.1%	8.5%	8.9%
ROE	16.7%	17.2%	16.1%	16.0%	15.6%
ROIC	23.1%	19.5%	19.0%	18.8%	18.5%
Gearing (X)					
Asset/Equity	2.1	2.2	2.0	1.9	1.8
Total Liabilities/Equity	80%	85%	74%	65%	57%
Total IB Debt/Equity	23%	40%	34%	29%	24%
Net Debt / (cash)	969	(145)	187	(513)	(1,689)
Valuations (X)					
P/E	20.7	17.3	25.0	21.0	18.0
P/BV	3.5	2.8	4.0	3.3	2.8
EV/EBITDA	9.6	8.7	12.2	10.5	9.0
Dividend Yield (%)	1.6%	1.9%	1.3%	1.6%	1.8%

Cashflow Statement

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Operating cash flow	2,661	2,235	4,654	2,942	3,790
Investing cash flow	(1,657)	(2,210)	(2,322)	(1,633)	(1,890)
Financing cash flow	(584)	111	(493)	(529)	(644)
Increase in cash	420	135	1,839	780	1,256
Effect of FX rate changes	9	(13)	0	0	0
Cash and cash equivalents at BOP	1,307	1,742	1,863	3,703	4,482
Cash and cash equivalents at EOP	1,736	1,863	3,703	4,482	5,738

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Exhibit 75: Shuanghuan

Zhejiang Shuanghuan Driveline Co. Ltd.

Income Statement

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Revenue	8,074	8,781	8,959	10,249	11,983
Cost of sales and services	(6,278)	(6,585)	(6,512)	(7,451)	(8,689)
Gross profit	1,796	2,196	2,447	2,798	3,293
Tax and Surcharges	(47)	(56)	(54)	(61)	(72)
Selling exp.	(81)	(86)	(95)	(103)	(121)
G&A exp.	(713)	(806)	(854)	(981)	(1,132)
Operating profit	954	1,249	1,445	1,652	1,969
Financial (cost)/income	(35)	(38)	(43)	(40)	(31)
Asset impairment (Loss)/Gain	(33)	(55)	(30)	(32)	(37)
Credit Impairment Loss	(9)	(31)	(3)	(22)	(29)
Gains on Asset Dispositions	(14)	(8)	(4)	(5)	(6)
Profit before tax	932	1,203	1,491	1,681	2,002
Tax	(98)	(147)	(179)	(202)	(240)
Net profit	834	1,057	1,312	1,479	1,762
Net profit to shareholders	816	1,024	1,247	1,435	1,709
Diluted EPS (Rmb)	0.97	1.22	1.47	1.69	2.02
Net profit to shareholders - recurring	803	803	1,251	1,439	1,714
Diluted EPS (Rmb) - recurring	0.95	0.95	1.48	1.70	2.02
MW EPS (Rmb)	0.97	1.22	1.47	1.69	2.02

Balance Sheet

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Non-current assets	7,848	9,063	9,691	10,091	10,630
PPE	5,278	6,241	6,462	6,596	6,815
Construction in Progress	1,838	2,060	2,308	2,552	2,837
Intangible assets	453	499	523	544	571
Other current assets	279	263	397	399	408
Current assets	5,324	6,803	7,667	9,785	12,279
Cash	993	1,407	2,238	3,634	5,166
Note Receivable	3	0	0	0	0
Account Receivable	2,016	2,562	2,614	2,991	3,497
Prepayment	108	102	101	116	135
Inventory	1,824	2,031	2,008	2,298	2,680
Other Current Assets	378	700	706	747	802
Total Assets	13,171	15,867	17,358	19,876	22,910
Current liabilities	3,785	5,561	5,433	6,120	6,980
Notes payable	612	809	714	817	952
Account payable	1,416	1,817	1,606	1,837	2,143
Salary payable	207	253	269	307	359
Short Term Loans	878	1,983	2,181	2,399	2,639
Other current liabilities	673	699	664	759	887
Non-current liabilities	1,049	1,068	1,142	1,225	1,339
Non-controlling interests	374	424	489	534	586
Shareholders' equity	7,964	8,815	10,294	11,998	14,003
Share Capital	853	847	847	847	847
Additional Paid-in Capital	4,495	4,490	4,490	4,490	4,490
Retained Earnings	2,615	3,477	4,956	6,661	8,665
Total Liabilities and Equity	13,171	15,867	17,357	19,877	22,910

Financial Analysis

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Growth (%)					
Revenue	18%	9%	2%	14%	17%
Operating Profit	29%	31%	16%	14%	19%
Net Profit	40%	25%	22%	15%	19%
Margins (%)					
Gross Margin	22.2%	25.0%	27.3%	27.3%	27.5%
Selling expenses	1.0%	1.0%	1.1%	1.0%	1.0%
G&A expenses	8.8%	9.2%	9.5%	9.6%	9.4%
Operating Margin	11.8%	14.2%	16.1%	16.1%	16.4%
Net Margin	10.1%	11.7%	13.9%	14.0%	14.3%
Efficiency					
Asset Turnover (X)	0.6	0.6	0.5	0.5	0.5
Inventory Days	106.1	112.6	112.6	112.6	112.6
Account Receivables Days	91.2	106.5	106.5	106.5	106.5
Account Payable Days	82.3	100.7	90.0	90.0	90.0
Return (%)					
ROA	6.2%	6.5%	7.2%	7.2%	7.5%
ROE	10.3%	11.6%	12.1%	12.0%	12.2%
ROIC	9.2%	9.6%	10.4%	10.1%	10.4%
Gearing (X)					
Asset/Equity	1.7	1.8	1.7	1.7	1.6
Total Liabilities/Equity	0.6	0.8	0.6	0.6	0.6
Net Cash	115	(575)	57	1,235	2,527
Valuations (X)					
P/E	26.9	25.2	20.8	18.1	15.2
P/BV	2.9	2.7	2.3	1.9	1.7
EV/EBITDA	14.5	12.1	10.6	9.0	7.3
Dividend Yield (%)	0.4%	0.8%	1.0%	1.1%	1.4%

Cashflow Statement

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Operating cash flow	1,572	1,681	1,732	2,220	2,529
Investing cash flow	(1,302)	(1,962)	(1,297)	(1,274)	(1,489)
Financing cash flow	(898)	646	396	451	492
Increase in cash	(628)	366	830	1,396	1,532
Effect of FX changes	5	1	-	-	-
Cash Restatement	11	47	-	-	-
Cash&cash equivalents at	1,605	993	1,407	2,238	3,634
Cash&cash equivalents at	993	1,407	2,238	3,634	5,166

E = Morgan Stanley Research estimates

Source: Company Data, Morgan Stanley Research

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 76: Leaderdrive

Leader Harmonious Drive Systems

Income Statement						Financial Analysis					
(Rmb Mn)	2023A	2024A	2025E	2026E	2027E	(Rmb Mn)	2023A	2024E	2025E	2026E	2027E
Revenue	356	387	569	821	1,104	Growth (%)					
Cost of sales and services	(210)	(242)	(360)	(518)	(697)	Turnover	-20.1%	8.8%	46.9%	44.3%	34.4%
Gross profit	147	145	209	303	407	Operating Profit	-55.5%	-7.6%	77.0%	53.5%	40.1%
Business Tax and plus	(3)	(4)	(5)	(7)	(9)	Net Profit	-45.8%	-33.3%	111.5%	46.1%	38.2%
Selling exp.	(11)	(13)	(12)	(16)	(22)						
G&A exp.	(70)	(72)	(92)	(125)	(159)	Margins (%)					
Operating profit	62	57	101	155	217	Gross Margin	41.1%	37.5%	36.7%	36.9%	36.9%
Financial cost/income	23	0	1	6	7	Selling expenses	3.1%	3.3%	2.1%	2.0%	2.0%
Other Income	14	11	16	21	26	G&A expenses	19.8%	18.5%	16.1%	15.2%	14.4%
Asset impairment Loss	(18)	(34)	(21)	(24)	(16)	Operating Margin	17.3%	14.7%	17.7%	18.9%	19.7%
Net Income from fair value changes	1	4	11	5	5	Net Margin	23.6%	14.5%	20.9%	21.1%	21.7%
Investment Gains/Other Income	12	28	31	37	39						
Credit Impairment Loss	(2)	(5)	(6)	(6)	(8)	Efficiency					
Non-operating profit	0	0	-	-	-	Asset Turnover (X)	0.1	0.1	0.2	0.2	0.3
Non-operating loss	(0)	(0)	(0)	(0)	(0)	Inventory Days	442.1	370.4	350.0	330.0	300.0
Gains on Asset Dispositions	-	0	-	-	-	Account Receivables Days	99.7	138.1	130.0	120.0	120.0
Profit before tax	92	61	134	195	270	Account Payable Days	72.6	101.7	90.0	80.0	80.0
Tax	(7)	(5)	(13)	(20)	(27)						
Net profit	85	56	120	176	243	Return (%)					
Minority	(1)	0	(2)	(2)	(3)	ROA	3.0%	1.5%	3.1%	4.4%	5.7%
Net profit to shareholders	84	56	119	174	240	ROE	4.2%	1.6%	3.4%	4.8%	6.3%
EPS (Rmb)	0.50	0.33	0.67	0.95	1.31	ROIC	2.5%	1.6%	3.3%	4.6%	6.1%
Net profit to shareholders - recurring	83	52	106	167	234	Gearing (X)					
EPS (Rmb) - recurring	0.49	0.31	0.60	0.91	1.28	Asset/Equity	1.4	1.1	1.1	1.1	1.1
						Total Liabilities/Equity	0.4	0.1	0.1	0.1	0.1
						Net Cash	535.4	1,455.5	937.7	994.3	1,094.3
Balance Sheet						Valuations (X)					
(Rmb Mn)	2023A	2024A	2025E	2026E	2027E	P/E	307.5x	324.5x	290.0x	206.6x	149.5x
Non-current assets	1,146	1,550	1,949	1,844	1,743	P/BV	12.9x	5.3x	9.4x	9.1x	8.7x
PPE	490	494	870	765	666	EV/EBITDA	233.6x	148.9x	147.6x	119.6x	97.8x
Intangible assets	62	59	60	57	54	Dividend Yield (%)	0.2%	0.1%	0.1%	0.2%	0.2%
Other current assets	594	998	1,020	1,022	1,024						
Current assets	1,666	2,205	1,827	2,112	2,455	Cashflow Statement					
Cash	969	1,525	1,007	1,064	1,164	(Rmb Mn)	2023A	2024E	2025E	2026E	2027E
Cash Deposits and Equivalents	13	7	7	7	7	Operating cash flow	149	28	59	105	164
Notes Receivable	20	53	32	47	67	Investing cash flow	(188)	(313)	(511)	0	0
Account Receivable	97	147	203	270	363	Financing cash flow	323	840	(66)	(48)	(64)
Prepayments	11	13	20	28	38	Increase in cash	284	555	(518)	57	100
Other Receivables	3	2	3	4	6	Effect of FX changes	1	1	-	-	-
Inventory	254	246	345	468	573	Cash Restatement	(46)	(1)	-	-	-
Other Current Assets	299	212	211	223	237	Cash and cash equivalents at BOP	729	969	1,525	1,007	1,064
Total Assets	2,812	3,755	3,777	3,956	4,198	Cash and cash equivalents at EOP	969	1,525	1,007	1,064	1,164
						E = Morgan Stanley Research estimates					
						Source: Company data, Morgan Stanley Research					
Current liabilities	611	228	209	248	303						
Notes Payable	-	-	-	-	-						
Account Payable	42	67	89	114	153						
Advances from Customers	2	11	8	11	15						
Salary payable	13	12	17	25	33						
Tax payable	7	3	6	8	11						
Other current assets	548	133	90	90	91						
Non-current liabilities	184	97	59	85	114						
Non-controlling interests	5	5	3	1	(2)						
Shareholders' equity	2,013	3,425	3,520	3,637	3,799						
Share Capital	169	169	183	183	183						
Additional Paid-in Capital	1,413	2,826	2,826	2,826	2,826						
Retained Earnings	431	431	511	628	790						
Total Liabilities and Equity	2,812	3,755	3,791	3,971	4,213						

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 77: Weichai

Income Statement						Financial Analysis					
RMB Mn	2023A	2024A	2025E	2026E	2027E		2023A	2024A	2025E	2026E	2027E
Revenue	213,958	215,691	230,215	229,766	243,150	Growth (%)					
Cost of sales	170,437	167,305	178,519	176,089	185,991	Revenue	22%	1%	7%	0%	6%
Gross profit	43,521	48,386	51,696	53,677	57,160	Gross profit	40%	11%	7%	4%	6%
Selling expenses	11,815	12,485	13,393	13,720	14,450	Operating profit	173%	31%	-1%	15%	9%
Admin expenses	17,502	18,559	20,615	19,825	20,717	Net profit	84%	27%	10%	12%	7%
Operating profit	13,465	17,659	17,461	20,134	21,996	EPS	84%	27%	10%	12%	7%
Finance costs	560	231	(648)	(63)	263	Margins (%)					
Non-operating income	1,507	2,452	2,177	2,173	2,299	Gross margin	20.3%	22.4%	22.5%	23.4%	23.5%
Profit before taxation	13,151	17,322	18,203	20,291	21,832	Operating margin	6.3%	8.2%	7.6%	8.8%	9.0%
Income tax	1,940	3,044	2,584	3,092	3,490	Net margin	4.2%	5.3%	5.5%	6.1%	6.2%
Minority interests	2,198	2,874	3,046	3,096	3,302	Return (%)					
Net profit	9,014	11,403	12,573	14,103	15,041	ROA	2.9%	3.4%	3.6%	3.9%	4.0%
EPS (in RMB)	1.03	1.31	1.44	1.62	1.72	ROE	11.8%	13.7%	14.0%	14.6%	14.5%
						ROIC	8.8%	10.9%	10.5%	11.1%	11.2%
Balance Sheet						Gearing (%)					
RMB Mn	2023A	2024A	2025E	2026E	2027E	Total liabilities/equity	197%	182%	174%	161%	156%
Long-term equity investments	5,175	4,915	4,915	4,915	4,915	Total IB debt/equity	26%	14%	14%	14%	14%
Fixed assets	44,076	47,303	47,498	46,791	45,723	Net debt/equity	-62%	-38%	-48%	-52%	-62%
Construction in progress	7,451	6,500	6,500	6,500	6,500	H-Share Valuations (x)					
Intangible assets	23,071	22,205	22,099	21,852	21,598	P/E	11.5	8.2	15.0	13.4	12.5
Other non-current assets	56,549	78,206	78,206	78,206	78,206	P/B	1.3	1.1	2.0	1.9	1.8
Non-current assets	136,322	159,130	159,218	158,263	156,942	Dividend Yield (%)	3.9%	6.7%	3.7%	4.3%	4.8%
Cash and cash equivalents	92,857	72,067	84,343	92,358	108,480	A-Share Valuations (x)					
Notes receivable	8,703	7,891	8,422	8,406	8,895	P/E	13.2	10.3	15.0	13.4	12.5
Accounts receivable	23,754	30,877	32,956	32,892	34,808	P/B	1.5	1.4	2.0	1.9	1.8
Inventories	37,930	35,675	36,682	38,595	40,765	Dividend Yield (%)	3.4%	5.3%	3.7%	4.3%	4.8%
Other current assets	34,681	38,240	38,423	38,417	38,586	Efficiency					
Current assets	197,925	184,750	200,826	210,668	231,535	Asset turnover (x)	0.6	0.6	0.6	0.6	0.6
Total Assets	334,247	343,879	360,045	368,931	388,477	Inventory days	81	78	75	80	80
Short-term borrowings	2,047	2,050	2,050	2,050	2,050	Receivables days	55	66	66	66	66
Trade and other payables	95,661	100,795	103,610	102,200	107,947	Payable days	188	201	193	193	193
Advances from customers	15,235	13,914	14,851	14,822	15,686	Cash Flow Statement					
Taxes payable	2,741	2,245	2,245	2,245	2,245	RMB Mn	2023A	2024A	2025E	2026E	2027E
Other current liabilities	30,366	35,835	36,304	36,203	36,615	Cash from operation	27,471	26,094	26,527	23,491	33,694
Current liabilities	146,050	154,839	159,061	157,520	164,543	Cash from investment	(5,737)	(28,911)	(9,592)	(9,581)	(10,142)
Long-term borrowings	18,073	8,517	9,476	10,433	11,446	Cash from financing	(13,029)	(13,838)	(4,660)	(5,895)	(7,429)
Bonds payable	8,837	7,117	7,117	7,117	7,117	Net change in cash	8,705	(16,655)	12,276	8,015	16,122
Deferred tax liabilities	4,269	3,911	3,911	3,911	3,911	Cash balance at year beg.	70,842	92,857	72,067	84,343	92,358
Other non-current liabilities	44,332	47,538	49,171	48,357	49,704	Cash balance at year end.	92,857	72,067	84,343	92,358	108,480
Non-current liabilities	75,511	67,081	69,673	69,817	72,177	E = Morgan Stanley Research estimates					
Minority interests	33,351	35,262	38,308	41,404	44,705	Source: Company data, Morgan Stanley Research					
Share capital	8,727	8,727	8,727	8,727	8,727						
Reserves	13,966	15,163	15,163	15,163	15,163						
Retained earnings	56,357	62,558	68,864	76,052	82,913						
Shareholders' equity	112,686	121,959	131,311	141,594	151,757						

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 78: Sinostruk

Income Statement

RMB Mn	2023A	2024A	2025E	2026E	2027E
Revenue	85,498	95,062	112,580	109,810	116,334
Cost of sales	(71,960)	(80,196)	(94,887)	(92,396)	(97,833)
Gross profit	13,538	14,865	17,693	17,414	18,501
Distribution costs	(3,305)	(3,441)	(4,053)	(3,843)	(4,072)
Administrative expenses	(4,669)	(4,974)	(5,967)	(5,710)	(5,933)
Other gains - net	923	1,007	1,057	1,110	1,166
Operating profit	6,487	7,458	8,731	8,971	9,662
Finance costs - net	284	193	157	265	316
Profit before income tax	6,883	7,780	9,041	9,386	10,136
Income tax expense	(1,056)	(1,092)	(1,333)	(1,385)	(1,497)
Profit for the year	5,827	6,688	7,708	8,000	8,639
Minority interests	509	830	834	917	1,009
Net Profit	5,318	5,858	6,874	7,083	7,631
EPS (in RMB)	1.93	2.12	2.49	2.57	2.76

Balance Sheet

RMB Mn	2023A	2024A	2025E	2026E	2027E
Land use rights	2,260	2,255	2,097	2,007	1,916
Property, plant and equipment	15,823	15,424	15,641	15,674	15,521
Other non-current assets	16,635	21,671	21,644	21,618	21,591
Non-current assets	34,719	39,350	39,383	39,298	39,028
Inventories	13,338	11,640	18,197	16,454	17,422
Trade and other receivables	34,097	44,386	49,350	46,632	47,808
Restricted cash	4,934	7,124	7,124	7,124	7,124
Cash and cash equivalents	15,252	11,956	20,307	25,191	34,057
Current assets	87,067	90,427	110,301	110,723	121,733
Total assets	121,785	129,777	149,683	150,021	160,761
Share capital	16,717	16,717	16,717	16,717	16,717
Reserves	23,555	24,443	28,090	31,385	35,112
Minority Interest	7,688	7,992	8,826	9,743	10,752
Total equity	47,961	49,152	53,632	57,845	62,581
Borrowings-non current	142	466	553	641	728
Non-current liabilities	1,295	1,570	1,657	1,745	1,833
Trade and other payables	65,687	71,903	85,788	81,005	85,771
Borrowings-current	4,907	5,232	6,215	7,199	8,182
Other current liabilities	1,936	1,920	2,390	2,228	2,395
Current liabilities	72,530	79,055	94,394	90,432	96,348

Financial Analysis

	2023A	2024A	2025E	2026E	2027E
Growth (%)					
Revenue	44%	11%	18%	-2%	6%
Gross profit	35%	10%	19%	-2%	6%
Operating profit	133%	15%	17%	3%	8%
Net profit	218%	10%	17%	3%	8%
Margins (%)					
GP Margin	15.8%	15.6%	15.7%	15.9%	15.9%
OP Margin	7.6%	7.8%	7.8%	8.2%	8.3%
Net Margin	6.2%	6.2%	6.1%	6.5%	6.6%
Return (%)					
ROA	4.7%	4.7%	4.9%	4.7%	4.9%
ROE	14.0%	14.4%	16.0%	15.2%	15.3%
ROIC	10.5%	11.9%	12.5%	11.8%	11.7%
Gearing (%)					
Total liabilities/equity	154%	164%	179%	159%	157%
Total IB debt/equity	11%	12%	13%	14%	14%
Net debt/equity	-38%	-33%	-46%	-51%	-62%
Net interest coverage (x)	305.3	61.7	55.9	48.3	44.9
Valuations (x)					
P/E	6.6	10.0	10.1	9.8	9.1
P/BV	0.9	1.4	1.5	1.4	1.3
EV/EBITDA	3.1	5.7	5.2	4.7	3.7
Dividend Yield (%)	7.6%	5.5%	5.5%	5.6%	6.1%
Efficiency					
Asset turnover (x)	0.7	0.7	0.8	0.7	0.7
Inventory days	68	53	70	65	65
Receivables days	146	170	160	155	150
Payable days	333	327	330	320	320

Cash Flow Statement

RMB Mn	2023A	2024A	2025E	2026E	2027E
Net cash fr. operation	11,368	10,087	12,263	9,284	13,301
Net cash fr. investment	(11,059)	(8,662)	(1,754)	(1,684)	(1,603)
Net cash fr. financing	(471)	(4,780)	(2,157)	(2,717)	(2,832)
Net change in cash	(162)	(3,355)	8,352	4,884	8,866
Cash balance at begn. of year	15,317	15,252	11,956	20,307	25,191
Cash balance at end of year	15,252	11,956	20,307	25,191	34,057

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 79: Zoomlion

Zoomlion Heavy industry (000157.SZ, 1157.HK)

Rmb mn

Income Statement	2023	2024	2025E	2026E	2027E
Revenue	47,075	45,478	50,438	59,656	71,681
Cost of sales	(34,109)	(32,668)	(36,189)	(42,464)	(50,833)
Gross profit	12,966	12,810	14,249	17,192	20,848
Sales and marketing expenses	(3,557)	(3,721)	(4,244)	(5,013)	(5,959)
General and admin expenses	(2,274)	(2,585)	(2,861)	(3,224)	(3,627)
R&D expenses	(3,441)	(2,769)	(2,976)	(3,400)	(3,978)
Other revenues and net income	935	1,162	1,942	2,267	2,365
Operating profit	3,835	4,327	5,455	7,047	8,717
Gain on disposal of lease prepay	(794)	(570)	(656)	(776)	(932)
Gain/(loss) on disposal of subsidi	-	-	-	-	-
Net finance costs	284	(28)	375	22	(15)
Share of profits (loss) of associat	153	84	120	120	120
Profit before tax and MI	4,272	4,383	5,950	7,189	8,823
Income tax	(457)	(374)	(803)	(970)	(1,191)
Net profit attributed to shareho	3,815	4,009	5,146	6,218	7,632
Non-controlling interests	(265)	(488)	(257)	(311)	(382)
Net profit	3,550	3,521	4,889	5,907	7,250
EPS (Rmb)	0.41	0.41	0.56	0.68	0.84
Balance Sheet	2023	2024	2025E	2026E	2027E
Non-current assets	52,819	49,234	53,294	55,392	58,452
PPE	17,364	20,577	21,141	21,693	22,192
Intangible assets	1,988	2,019	2,059	2,101	2,165
Other current assets	32,809	26,113	27,732	29,235	31,734
Current assets	78,006	74,478	85,165	93,247	103,250
Inventories	22,504	22,564	25,282	29,085	34,817
Trade and other receivables	32,033	32,400	38,692	40,860	43,205
Receivables under finance lease	4,843	3,328	5,892	5,996	6,604
Pledged bank deposits	2,265	1,565	1,565	1,565	1,565
Cash and cash equivalents	13,606	12,155	11,267	13,275	14,593
Total Assets	130,825	123,712	138,458	148,639	161,703
Current liabilities	49,996	42,987	53,671	61,162	70,925
Loans and borrowings	7,377	10,837	10,837	10,837	10,837
Trade and other payables	40,513	29,763	40,350	47,725	57,345
Income tax payable	154	310	406	523	666
Non-current liabilities	21,698	20,923	20,923	20,923	20,923
Loans and borrowings	14,944	15,412	15,412	15,412	15,412
Other non-current liabilities	5,639	4,453	4,453	4,453	4,453
Deferred tax liabilities	1,115	1,058	1,058	1,058	1,058
Non-controlling interests	2,760	2,701	2,958	3,269	3,651
Shareholders' equity	56,371	57,101	60,906	63,285	66,204
Share capital	8,678	8,678	8,678	8,678	8,678
Capital reserve	18,069	18,069	18,069	18,069	18,069
Retained earnings	29,624	30,354	32,065	34,133	36,670
Total Liabilities and Equity	130,825	123,712	138,458	148,639	161,703

Financial Analysis	2023	2024	2025E	2026E	2027E
Growth (%)					
Turnover	13.1%	-3.4%	10.9%	18.3%	20.2%
Operating profit	84.2%	12.8%	26.1%	29.2%	23.7%
Net profit	51.3%	-0.8%	38.9%	20.8%	22.7%
Margins (%)					
Gross margin	27.5%	28.2%	28.3%	28.8%	29.1%
Operating margin	8.1%	9.5%	10.8%	11.8%	12.2%
Net margin	7.5%	7.7%	9.7%	9.9%	10.1%
Efficiency					
Asset turnover (X)	0.36	0.37	0.36	0.40	0.44
Inventory days	241	252	255	250	250
Receivables days	248	260	280	250	220
Payable days	314	239	292	292	292
Return (%)					
ROA	2.9%	3.2%	3.7%	4.2%	4.7%
ROE	6.8%	7.0%	8.4%	9.8%	11.5%
ROIC	4.5%	4.8%	5.5%	6.9%	8.3%
Gearing (X)					
Asset/Equity	2.3	2.2	2.3	2.3	2.4
Total liabilities/Equity	1.3	1.1	1.2	1.3	1.4
Net debt/Equity	11%	22%	22%	18%	15%
Net interest coverage	7.9	8.8	10.4	14.0	17.5
Valuations (X)					
P/E (H-share)	9.6	13.3	12.6	10.4	8.5
P/B (H-share)	0.6	0.8	1.0	1.0	0.9
P/E (A-share)	16.0	17.8	15.2	12.6	10.3
P/B (A-share)	1.0	1.1	1.2	1.2	1.1
EV/EBITDA	10.8	12.1	10.3	8.0	6.3
Dividend yield (% , H-share)	8.2%	5.8%	7.0%	8.5%	10.4%
Dividend yield (% , A-share)	4.9%	4.1%	5.1%	6.1%	7.5%
Cashflow Statement	2023	2024	2025E	2026E	2027E
Cash from operating	2,292	1,474	2,032	7,390	7,821
Cash from investing	143	(2,254)	(1,180)	(1,250)	(1,568)
Cash from financing	(2,644)	(679)	(1,740)	(4,133)	(4,935)
Change in cash	(209)	(1,459)	(888)	2,008	1,318
FX rate impact	24	8	0	0	0
Cash at BOP	13,791	13,606	12,155	11,267	13,275
Cash at EOP	13,606	12,155	11,267	13,275	14,593

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 80: Hengli

(Rmb Mn)	2023	2024	2025E	2026E	2027E
Revenue	8,985	9,390	10,854	13,338	16,585
Cost of good sold	(5,234)	(5,368)	(6,221)	(7,649)	(9,440)
Gross profit	3,750	4,021	4,633	5,689	7,145
Business Tax and plus	(82)	(90)	(109)	(133)	(166)
Selling exp.	(172)	(217)	(238)	(285)	(355)
G&A exp.	(404)	(592)	(693)	(830)	(1,017)
R&D expenses	(694)	(728)	(809)	(976)	(1,214)
Operating profit	2,399	2,395	2,786	3,465	4,393
Asset and credit impairment Loss	(68)	(66)	(57)	(50)	(62)
Investment Gains	2	(1)	217	267	332
Non-operating profit	17	17	19	24	32
Non-operating loss	(2)	(3)	(3)	(4)	(5)
Financial expenses	369	131	265	208	243
Profit before tax	2,830	2,800	3,281	3,975	5,016
Tax	(326)	(288)	(328)	(398)	(502)
Net profit	2,504	2,512	2,953	3,578	4,515
Minority	5	4	11	13	17
Net profit to shareholders	2,499	2,509	2,942	3,565	4,498
EPS (Rmb)	1.86	1.87	2.19	2.66	3.35

Balance Sheet

(Rmb Mn)	2023	2024	2025E	2026E	2027E
Non-current assets	4901	5808	6500	6922	7018
PPE	2,851	3,889	4,577	5,074	5,261
Intangible assets	467	439	430	418	403
Current assets	12,994	13,830	14,842	17,413	21,099
Cash Deposits and Equivalents	8,124	7,883	8,872	10,192	12,390
Notes Receivable	427	602	297	365	454
Account Receivable	1,245	1,371	1,487	1,827	2,272
Inventory	1,692	1,765	1,704	2,096	2,586
Total Assets	17,896	19,639	21,342	24,335	28,117
Debt and long term bond	0	0	0	0	0
Other Non-current Liabilities	353	431	498	612	760
Non-controlling interests	52	54	54	54	54
Shareholders' equity	14,391	15,775	17,627	19,871	22,703
Share Capital	1,341	1,341	1,341	1,341	1,341
Additional Paid-in Capital	4,171	3,984	3,984	3,984	3,984
Retained Earnings	8,880	10,450	12,302	14,547	17,379
Total Liabilities and Equity	17,896	19,639	21,342	24,335	28,117

(Rmb Mn)	2023	2024	2025E	2026E	2027E
Growth (%)					
Turnover	10%	5%	16%	23%	24%
Operating Profit	9%	0%	16%	24%	27%
Net Profit	7%	0%	17%	21%	26%
Margins (%)					
Gross Margin	42%	43%	43%	43%	43%
Selling expenses	2%	2%	2%	2%	2%
G&A expenses	5%	6%	6%	6%	6%
Operating Margin	27%	26%	26%	26%	26%
Net Margin	28%	27%	27%	27%	27%
Efficiency					
Asset Turnover (X)	0.5	0.5	0.5	0.6	0.6
Inventory Days	118.0	120.0	100.0	100.0	100.0
Account Receivables Days	50.6	53.3	50.0	50.0	50.0
Account Payable Days	54.1	60.4	50.0	50.0	50.0
Return (%)					
ROA	14.7%	13.4%	14.4%	15.6%	17.2%
ROE	18.5%	16.6%	17.6%	19.0%	21.1%
ROIC	14.9%	15.2%	15.4%	17.1%	18.9%
Gearing (X)					
Asset/Equity	1.2	1.2	1.2	1.2	1.2
Total Liabilities/Equity	0.2	0.2	0.2	0.2	0.2
Valuations (X)					
P/E	29.3	28.2	50.1	42.7	33.8
P/BV	5.1	4.5	8.4	7.7	6.7
EV/EBITDA	23.3	22.3	41.7	34.9	27.1
Dividend Yield (%)	1.3%	1.3%	0.7%	0.9%	1.1%
Financing cash flow	(880)	(788)	6,744	6,512	6,162
Increase in cash	(1,254)	(1,409)	1,254	1,584	2,462
Effect of foreign exchange rate changes	181	(264)	(264)	(264)	(264)
Cash and cash equivalents at EOP	8,124	7,883	8,872	10,192	12,390

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 81: Wuxi Lead

Wuxi Lead Intelligent Equipment Co Ltd (300450.SZ)

Income Statement

(Rmb Mn)	2023	2024	2025E	2026E	2027E
Revenue	16,628	11,855	14,631	20,058	28,711
Cost of sales and services	(10,709)	(7,708)	(9,870)	(13,252)	(18,560)
Gross profit	5,919	4,147	4,761	6,806	10,151
Business Tax and plus	(157)	(84)	(146)	(201)	(287)
Selling exp.	(451)	(362)	(382)	(523)	(720)
Admin exp.	(1,005)	(1,086)	(1,186)	(1,445)	(2,068)
R&D exp.	(1,676)	(1,671)	(1,756)	(2,206)	(3,158)
Operating profit	2,631	944	1,292	2,431	3,917
Asset impairment Loss	(1,162)	(1,104)	(146)	(401)	(574)
Investment Gains	(7)	(17)	15	20	29
Financial expenses	39	12	53	74	98
Non-operating profit	409	277	293	301	431
Profit before tax	1,911	112	1,505	2,425	3,900
Tax	(140)	156	(188)	(303)	(488)
Net profit	1,771	268	1,317	2,122	3,413
Minority	(4)	(18)	(73)	(100)	(144)
Net profit to shareholders	1,775	286	1,390	2,222	3,556
EPS (Rmb)	1.13	0.16	0.79 e	1.29 e	2.09 e

Balance Sheet

(Rmb Mn)	2023	2024	2025E	2026E	2027E
Non-current assets	4,603	5,611	5,352	6,618	9,933
PPE	1,103	1,968	1,919	3,232	6,589
Intangible assets	602	622	622	602	561
Other current assets	2,898	3,021	2,811	2,784	2,783
Current assets	30,690	30,571	34,223	40,254	51,296
Cash	3,669	4,230	6,378	6,977	8,735
Notes Receivable	637	956	601	824	1,180
Account Receivable	9,749	8,626	8,819	10,441	14,159
Prepayments	275	406	676	908	1,271
Other Receivables	103	99	200	275	393
Inventory	13,207	13,580	14,873	18,154	22,882
Other Current Assets	3,050	2,675	2,675	2,675	2,675
Total Assets	35,293	36,183	39,575	46,872	61,228

Current liabilities	22,990	21,665	23,827	29,426	41,045
Short-term borrowing	184.2	1,666.6	500.0	500.0	500.0
Notes Payable	4,959	3,176	4,056	5,446	7,627
Account Payable	4,000	3,770	4,056	5,809	8,136
Salary payable	650	639	639	639	639
Tax payable	243	58	58	58	58
Dividend & interest payable	0	187	187	187	187
Other current assets	12,954	12,168	14,330	16,786	23,898
Non-current liabilities	456	2,939	2,939	2,939	2,939
Debt and long term bond	-	2,477	2,477	2,477	2,477
Other Non-current Liabilities	456	462	462	462	462
Non-controlling interests	(0.9)	(18.1)	(18.1)	(18.1)	(18.1)
Shareholders' equity	11,848	11,598	12,828	14,526	17,263
Share Capital	1,566	1,566	1,566	1,566	1,566
Additional Paid-in Capital	4,560	4,557	4,557	4,557	4,557
Retained Earnings	5,722	5,475	6,705	8,403	11,140
Total Liabilities and Equity	35,293	36,183	39,575	46,872	61,228

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Financial Analysis

(Rmb Mn)	2023	2024	2025E	2026E	2027E
Growth (%)					
Turnover	19.4%	-28.7%	23.4%	37.1%	43.1%
Operating Profit	-2.1%	-64.1%	36.8%	88.2%	61.1%
Net Profit	-23.6%	-84.9%	391.4%	61.1%	60.8%
Margins (%)					
Gross Margin	35.6%	35.0%	32.5%	33.9%	35.4%
Selling expenses	2.7%	3.1%	2.6%	2.6%	2.5%
Admin expenses	6.0%	9.2%	8.1%	7.2%	7.2%
R&D expenses	10.1%	14.1%	12.0%	11.0%	11.0%
Operating Margin	15.8%	8.0%	8.8%	12.1%	13.6%
Net Margin	10.7%	2.4%	9.5%	11.1%	12.4%
Efficiency					
Asset Turnover (X)	2.1	3.1	2.7	2.3	2.1
Inventory Days	450.1	643.0	550.0	500.0	450.0
Account Receivables Day	214.0	265.6	220.0	190.0	180.0
Account Payable Days	136.3	178.5	150.0	160.0	160.0

Return (%)

ROA	5.0%	0.8%	3.5%	4.7%	5.8%
ROE	15.0%	2.5%	10.8%	15.3%	20.6%
ROIC	14.4%	1.5%	8.0%	11.8%	16.4%

Gearing (X)

Asset/Equity	3.0	3.1	3.1	3.2	3.5
Total Liabilities/Equity	2.0	2.1	2.1	2.2	2.5
Total IB Debt/Equity	0.0	0.4	0.2	0.2	0.2
Net Cash	3,485	86	3,402	4,001	5,759

Valuation

P/E	30.0	110.1	65.0	40.7	25.4
P/BV	4.1	2.5	7.0	6.2	5.2
EV/EBITDA	16.1	22.2	44.4	27.0	17.0
Dividend Yield (%)	1.0%	0.3%	0.5%	0.7%	1.2%

Cashflow Statement

(Rmb Mn)	2023	2024	2025E	2026E	2027E
Operating cash flow	(863)	(1,567)	3,756	2,978	6,711
Investing cash flow	(212)	(2,820)	(406)	(2,030)	(4,375)
Financing cash flow	(1,152)	(300)	0	0	0
Increase in cash	(2,227)	(173)	0	0	0
FX changes	41	0	0	0	0
Cash beginning	6,169	3,669	4,230	6,378	6,977
Cash ending	3,669	4,230	6,378	6,977	8,735

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Exhibit 82: Hangke

Zhejiang Hangke Technology Co Ltd (688006.SS)

Income Statement

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Revenue	3,932	2,981	3,579	4,727	6,656
Cost of sales and service:	(2,484)	(2,047)	(2,475)	(3,241)	(4,529)
Gross profit	1,448	934	1,104	1,486	2,126
Business Tax and plus	(37)	(36)	(32)	(47)	(67)
Selling exp.	(87)	(70)	(90)	(114)	(140)
Admin exp.	(169)	(193)	(216)	(279)	(379)
R&D exp.	(244)	(257)	(261)	(345)	(473)
Operating profit	912	378	505	701	1,068
Financial expenses	158	84	158	207	209
Impairment loss	(275)	(176)	(191)	(67)	(60)
Investment Gains	(5)	1	1	0	0
Non-operating profit/I	121	51	80	0	0
Profit before tax	911	337	553	841	1,217
Tax	(102)	(11)	(50)	(76)	(109)
Net profit	809	326	503	766	1,107
Minority	-	-	-	-	-
Net profit to shareholde	809	326	503	766	1,107
EPS-Basic (Rmb)	1.34	0.54	0.83	1.27	1.83
EPS-Diluted (Rmb)	1.34	0.54	0.83	1.27	1.83

Balance Sheet

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Non-current assets	1,608	1,588	1,709	1,850	2,026
PPE	1,264	1,228	1,338	1,469	1,636
Intangible assets	185	197	208	218	227
Other current assets	159	163	163	163	163
Current assets	8,617	8,182	7,849	8,790	10,274
Cash Deposits and Equiv.	3,263	3,072	4,610	4,647	4,926
Notes Receivable	90	75	88	78	109
Short-term borrowing	14.5	7.5	7.5	7.5	7.5
Notes payable	1,016	872	610	799	1,117
Account payable	1,563	1,078	678	888	1,241
Prepayments	1	0	1	1	1
Contract liability	2,239	2,441	2,441	2,441	2,441
Salary payable	34	32	32	32	32
Other current assets	215	135	135	135	135
Non-current liabilities	24	40	40	40	40
Debt and long term bonc	-	-	-	-	-
Other Non-current Liabil	24	40	40	40	40
Non-controlling interest:	-	-	-	-	-
Shareholders' equity	5,119	5,164	5,613	6,297	7,285
Share Capital	604	604	604	604	604
Additional Paid-in Capita	2,638	2,660	2,660	2,660	2,660
Retained Earnings	1,877	1,901	2,350	3,033	4,022
Total Liabilities and Equi	10,225	9,769	9,557	10,640	12,299

Financial Analysis

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Growth (%)					
Turnover	13.8%	-24.2%	20.1%	32.1%	40.8%
Operating Profit	76.5%	-58.6%	33.7%	38.9%	52.2%
Net Profit	64.9%	-59.7%	54.1%	52.2%	44.6%
Margins (%)					
Gross Margin	36.8%	31.3%	30.8%	31.4%	31.9%
Selling expenses	2.2%	2.3%	2.5%	2.4%	2.1%
Admin expenses	4.3%	6.5%	6.0%	5.9%	5.7%
R&D expenses	6.2%	8.6%	7.3%	7.3%	7.1%
Operating Margin	23.2%	12.7%	14.1%	14.8%	16.0%
Net Margin	20.6%	10.9%	14.1%	16.2%	16.6%
Efficiency					
Asset Turnover (X)	2.6	3.3	2.7	2.3	1.8
Inventory Days	426.4	519.3	230.0	230.0	230.0
Account Receivables	176.6	222.2	130.0	130.0	110.0
Account Payable Day	229.6	192.2	100.0	100.0	100.0
Return (%)					
ROA	7.9%	3.3%	5.3%	7.2%	9.0%
ROE	15.8%	6.3%	9.0%	12.2%	15.2%
Gearing (X)					
Asset/Equity	2.0	1.9	1.7	1.7	1.7
Total Liabilities/Equit	1.0	0.9	0.7	0.7	0.7
Total IB Debt/Equity	0.0	0.0	0.0	0.0	0.0
Net Cash	3,249	3,064	4,603	4,640	4,918
Operating cash flow	215	153	1,830	387	712
Investing cash flow	(408)	(103)	(237)	(268)	(315)
Financing cash flow	997	(227)	(54)	(82)	(119)
Increase in cash	804	(161)	1,539	37	278
FX changes	70	7	0	0	0
Cash beginning	2,205	3,263	3,072	4,610	4,647
Cash ending	3,263	3,072	4,610	4,647	4,926

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 83: Maxwell

Suzhou Maxwell Technologies Co Ltd
Income Statement

	2023A	2024A	2025E	2026E	2027E
(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Revenue	8,089	9,830	8,076	7,328	8,100
COGS	(5,970)	(7,067)	(5,123)	(4,625)	(5,048)
Gross profit	2,118	2,764	2,953	2,703	3,052
Sales taxes and extra charges	(38)	(35)	(40)	(37)	(40)
Selling expense	(317)	(409)	(408)	(414)	(466)
Administrative expense	(197)	(249)	(242)	(249)	(275)
R&D expense	(763)	(951)	(918)	(826)	(913)
Asset impairment cost	(28)	(159)	(245)	(105)	(129)
Credit impairment cost	(90)	(357)	(565)	(824)	(658)
Operating income	685	604	535	448	572
Financial expense	64	87	(8)	20	9
Investment income	22	52	8	7	8
Other non-operating income	202	286	170	154	170
Net profit before tax	973	1,030	705	629	759
Income tax	(99)	(67)	1	1	0
Net profit after tax	875	964	705	630	760
Minority interest	(39)	38	21	19	23
Net profit to shareholders	914	926	684	611	737
EPS (Rmb)	3.27	3.31	2.45	2.19	2.64

Balance Sheet

	2023A	2024A	2025E	2026E	2027E
(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Cash and Deposits	3,322	4,791	4,617	4,922	4,417
Account Receivable	2,379	3,950	5,089	5,622	6,657
Long-term equity investment	875	2,718	3,100	3,256	3,364
PPE	1,320	490	163	106	51
Construction in Process	271	277	356	413	469
Intangible Assets	59	50	52	51	53
Other non-current assets	1,188	1,281	1,432	587	793
Non-Current Assets	3,714	4,815	5,103	4,414	4,729
Total Assets	23,217	23,838	23,130	22,519	24,019
Short-term borrowings	416	1,044	500	500	500
Notes Payable	971	90	65	59	64
Account Payable	3,851	3,257	2,561	2,313	2,524
Deposit received	8,455	8,200	5,974	4,015	3,994
Other Current assets	1,514	1,545	1,239	1,223	1,248
Current Liabilities	15,208	14,136	10,339	8,110	8,330
Long-term Borrowing	811	1,959	4,500	5,500	6,000
Deferred revenues	140	215	183	172	192
Total liabilities	16,160	16,311	15,022	13,782	14,522
Share Capital	279	279	279	279	279
Capital Reserve	4,004	3,955	3,955	3,955	3,955
Other Reserve	140	140	140	140	140
Retained Earnings	2,697	3,177	3,737	4,348	5,085
Total shareholder's equity	7,119	7,551	8,111	8,722	9,459
Minority interest	(62)	(24)	(3)	16	38
Total equity	7,057	7,526	8,108	8,738	9,497
Liability and equity	23,217	23,838	23,130	22,519	24,019

Financial Analysis

	2023A	2024A	2025E	2026E	2027E
(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Growth (%)					
Revenue	95.0%	21.5%	-17.8%	-9.3%	10.5%
Operating Profit	12.5%	-11.7%	-11.4%	-16.3%	27.6%
Net Profit	6.0%	1.3%	-26.1%	-10.7%	20.6%
Margins (%)					
Gross Margin	26.2%	28.1%	36.6%	36.9%	37.7%
Selling expenses	-3.9%	-4.2%	-5.1%	-5.7%	-5.8%
Admin expenses	-2.4%	-2.5%	-3.0%	-3.4%	-3.4%
R&D expense	-9.4%	-9.7%	-11.4%	-11.3%	-11.3%
Operating Margin	8.5%	6.1%	6.6%	6.1%	7.1%
Net Margin	11.3%	9.4%	8.5%	8.3%	9.1%
Efficiency					
Asset Turnover (X)	0.35	0.41	0.35	0.33	0.34
Inventory Days	659	461	500	500	500
Account Receivables Days	107	147	230	280	300
Account Payable Days	235	168	183	183	183
Return (%)					
ROA	4.8%	3.9%	2.9%	2.7%	3.2%
ROE	13.6%	12.7%	8.8%	7.2%	8.1%
ROIC	12.0%	9.5%	5.4%	4.1%	4.7%
Total IB Debt/Equity	0.1	0.1	0.2	0.3	0.3
Net Cash	2,094	1,788	(383)	(1,078)	(2,083)
Valuations (X)					
P/E	39.5	31.7	91.2	102.2	84.7
P/BV	5.1	3.9	7.7	7.2	6.6
EV/EBITDA	31.7	25.1	41.6	46.2	38.9
Dividend Yield (%)	0.8%	0.6%	0.2%	0.0%	0.0%

Cashflow Statement

	2023A	2024A	2025E	2026E	2027E
(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Operating cash flow	1,509	56	(726)	1,122	989
Investing cash flow	(1,876)	(300)	(944)	(930)	(1,028)
Financing cash flow	843	1,924	1,496	113	(466)
Increase in cash	476	1,680	(174)	305	(505)
Effect of foreign exchange rate changes	1	8	0	0	0
Cash restatement	(701)	(219)	0	0	0
Cash and cash equivalents at BOP	3,546	3,322	4,791	4,617	4,922
Cash and cash equivalents at EOP	3,322	4,791	4,617	4,922	4,417

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 84: SC New Energy

S.C New Energy

Income Statement

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Revenue	8,733	18,887	17,438	6,377	5,491
COGS	(6,311)	(13,891)	(12,400)	(4,554)	(3,880)
Gross profit	2,423	4,997	5,038	1,823	1,612
Sales taxes and extra charges	(92)	(82)	(70)	(26)	(22)
Selling expense	(125)	(167)	(173)	(165)	(164)
Administrative expense	(181)	(216)	(189)	(162)	(156)
R&D expense	(467)	(649)	(618)	(564)	(551)
Asset impairment cost	(342)	(765)	(185)	(115)	(125)
Credit impairment cost	(72)	(664)	(397)	(575)	(656)
Operating income	1,144	2,454	3,406	217	(64)
Financial expense	187	138	90	122	116
Investment income	37	104	140	77	66
Other non-operating income	479	505	262	159	137
Net profit before tax	1,848	3,201	3,898	574	255
Income tax	(209)	(435)	(529)	(78)	(35)
Net profit after tax	1,639	2,766	3,368	496	221
Minority interest	6	3	2	0	0
Net profit attributable to shareholders	1,634	2,764	3,367	496	221
EPS (Rmb)	4.69	7.95	9.68	1.43	0.63

Balance Sheet

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Cash and Deposits	5,230	4,069	3,947	5,457	5,560
Account Receivable	2,918	3,581	5,722	6,525	7,316
Inventory	21,282	14,007	5,762	3,251	3,350
Other current assets	7,445	9,225	10,033	10,050	10,357
Current Assets	36,876	30,881	25,465	25,283	26,584
Intangible Assets	154	217	293	306	322
Other non-current assets	1,111	1,209	1,109	1,107	1,108
Non-Current Assets	2,258	2,749	2,934	2,958	3,027
Total Assets	39,134	33,630	28,399	28,241	29,611
Short-term borrowings	51	0	0	0	0
Notes Payable	2,515	25	25	9	8
Account Payable	8,177	7,775	6,795	4,367	4,039
Deposit received	18,111	13,107	5,580	6,148	7,760
Other Current assets	1,159	1,501	1,190	1,287	1,186
Current Liabilities	30,012	22,407	13,590	11,810	12,992
Long-term Borrowing	261	75	800	2,000	2,000
Deferred revenues	109	59	59	59	59
Total liabilities	30,382	22,541	14,449	13,869	15,052
Share Capital	348	348	348	348	348
Capital Reserve	3,636	3,637	3,637	3,637	3,637
Other Reserve	174	174	174	174	174
Retained Earnings	4,581	6,928	9,788	10,209	10,396
Total shareholder's equity	8,739	11,087	13,946	14,368	14,555
Minority interest	12	2	4	4	4
Total equity	8,751	11,089	13,950	14,372	14,559
Liability and equity	39,134	33,630	28,399	28,241	29,611

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Financial Analysis

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Growth (%)					
Turnover	45.4%	116.3%	-7.7%	-63.4%	-13.9%
Operating Profit	44.0%	114.4%	38.8%	-93.6%	-129.3%
Net Profit	56.0%	69.2%	21.8%	-85.3%	-55.5%
Margins (%)					
Gross Margin	27.7%	26.5%	28.9%	28.6%	29.3%
Selling expenses	-1.4%	-0.9%	-1.0%	-2.6%	-3.0%
Admin expenses	-2.1%	-1.1%	-1.1%	-2.5%	-2.8%
R&D expenses	-5.3%	-3.4%	-3.5%	-8.8%	-10.0%
Operating Margin	13.1%	13.0%	19.5%	3.4%	-1.2%
Net Margin	18.7%	14.6%	19.3%	7.8%	4.0%
Efficiency					
Asset Turnover (X)	0.22	0.56	0.61	0.23	0.19
Inventory Days	820	464	160	140	290
Account Receivables Days	145	95	115	200	450
Account Payable Days	473	204	200	350	380
Return (%)					
ROA	4.2%	8.2%	11.9%	1.8%	0.7%
ROE	20.5%	27.9%	26.9%	3.5%	1.5%
ROIC	14.3%	20.8%	30.7%	31.0%	3.6%
Gearing (X)					
Asset/Equity	4.5	3.0	2.0	2.0	2.0
Total Liabilities/Equity	3.5	2.0	1.0	1.0	1.0
Total IB Debt/Equity	0.1	0.0	0.0	0.1	0.1
P/E	16	15	12	82	184
P/BV	2.9	3.7	2.9	2.8	2.8
EV/EBITDA	12	12	10	74	258
Dividend Yield (%)	1.6%	1.0%	1.3%	0.2%	0.1%

Cashflow Statement

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Operating cash flow	3,517	2,951	686	1,699	268
Investing cash flow	(2,385)	(3,303)	(300)	(115)	(132)
Financing cash flow	(126)	(519)	(507)	(75)	(33)
Increase in cash	1,007	(871)	(121)	1,510	103
Effect of foreign exchange	15	40	0	0	0
Cash restatement	181	(331)	0	0	0
Cash and cash equivalents at BOP	4,027	5,230	4,069	3,947	5,457
Cash and cash equivalents at EOP	5,230	4,069	3,947	5,457	5,560

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Exhibit 85: Jingsheng

Jingsheng Mechanical & Electrical Co Financial Summary | FYE DEC (CNY mn)

Income Statement	2023A	2024E	2025E	2026E	2027E
Revenue	17,983	17,577	10,432	7,541	7,338
COGS	(10,493)	(11,714)	(7,745)	(5,858)	(5,794)
Gross profit	7,490	5,862	2,687	1,682	1,544
Sales taxes and extra charges	(135)	(85)	(50)	(36)	(35)
Selling expense	(81)	(85)	(94)	(90)	(88)
Administrative expense	(414)	(521)	(501)	(468)	(448)
R&D expense	(1,145)	(1,119)	(939)	(905)	(917)
Asset impairment cost	(288)	(929)	(668)	(494)	(485)
Credit impairment cost	(62)	(278)	(325)	(359)	(379)
Operating income	5,365	2,846	111	(670)	(809)
Financial expense	11	(10)	(5)	29	28
Investment income	7	(1)	21	15	15
Other non-operating income	573	235	365	264	257
Net profit before tax	5,955	3,070	492	(362)	(509)
Income tax	(642)	(406)	(65)	48	67
Net profit after tax	5,313	2,664	427	(314)	(442)
Minority interest	755	155	(31)	(23)	(22)
Net profit attributable to shareholders	4,558	2,510	458	(291)	(420)
EPS (Rmb)	3.48	1.92	0.35	(0.22)	(0.32)

Balance Sheet	2023A	2024E	2025E	2026E	2027E
Cash and Deposits	4,005	2,787	2,685	2,828	2,500
Account Receivable	2,289	3,223	3,837	4,678	5,095
Inventory	15,513	10,884	7,215	5,136	5,080
Other current assets	389	351	800	800	800
Current Assets	27,090	21,143	17,663	16,493	16,611
PPE	4,566	5,491	5,811	5,516	4,933
Construction in Process	1,803	1,586	1,514	1,585	1,729
Intangible Assets	638	690	712	714	714
Non-Cuerrent Assets	9,718	10,408	10,746	10,467	9,980
Total Assets	36,808	31,550	28,409	26,960	26,591
Short-term borrowings	1,214	709	800	800	800
Notes Payable	1,663	425	382	321	317
Account Payable	5,121	4,636	3,395	2,087	2,064
Prepayment Received	10,720	5,624	3,430	3,719	3,820
Current Liabilities	19,609	12,126	8,624	7,489	7,562
Long-term Borrowing	469	1,066	1,000	1,000	1,000
Deferred revenues	165	304	304	304	304
Total liabilities	20,657	13,616	10,048	8,912	8,986
Share Capital	1,310	1,310	1,310	1,310	1,310
Capital Reserve	2,805	2,868	2,868	2,868	2,868
Retained Earnings	10,078	11,674	12,101	11,787	11,345
Total shareholder's equity	14,963	16,621	17,048	16,735	16,293
Total equity	16,152	17,934	18,361	18,047	17,606
Liability and equity	36,808	31,550	28,409	26,960	26,591

Balance Sheet	2023A	2024E	2025E	2026E	2027E
Growth (%)					
Revenue	69.0%	-2.3%	-40.6%	-27.7%	-2.7%
Operating Profit	94.8%	-47.0%	-96.1%	-704.9%	20.8%
Net Profit attributable to shareholders	55.9%	-44.9%	-81.7%	-163.5%	44.2%
Margins (%)					
Gross Margin	41.7%	33.4%	25.8%	22.3%	21.0%
Selling expenses	-0.5%	-0.5%	-0.9%	-1.2%	-1.2%
G&A expenses	-8.7%	-9.3%	-13.8%	-18.2%	-18.6%
Operating Margin	29.8%	16.2%	1.1%	-8.9%	-11.0%
Net Margin	25.3%	14.3%	4.4%	-3.9%	-5.7%
Efficiency					
Asset Turnover (X)	55%	51%	35%	27%	27%
Inventory Days	540	339	340	320	320
Account Receivables Days	49	57	100	190	250
Account Payable Days	161	152	160	130	130

Return (%)					
ROA	12.4%	8.0%	1.6%	-1.1%	-1.6%
ROE	28.2%	14.0%	2.5%	-1.6%	-2.4%
Gearing (X)					
Asset/Equity	2.3	1.8	1.5	1.5	1.5
Total Liabilities/Equity	127.9%	75.9%	54.7%	49.4%	51.0%
Total IB Debt/Equity	10.4%	9.9%	9.8%	10.0%	10.2%
Net Cash	2,712	2,036	2,585	2,728	2,400
Valuations (X)					
P/E	12.7	16.6	111.2	-175.2	-121.5
P/BV	3.9	2.5	3.0	3.0	3.1
EV/EBITDA	12.5	13.7	34.8	-225.0	-149.6
Dividend Yield (%)	1.6%	1.3%	0.0%	0.0%	0.0%

Cash Flow Statement	2023A	2024E	2025E	2026E	2027E
Operating cash flow	3,088	1,773	1,101	909	252
Investing cash flow	(2,749)	(2,176)	(1,228)	(766)	(580)
Financing cash flow	(26)	(655)	24	0	0
Increase in cash	312	(1,058)	(102)	143	(328)
Effect of FX rate changes	1	0	0	0	0
Cash and cash equivalents at BOP	3,509	4,005	2,787	2,685	2,828
Cash and cash equivalents at EOP	3,822	2,948	2,685	2,828	2,500
Capex	(2,475)	(1,645)	(1,043)	(679)	(660)
Free cash flow	613	128	58	230	(408)

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 86: Autowell

Wuxi Autowell Technology Co Ltd. Financial Summary | FYE DEC (CNY mn)

Income Statement	F23	F24	F25E	F26E	F27E
Revenue	6,302	9,198	6,562	5,510	6,022
Cost of goods sold	(4,067)	(6,172)	(4,462)	(3,743)	(4,088)
Gross profit	2,236	3,026	2,100	1,767	1,934
Tax and Surcharges	(60)	(58)	(52)	(44)	(48)
Selling Expenses	(131)	(144)	(197)	(165)	(181)
Management Fee	(257)	(331)	(394)	(358)	(373)
Research and development expenses	(327)	(430)	(525)	(551)	(572)
Asset impairment loss	(121)	(419)	(240)	(165)	(115)
Credit impairment loss	(73)	(203)	(231)	(356)	(381)
Operating profit	1,267	1,441	460	127	264
Finance income/(expense)	(41)	(29)	(47)	(53)	(53)
Investment income	14	13	9	8	8
Other non-operating income	238	132	94	79	87
Profit before tax	1,477	1,556	516	161	306
Tax	(223)	(227)	(67)	(21)	(40)
Profit after tax	1,255	1,329	449	140	266
Minorities	(1)	56	(52)	(44)	(48)
Net Profit to shareholders	1,256	1,273	501	184	314
EPS (CNY)	5.59	4.04	1.59	0.58	1.00
Balance Sheet	F23	F24	F25E	F26E	F27E
Cash and Cash Equivalents	1,832	1,938	2,495	3,829	3,331
Accounts Receivable	1,592	2,886	3,955	4,227	4,950
Inventory	7,630	5,341	3,668	2,564	3,136
Current Assets	13,760	11,604	11,280	11,719	12,547
PP&E, Net	943	886	940	964	991
Construction in Progress	152	747	950	950	950
Intangible Assets	183	184	200	342	471
Non-current assets	1,858	2,425	2,826	2,961	3,132
Non-current liabilities	1,264	1,742	1,968	2,667	2,667
Total Liabilities	11,873	9,902	9,623	9,970	10,606
Share Capital	225	315	315	315	315
Capital Reserve	1,430	1,195	1,195	1,195	1,195
Other Reserve	112	157	157	157	157
Retained Earnings	1,896	2,406	2,708	2,892	3,207
Total Equity	3,744	4,127	4,483	4,711	5,073
Total Liability and Equity	15,617	14,029	14,106	14,680	15,679

Financial Analysis	F23	F24	F25E	F26E	F27E
Growth (%)					
Revenue	78%	46%	-29%	-16%	9%
Gross profit	62%	35%	-31%	-16%	9%
Operating Profit	84%	14%	-68%	-72%	108%
Net Profit	76%	1%	-61%	-63%	71%
Margins (%)					
Gross Margin	35.5%	32.9%	32.0%	32.1%	32.1%
Selling expenses	-2.1%	-1.6%	-3.0%	-3.0%	-3.0%
R&D expenses	-5.2%	-4.7%	-8.0%	-10.0%	-9.5%
Operating Margin	20.1%	15.7%	7.0%	2.3%	4.4%
Net Margin	19.9%	13.8%	7.6%	3.3%	5.2%
Efficiency					
Asset Turnover (X)	0.4	0.7	0.5	0.4	0.4
Inventory Days	685	316	300	250	280
Account Receivables Days	92	115	220	280	300
Account Payable Days	501	226	300	300	300
Return (%)					
ROA	10.4%	8.6%	3.6%	1.3%	2.1%
ROE	39.7%	32.3%	11.6%	4.0%	6.4%
Gearing					
Total Liabilities / Total Asset	76.0%	70.6%	68.2%	67.9%	67.6%
Net Cash	1,167	635	1,091	2,325	1,728
Valuation					
PE	17.4	11.0	38.4	104.7	61.2
PB	5.6	3.3	4.4	4.2	3.9
D&A	56	88	89	102	118
Change in Working Capital	(803)	(1,382)	255	472	(1,053)
Operating Cash Flow	782	788	1,083	935	(494)
CAPEX	(558)	(686)	(131)	(110)	(120)
Free Cash Flow	224	102	952	825	(615)
Investing Cash Flow	(888)	(230)	(747)	(85)	(43)
Financing Cash Flow	1,026	(225)	220	485	40
(+/-) Net Changes in Cash	921	333	557	1,334	(498)

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 87: DR Laser

DR Laser (300776.SZ)

Income Statement

(Rmb Mn)	2023A	2024E	2025E	2026E	2027E
Revenue	1,609	2,014	2,513	3,199	3,898
Selling and marketing expenses	(19)	(20)	(20)	(64)	(105)
Administrative expenses	(68)	(73)	(88)	(115)	(140)
Research and development expenses	(251)	(283)	(251)	(416)	(546)
Operating profit	381	555	756	935	1,073
Asset impairment Loss	(22)	(107)	(176)	(160)	(195)
Investment gain	1	(0)	13	16	20
Financial expenses	35	33	13	16	19
Non-operating income	111	113	126	160	195
Profit before tax	507	594	730	967	1,112
Tax	(46)	(66)	(81)	(108)	(124)
Net profit	461	528	649	860	989
Minority	0	0	0	0	0
Net profit to shareholders	461	528	649	860	989
EPS (Rmb)	1.69	1.93	2.38	3.15	3.62

Balance Sheet

(Rmb Mn)	2023A	2024E	2025E	2026E	2027E
Non-current assets	537	621	621	621	621
PPE	348	333	333	333	333
Cash	527	485	336	234	274
Bills receivable	181	265	331	421	513
Account receivable	739	895	1,117	1,421	1,732
Other receivable	322	266	593	683	776
Prepayments	6	10	24	30	37
Inventory	1,918	1,723	2,066	2,629	3,204
Other current assets	2,642	2,355	2,355	2,355	2,355
Total Assets	6,870	6,621	7,441	8,395	9,511
Current liabilities	1,023	548	719	813	941
Short-term borrowing	0	0	0	0	0
Bills payable	69	42	54	65	79
Account payable	609	243	312	372	454
Advance payments					
Tax payable	19	13	17	21	25
Other payables	82	83	169	190	217
Other current liabilities	246	166	166	166	166
Non-current liabilities	812	845	845	845	845
Debt and long term bond	0	0	0	0	0
Other Non-current Liabilities	812	845	845	845	845
Non-controlling interests	0	0	0	0	0
Shareholders' equity	3,072	3,464	4,114	4,973	5,962
Total Liabilities and Equity	4,908	4,857	5,677	6,631	7,747

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Financial Analysis

(Rmb Mn)	2023A	2024E	2025E	2026E	2027E
Growth (%)					
Margins (%)					
Gross Margin	45.9%	46.9%	45.4%	48.8%	48.8%
Selling expenses	1.2%	1.0%	0.8%	2.0%	2.7%
Administrative expenses	4.2%	3.6%	3.5%	3.6%	3.6%
R&D expenses	15.6%	14.0%	10.0%	13.0%	14.0%
Operating Margin	23.7%	27.6%	30.1%	29.2%	27.5%
Net Margin	28.7%	26.2%	25.8%	26.9%	25.4%
Efficiency					
Asset Turnover (X)	0.2	0.3	0.3	0.4	0.4
Inventory Days	891.3	648.8	617.5	637.7	644.1
Account Receivables Days	183.8	180.4	180.1	181.7	178.2
Account Payable Days	282.9	91.5	93.3	90.3	91.2
Return (%)					
ROA	8.0%	7.8%	9.2%	10.9%	11.0%
ROE	14.3%	14.1%	13.9%	14.3%	15.7%
ROIC	1699.8%	1226.5%	1436.0%	1770.8%	1859.3%
Total IB Debt/Equity	-	-	-	-	-
Net Cash	(527)	(485)	(336)	(234)	(274)
Valuations (X)					
P/E	35.7	32.9	26.1	21.3	18.5
P/BV	5.4	5.0	4.1	3.7	3.1
EV/EBITDA	35.5	23.6	22.0	19.3	16.8
Dividend Yield (%)	0.6%	0.6%	0.6%	0.7%	0.8%

Cashflow Statement

(Rmb Mn)	2023A	2024E	2025E	2026E	2027E
Operating cash flow	777	(164)	(150)	(101)	40
Investing cash flow	(602)	299	0	0	0
Financing cash flow	(89)	(157)	0	0	0
Increase in cash	86	(22)	(150)	(101)	40
Effect of foreign exchange rate changes	(0)	(2)	0	0	0
Cash and cash equivalents at BOP	419	527	485	336	234
Cash and cash equivalents at EOP	527	485	336	234	274

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Exhibit 88: Envicool

Income Statement	F23	F24	F25E	F26E	F27E
Revenue	3,529	4,589	6,164	10,633	14,302
Cost of goods sold	(2,479)	(3,270)	(4,442)	(7,316)	(9,662)
Gross profit	1,050	1,319	1,722	3,317	4,639
Tax and Surcharges	(21)	(27)	(36)	(63)	(84)
Selling Expenses	(174)	(207)	(272)	(452)	(601)
Research and development expenses	(263)	(350)	(455)	(780)	(1,013)
Admin Expenses	(154)	(198)	(254)	(422)	(560)
Asset impairment loss	(81)	(54)	(62)	(106)	(143)
Credit impairment loss	(15)	(49)	(64)	(94)	(134)
Operating profit	342	435	580	1,400	2,103
Other income	63	74	98	166	219
Net finance expenses	(6)	1	(8)	(27)	(47)
Others	3	0	1	1	1
Profit before tax	401	511	671	1,540	2,277
Tax	(53)	(57)	(70)	(162)	(239)
Profit after tax	349	454	600	1,378	2,038
Minorities	(5)	(1)	(3)	(5)	(7)
Net Profit	344	453	597	1,373	2,031
EPS (CNY)	0.60	0.61	0.61	1.41	2.08
Net Profit - recurring	420	533	699	1,541	2,268
EPS (CNY) - recurring	0.84	0.81	0.81	1.58	2.32
Balance Sheet	F23	F24	F25E	F26E	F27E
Cash and Cash Equivalents	940	728	1,626	2,520	3,621
Accounts Receivable	1,731	2,428	3,040	4,370	5,486
Financial Assets Held for Trading	50	30	30	30	30
Other Current Assets	1,508	1,615	2,053	3,018	4,573
Current Assets	4,229	4,802	6,750	9,938	13,709
PP&E, Net	287	626	686	811	984
Construction work in progress	128	164	212	294	404
Intangible Assets	129	126	123	121	120
Other Non Current Assets	317	296	296	296	296
Non-current assets	862	1,213	1,317	1,522	1,804
Total Assets	5,091	6,014	8,067	11,459	15,513
Accounts Payable	947	1,320	1,582	2,405	3,441
Note Payable	511	484	787	1,190	1,642
Other Current Liabilities	942	901	1,980	3,205	4,389
Current liabilities	2,400	2,706	4,349	6,800	9,472
Long term borrowings	39	24	24	24	24
Deferred Revenue - Non-current Liabilities	16	15	20	35	47
Other Non Current Liabilities	154	356	356	356	356
Non-current liabilities	209	395	400	415	427
Total Liabilities	2,609	3,101	4,750	7,215	9,899
Share Capital	568	744	744	744	744
Capital Reserve	653	567	567	567	567
Surplus Reserve	115	156	156	156	156
Retained Earnings	1,148	1,446	1,847	2,768	4,131
Others	(3)	(0)	3	8	16
Total Equity	2,482	2,913	3,317	4,244	5,614
Liability and Equity	5,091	6,014	8,067	11,459	15,513
Financial Analysis	F23	F24	F25E	F26E	F27E
Growth (%)					
Revenue	21%	30%	34%	73%	35%
Gross profit	20%	26%	31%	93%	40%
Operating Profit	24%	27%	33%	141%	50%
Net Profit	23%	32%	32%	130%	48%
Net Profit - recurring	33%	27%	31%	121%	47%
Margins (%)					
Gross Margin	29.8%	28.7%	27.9%	31.2%	32.4%
Selling expenses	4.9%	4.5%	4.4%	4.3%	4.2%
R&D expenses	7.5%	7.6%	7.4%	7.3%	7.1%
Operating Margin	9.7%	9.5%	9.4%	13.2%	14.7%
Net Margin	9.7%	9.9%	9.7%	12.9%	14.2%
Efficiency					
Asset Turnover (X)	0.7	0.8	0.8	0.9	0.9
Inventory Days	99	99	100	99	100
Account Receivables Days	182	197	188	161	171
Account Payable Days	215	201	195	179	192
Return (%)					
ROA	6.8%	7.5%	7.4%	12.0%	13.1%
ROE	13.9%	15.5%	18.0%	32.3%	36.2%
Gearing					
Total Liabilities / Total Assets	51.2%	51.6%	58.9%	63.0%	63.8%
Net Cash	291	70	969	1,862	2,963
Valuation					
PE	35.0	51.8	158.6	69.0	46.6
PB	4.8	8.0	28.6	22.4	16.9
EV/EBITDA	21.2	34.5	113.9	57.3	38.4
Dividend yield	0.9%	0.6%	0.2%	0.5%	0.7%
Cash Flow Statement	F23	F24	F25E	F26E	F27E
Net Income	349	454	600	1,378	2,038
D&A	32	41	46	54	66
Change in Working Capital	(144)	(497)	(476)	(1,055)	(1,168)
Operating Cash Flow	453	200	391	825	1,421
CAPEX	(204)	(353)	(475)	(819)	(1,101)
Free Cash Flow	249	(153)	(83)	6	320
Investing Cash Flow	(93)	(332)	(149)	(258)	(347)
Financing Cash Flow	(116)	(131)	656	326	27
(+/-) Net Changes in Cash	244	(263)	898	893	1,101

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 89: Estun

Income Statement						Financial Analysis					
(Rmb Mn)	2023A	2024A	2025E	2026E	2027E	(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Revenue	4,652	4,009	4,897	5,711	6,564	Growth (%)					
Cost of sales and services	(3,167)	(2,823)	(3,482)	(4,002)	(4,589)	Turnover	20%	-14%	22%	17%	15%
Gross profit	1,485	1,185	1,415	1,709	1,975	Operating Profit	-25%	-213%	-147%	95%	34%
Business tax	(25)	(23)	(29)	(33)	(38)	Net Profit	-19%	NM	NM	219%	23%
Selling and marketing expenses	(403)	(446)	(411)	(457)	(505)						
General and administrative expenses	(834)	(971)	(857)	(988)	(1,122)	Margins (%)					
Operating profit	224	(254)	118	231	309	Gross Margin	31.9%	29.6%	28.9%	29.9%	30.1%
Asset impairment Loss	(44)	(466)	(37)	(44)	(50)	Selling expenses	8.7%	11.1%	8.4%	8.0%	7.7%
Investment gain	101	66	79	119	131	G&A expenses	17.9%	24.2%	17.5%	17.3%	17.1%
Financial expenses	(133)	(136)	(111)	(90)	(119)	Operating Margin	4.8%	-6.3%	2.4%	4.0%	4.7%
Non-operating income	28	27	33	39	44	Net Margin	2.9%	-20.2%	1.3%	3.5%	3.8%
Non-operating expenses	(9)	(11)	(10)	(11)	(13)						
Profit before tax	167	(775)	72	244	301	Efficiency					
Tax	(34)	(42)	(14)	(49)	(60)	Asset Turnover (X)	0.5	0.4	0.4	0.4	0.4
Net profit	133	(817)	58	195	241	Inventory Days	170.6	209.7	245.3	237.5	237.3
Minority	(2)	(7)	(5)	(6)	(7)	Account Receivables Days	136.7	149.7	177.9	174.2	173.0
Net profit to shareholders	135	(810)	63	201	248	Account Payable Days	164.9	190.0	218.9	213.6	212.3
EPS (Rmb)	0.16	(0.93)	0.07	0.23	0.28	Return (%)					
NP to shareholders - recurring	136	(818)	63	201	248	ROA	1.4%	-8.1%	0.5%	1.6%	1.8%
Diluted EPS - recurring	0.16	(0.94)	0.07	0.23	0.28	ROE	6.7%	5.9%	-45.2%	3.1%	9.5%
						ROIC	4.2%	-13.5%	2.5%	3.8%	4.1%
Balance Sheet						Gearing (X)					
(Rmb Mn)	2023A	2024A	2025E	2026E	2027E	Asset/Equity	3.7	5.7	6.2	6.6	6.9
Non-current assets	4,389	4,077	4,838	5,328	5,884	Total Liabilities/Equity	2.7	4.6	5.1	5.5	5.8
PPE	1,107	1,435	1,610	1,815	2,050	Total IB Debt/Equity	1.1	1.8	2.2	2.5	2.8
Intangible assets	720	731	781	826	881	Net Cash	1,717	1,995	3,296	3,892	4,494
Other current assets	2,562	1,912	2,447	2,687	2,953	Valuations (X)					
Current assets	5,693	6,064	6,454	7,530	8,750	P/E	119.6	-13.0	354.8	111.2	90.1
Cash	1,227	1,197	764	1,109	1,537	P/BV	6.0	5.9	12.2	11.4	10.5
Bills receivable	55	147	201	235	270	EV/EBITDA	42.6	-26.4	63.4	6.7	6.4
Account receivable	1,597	1,777	2,170	2,531	2,909	Dividend Yield (%)	0.3%	0.0%	0.1%	0.3%	0.3%
Other receivable	29	33	40	47	54						
Prepayments	58	44	57	66	75						
Inventory	1,340	1,721	2,119	2,435	2,793						
Other current assets	1,386	1,145	1,102	1,107	1,113						
Total Assets	10,082	10,141	11,292	12,858	14,634						
Current liabilities	5,025	6,012	6,538	7,470	8,580	Cashflow Statement					
Short-term borrowing	1,514	1,839	2,207	2,648	3,178	(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Bills payable	691	649	470	469	539	Operating cash flow	30	(74)	117	208	319
Account payable	1,295	1,559	1,891	2,189	2,498	Investing cash flow	(678)	(192)	(968)	(735)	(835)
Advance payments	298	505	617	720	827	Financing cash flow	1,195	289	418	871	944
Tax payable	55	39	98	114	131	Increase in cash	547	23	(433)	345	428
Other payables	115	108	441	514	591	Effect of foreign exchange	(19)	(38)	0	0	0
Other current liabilities	1,056	1,314	816	816	816	Cash and cash equivalents	718	1,227	1,197	764	1,109
Non-current liabilities	2,235	2,236	2,825	3,329	3,833	Cash and cash	1,246	1,212	764	1,109	1,537
Debt and long term bond	1,430	1,353	1,853	2,353	2,853	E = Morgan Stanley Research estimates					
Other Non-current Liabilities	805	882	972	975	979	Source: Company data, Morgan Stanley Research					
Non-controlling interests	123	104	101	97	92						
Shareholders' equity	2,699	1,789	1,828	1,962	2,129						
Total Liabilities and Equity	10,082	10,141	11,292	12,858	14,634						

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 90: Han's Laser

Income Statement

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Revenue	14,091	14,771	18,274	22,584	24,418
Cost of sales and services	(9,474)	(10,068)	(12,353)	(15,086)	(16,212)
Gross profit	4,617	4,704	5,921	7,497	8,206
Other income	603	675	827	1,024	1,107
Selling expenses	(1,189)	(1,179)	(1,439)	(1,755)	(1,849)
Admin expenses	(1,076)	(1,167)	(1,384)	(1,710)	(1,825)
R&D expenses	(1,767)	(1,800)	(2,193)	(2,687)	(2,881)
Business Tax	(98)	(123)	(152)	(188)	(204)
Operating profit	486	435	753	1,156	1,447
Financial expenses	(9)	165	102	102	108
Investment income	148	1,047	150	150	150
Asset Impairment loss	(404)	(485)	(510)	(535)	(562)
Profit before tax and MI	824	1,836	1,323	1,896	2,250
Income tax	87	(84)	(10)	(44)	(57)
Non-controlling interests	(91)	(58)	(66)	(95)	(113)
Net profit	820	1,694	1,247	1,758	2,081
Recurring net profit	820	594	1,247	1,758	2,081
EPS (Rmb)	0.78	1.61	1.19	1.67	1.98

Balance Sheet

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Non-current assets	9,537	11,207	11,126	10,914	10,671
PPE	3,947	4,229	4,103	3,893	3,599
Intangible assets	1,687	1,621	1,552	1,480	1,407
Other current assets	3,669	5,162	5,287	5,411	5,536
Current assets	24,663	23,020	25,936	29,407	32,710
Cash	7,022	5,858	6,016	6,433	6,899
Cash Deposits and Equivalents	3,734	2,379	2,379	2,379	2,379
Notes Receivable	558	669	1,101	1,299	1,539
Account Receivable	7,331	8,488	9,913	11,694	13,848
Prepayments	128	149	149	149	149
Other Receivables	115	204	204	204	204
Inventory	4,393	3,961	4,861	5,936	6,379
Other Current Assets	1,381	1,313	1,313	1,313	1,313
Total Assets	34,200	34,227	37,062	40,321	43,381
Current liabilities	14,971	12,738	14,600	16,505	18,004
Short-term bank debt	980	1,634	1,855	2,077	2,298
Notes Payable	1,748	2,333	1,895	2,232	2,487
Account Payable	5,043	5,503	7,581	8,928	9,949
Prepayment Received	1,056	864	864	864	864
Salary Payable	1,295	1,245	1,245	1,245	1,245
Tax Payable	125	142	142	142	142
Other Payable	422	172	172	173	174
Long-term debt due in 1year	3,785	313	313	313	313
Non-current liabilities	2,849	3,992	3,992	3,992	3,992
Long-term Borrowing	2,123	3,237	3,237	3,237	3,237
Long-term Payables	7	6	6	6	6
Debt in Provision	123	152	152	152	152
Deferred tax Liabilities	48	79	79	79	79
Non-controlling interests	1,380	1,359	1,359	1,359	1,359
Shareholders' equity	15,000	16,139	17,112	18,465	20,026
Share Capital	1,052	1,052	1,052	1,052	1,052
Additional Paid-in Capital	2,926	3,238	3,238	3,238	3,238
Retained Earnings	11,022	11,849	12,821	14,175	15,735
Total Liabilities and Equity	34,200	34,227	37,062	40,321	43,381

Financial Analysis

	2023A	2024A	2025E	2026E	2027E
Growth (%)					
Turnover	-6%	5%	24%	24%	8%
Operating Profit	-55%	-11%	73%	54%	25%
Net Profit	-32%	107%	-26%	41%	18%
Recurring Net Profit	-32%	-28%	110%	41%	18%
Margins (%)					
Gross Margin	32.8%	31.8%	32.4%	33.2%	33.6%
Operating Margin	3.5%	2.9%	4.1%	5.1%	5.9%
Net Margin	5.8%	11.5%	6.8%	7.8%	8.5%
Efficiency					
Asset Turnover (X)	0.4	0.4	0.5	0.6	0.6
Inventory Days	169	144	144	144	144
Receivables Days	204	226	220	210	230
Payable Days	262	284	280	270	280
Return (%)					
ROA	2.4%	4.9%	3.4%	4.4%	4.8%
ROE	5.8%	11.3%	7.7%	10.3%	11.3%
ROIC	5.1%	7.6%	5.4%	7.2%	8.0%
Gearing (X)					
Asset/Equity	2.3	2.2	2.1	2.2	2.2
Total Liabilities/Equity	1.2	1.0	1.1	1.1	1.1
Total IB Debt/Equity	0.2	0.3	0.3	0.3	0.3
Net Interest Coverage	4.6	3.9	8.7	16.1	18.7
Valuations (X)					
P/E	26.6	15.5	37.3	26.5	22.4
P/BV	1.5	1.6	2.7	2.5	2.3
EV/EBITDA	21.3	29.3	39.9	28.9	24.0
Dividend Yield (%)	1.0%	1.4%	0.6%	0.9%	1.1%

Cashflow Statement

(Rmb Mn)	2023A	2024A	2025E	2026E	2027E
Cash fr operating activities	1,363	1,126	856	1,244	1,403
Cash used in investing activities	(1,181)	354	(807)	(807)	(807)
Cash fr/(used in) financing activities	588	(2,669)	110	(20)	(129)
Increase/in cash and equivalents	770	(1,189)	158	417	466
Effect of foreign exchange rate changes	19	24	0	0	0
Cash and cash equivalents at BOP	6,234	7,022	5,858	6,016	6,433
Cash and cash equivalents at EOP	7,022	5,858	6,016	6,433	6,899

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 91: Times Electric

Income Statement

Rmb Mn	2023A	2024A	2025E	2026E	2027E
Revenue	21,962	24,909	28,796	31,637	34,974
Cost of Sales	15,680	16,818	19,232	21,255	23,560
Gross Profit	6,282	8,091	9,564	10,382	11,415
Selling expenses	491	589	681	732	792
Administrative expenses	3,128	3,826	4,406	4,777	5,211
Operating profit	2,541	3,514	4,304	4,683	5,201
Asset impairment	342	395	457	502	555
Non-operating Income	42	31	55	61	67
Financial expense	(258)	(146)	(278)	(278)	(275)
Investment and Other Income	796	1,021	726	763	832
Profit before income tax	3,295	4,317	4,907	5,282	5,821
Income tax expense	209	368	491	528	582
Profit after tax	3,085	3,949	4,416	4,754	5,239
Minority Interest	44	246	288	316	350
Net Profit	3,041	3,703	4,128	4,437	4,889
EPS (Rmb)	2.15	2.61	2.92	3.13	3.45
Net profit - recurring	3,367	3,959	4,490	4,835	5,328
Diluted EPS - recurring	2.38	2.80	3.17	3.41	3.76

Financial Analysis

	2023A	2024A	2025E	2026E	2027E
Growth (%)					
Revenue	22%	13%	16%	10%	11%
Operating Profit	25%	38%	22%	9%	11%
Net Profit	19%	22%	11%	7%	10%
Margins (%)					
Gross Profit	28.6%	32.5%	33.2%	32.8%	32.6%
EBIT	13.8%	16.7%	16.1%	15.8%	15.9%
Net Profit	13.8%	14.9%	14.3%	14.0%	14.0%
Return (%)					
ROA	6%	6%	6%	6%	6%
ROE	8%	9%	9%	9%	10%
ROIC	8%	10%	10%	10%	10%
Gearing (%)					
Asset/Equity	1.4	1.4	1.5	1.4	1.4
Total Liabilities/Equity	42%	45%	47%	45%	44%
Total IB Debt/Equity	3%	0%	0%	0%	0%
Net Debt / Equity	-19%	-25%	-20%	-18%	-19%
Valuations (x)					
P/E	14.4	10.8	12.1	11.2	10.2
P/BV	1.2	1.0	1.1	1.0	1.0
EV/EBITDA	8.4	5.0	7.0	0.0	0.0
Dividend Yield (%)	2.5%	3.4%	3.1%	3.3%	3.6%
Efficiency					
Asset Turnover (x)	0.4	0.4	0.4	0.4	0.5
Inventory Days	129	153	140	140	140
Receivables Days	201	217	250	245	240
Payable Days	240	306	300	270	250

Balance Sheet

Rmb Mn	2023A	2024A	2025E	2026E	2027E
PP&E	5,297	8,595	11,107	13,034	13,899
Goodwill	231	231	231	231	231
Other intangible assets	1,401	1,391	1,151	906	654
Other non-current assets	9,083	8,152	8,152	8,152	8,152
Non-current assets	16,013	18,369	20,641	22,323	22,936
Inventories	5,536	7,064	7,377	8,153	9,037
Trade receivables	9,719	11,612	15,437	16,620	17,999
Bills receivables	2,393	3,225	4,287	4,615	4,998
Other current assets	13,155	16,946	16,946	16,946	16,946
Cash and cash equivalents	6,963	7,587	5,971	5,525	6,802
Current assets	37,766	46,433	50,017	51,858	55,781
Total Assets	53,779	64,802	70,658	74,181	78,718
Trade payables	6,336	8,290	9,289	9,239	9,483
Bills payables	3,987	5,817	6,518	6,483	6,654
Other current liabilities	2,931	4,584	5,596	6,039	6,544
Short-term borrowings	415	39	39	39	39
Current Liabilities	13,670	18,730	21,442	21,801	22,720
Long-term borrowings	632	62	62	62	62
Other non-current liabilities	1,628	1,248	1,248	1,248	1,248
Non-Current Liabilities	2,260	1,310	1,310	1,310	1,310
Share Capital	1,416	1,407	1,407	1,407	1,407
Capital Reserve	10,717	12,607	12,607	12,607	12,607
Surplus reserve	3,154	3,530	3,530	3,530	3,530
Exchange reserve	(256)	(241)	(241)	(241)	(241)
Proposed final dividend	1,101	1,369	1,527	1,641	1,808
Retained Earnings	20,778	22,735	25,494	28,404	31,652
Minority interests	851	3,235	3,523	3,839	4,189
Total Equity	37,849	44,762	47,967	51,308	55,072
Total Liability & Equity	53,779	64,802	70,719	74,181	78,718

Cash Flow Statement

Rmb Mn	2023A	2024A	2025E	2026E	2027E
Cash flow from operating	2,768	3,361	2,763	3,708	4,541
Cash flows from investing	(2,279)	(3,200)	(3,167)	(2,742)	(1,789)
Cash flow from financing	(571)	456	(1,212)	(1,413)	(1,474)
Inc/(dec) in cash & cash equiv.	(82)	618	(1,616)	(446)	1,278
Free cash flow	(215)	(89)	(117)	1,177	2,792
Cash at beginning of the Year	7,027	6,963	7,587	5,971	5,525
Cash at end of the Year	6,963	7,587	5,971	5,525	6,802

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimates

Exhibit 92: Neway Valve

Income Statement	F23	F24	F25E	F26E	F27E
Revenue	5,544	6,238	7,733	9,104	10,598
Cost of goods sold	(3,821)	(3,861)	(4,767)	(5,594)	(6,494)
Gross profit	1,724	2,376	2,966	3,510	4,104
Tax and Surcharges	(39)	(42)	(52)	(61)	(71)
Selling Expenses	(416)	(448)	(547)	(635)	(729)
Research and development expenses	(186)	(167)	(201)	(228)	(254)
Admin Expenses	(189)	(244)	(295)	(338)	(383)
Asset impairment loss	(24)	(95)	(117)	(127)	(138)
Credit impairment loss	(37)	(28)	(35)	(42)	(49)
Operating profit	832	1,352	1,718	2,078	2,480
Other income	32	16	46	52	57
Net finance expenses	41	40	40	40	20
Others	(56)	8	12	14	17
Profit before tax	849	1,415	1,816	2,184	2,573
Tax	(115)	(250)	(309)	(349)	(412)
Profit after tax	734	1,166	1,507	1,834	2,162
Minorities	(12)	(10)	(13)	(16)	(19)
Net Profit	722	1,156	1,495	1,819	2,143
EPS (RMB)	0.95	1.50	1.94	2.37	2.79
Net Profit - recurring	775	1,257	1,621	1,961	2,300
EPS (RMB) - recurring	1.02	1.64	2.11	2.55	2.99
Balance Sheet	F23	F24E	F25E	F26E	F27E
Cash and Cash Equivalents	1,168	1,441	981	636	356
Accounts Receivable	2,127	2,368	2,924	3,442	3,920
Financial Assets Held for Trading	180	350	350	350	350
Other Current Assets	2,708	2,953	3,572	4,317	5,027
Current Assets	6,184	7,113	7,827	8,746	9,653
Fixed Assets	1,347	1,239	1,317	1,306	1,307
Construction work in progress	7	25	25	25	25
Intangible Assets	151	153	157	162	169
Other Non Current Assets	190	181	181	181	181
Non-current assets	1,695	1,598	1,679	1,674	1,682
Total Assets	7,879	8,711	9,507	10,420	11,336
Accounts Payable	1,055	1,120	1,437	1,763	2,135
Note Payable	869	598	653	766	801
Other Current Liabilities	2,066	2,222	2,290	2,352	2,419
Current liabilities	3,990	3,941	4,380	4,881	5,355
Long term borrowings	-	298	298	298	298
Deferred Revenue - Non-current Liabilities	62	55	68	80	93
Other Non Current Liabilities	3	2	2	2	2
Non-current liabilities	65	354	367	379	392
Total Liabilities	4,055	4,295	4,747	5,260	5,747
Share Capital	760	769	769	769	769
Capital Reserve	914	1,054	1,054	1,054	1,054
Surplus Reserve	375	375	375	375	375
Retained Earnings	1,731	2,203	2,546	2,946	3,375
Others	43	16	16	16	16
Total Equity	3,824	4,416	4,760	5,160	5,588
Liability and Equity	7,879	8,711	9,507	10,420	11,336

Financial Analysis	F23	F24	F25E	F26E	F27E
Growth (%)					
Revenue	37%	13%	24%	18%	16%
Gross profit	39%	38%	25%	18%	17%
Operating Profit	77%	62%	27%	21%	19%
Net Profit	55%	60%	29%	22%	18%
Net Profit - recurring	54%	62%	29%	21%	17%
Margins (%)					
Gross Margin	31.1%	38.1%	38.4%	38.6%	38.7%
Selling expenses	7.5%	7.2%	7.1%	7.0%	6.9%
R&D expenses	3.4%	2.7%	2.6%	2.5%	2.4%
Operating Margin	15.0%	21.7%	22.2%	22.8%	23.4%
Net Margin	13.0%	18.5%	19.3%	20.0%	20.2%
Efficiency					
Asset Turnover (X)	0.7	0.7	0.8	0.9	0.9
Inventory Days	215	234	230	240	240
Account Receivables Days	147	147	148	149	148
Account Payable Days	184	162	160	165	165
Return (%)					
ROA	9.2%	13.3%	15.7%	17.5%	18.9%
ROE	18.9%	26.2%	31.4%	35.2%	38.3%
Gearing					
Total Liabilities / Total Assets	51.5%	49.3%	49.9%	50.5%	50.7%
Net Cash	(840)	(389)	(903)	(1,361)	(1,676)
Valuation					
PE	14.6	14.7	27.6	22.7	19.2
PB	2.8	3.9	8.8	8.1	7.5
EV/EBITDA	11.7	11.3	21.6	18.3	15.6
Dividend yield	3.8%	5.1%	2.8%	3.4%	4.2%
Cash Flow Statement	F23	F24	F25E	F26E	F27E
Net Income	734	1,166	1,507	1,834	2,162
D&A	161	168	174	182	191
Change in Working Capital	(349)	(377)	(736)	(762)	(714)
Operating Cash Flow	637	1,112	1,088	1,411	1,831
CAPEX	(126)	(148)	(184)	(216)	(252)
Free Cash Flow	511	963	904	1,195	1,579
Investing Cash Flow	(249)	(310)	(373)	(304)	(337)
Financing Cash Flow	(46)	(563)	(1,175)	(1,452)	(1,774)
(+/-) Net Changes in Cash	342	239	(460)	(345)	(280)

Source: Company data, Morgan Stanley Research. E=Morgan Stanley Research estimate

Risk Reward – WeiChai Power (2338.HK)

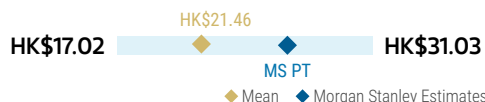
Domestic HDT sales under pressure in 2026; robust large-bore engine growth

PRICE TARGET HK\$26.20

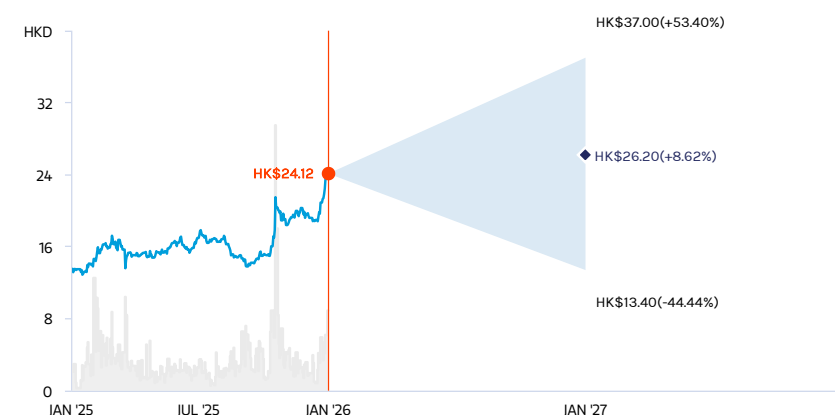
We use 10x 2026e P/E for its traditional engine and truck business, which is in line with its 8-year historical average FY2 P/E of 10x. We use 60x 2026e P/E for its AIDC business considering strong NP growth (~100% y-y). KION valuation is based on its market cap and Weichai's stake.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



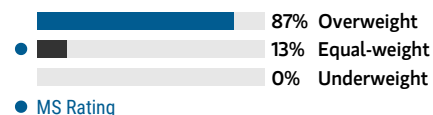
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We expect industry HDT demand to decline ~10% y-y to ~1mn units in 2026 mainly dragged by weak domestic sales due to 2025 front-loading, depressing WeiChai's diesel engine and HDT business.
- We expect it to maintain relatively steady market share in HDT engines thanks to its advanced technologies in high horsepower engines and its dominance in LNG HDT engines.
- WeiChai's large-bore engine shipments for data centers should double y-y in 2026, benefitting from domestic AI capex acceleration, and it should gain share globally in the long run.
- WeiChai-H trades at 13x 2026e P/E, above its 8-year historical average FY2 P/E of 10x.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*

Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$37.00

21x bull case 2026e EPS

Stronger-than-expected HDT demand in 2026: Industry HDT demand exceeds 1.1mn units in 2026 with stronger than expected stimulus and macro environment. WeiChai gains significant share in China's HDT market (to >40%) and large-bore engine market globally.

BASE CASE

HK\$26.20

15x base case 2026e EPS

HDT demand under pressure in 2026; large-bore engine business stays resilient: Industry HDT demand will decline ~10% y-y to ~1mn units in 2026. WeiChai maintains stable market share in the HDT engine segment, and is able to expand engine product categories to the construction machinery, agricultural machinery, vessel, and power generator segments.

BEAR CASE

HK\$13.40

8x bear case 2026e EPS

Worse-than-expected HDT demand in 2026: Overall HDT demand significantly narrows in 2026 to below 900k units amid weaker logistics activities and a narrowing oil-to-gas gap. WeiChai loses share notably in the LNG HDT engine market.

Risk Reward – WeiChai Power (2338.HK)

KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Engine revenue growth (%)	(2.2)	12.0	2.0	6.8
Shaanxi Heavy Truck revenue growth (%)	(1.7)	21.3	(8.6)	4.5
KION revenue growth (%)	1.4	(0.9)	0.5	5.8

INVESTMENT DRIVERS

- Volume growth in engine and HDT sales
- Share gain/loss in the HDT market
- Large-bore engine shipments

GLOBAL REVENUE EXPOSURE



- 0-10% North America
- 10-20% Europe ex UK
- 60-70% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected business recovery from KION
- Better-than-expected volume growth in engine and HDT sales due to stronger stimulus

RISKS TO DOWNSIDE

- Slower-than-expected AI capex
- Market share loss in engine/HDT market

OWNERSHIP POSITIONING

Inst. Owners, % Active **54.5%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (Rmb, mn) 221,890.0 **230,215.2** 237,919.0
229,922.8

EBITDA (Rmb, mn) 24,687.0 **28,182** 32,782.9
29,060.8

Net income (Rmb, mn) 11,600.0 **12,573** 14,637.0
12,520.5

EPS (Rmb) 1.4 **1.4** 1.7
1.5

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Shenzhen Inovance Technology (300124.SZ)

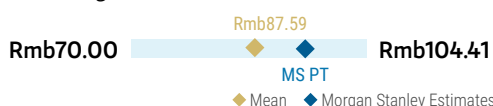
Leading domestic industrial automation player benefitting from localization

PRICE TARGET Rmb95.00

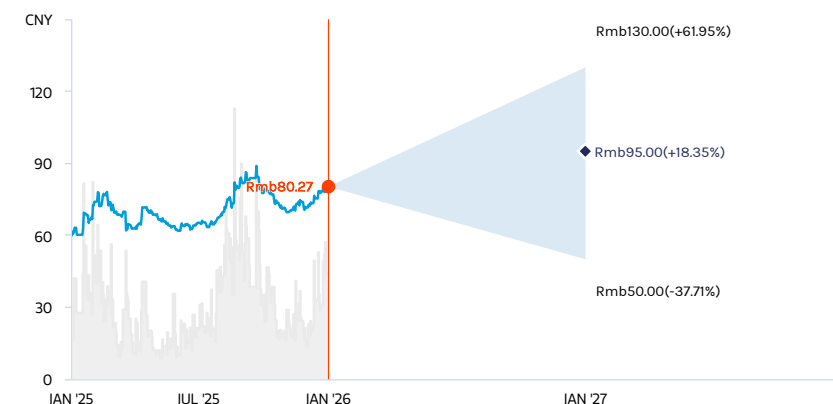
Our price target is derived by: 1) apply 35x 2026e P/E for its core business (excl. NEV powertrain) as we benchmark to its average valuation level during 2016-19, which saw soft demand recovery after supply-side reform began and before the boom cycle during the Covid period; 2) NEV powertrain valuation is based on its market cap and Inovance's stake 83%; 3) apply 5x P/S for the humanoids business when the global humanoid sales reach 1mn units.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



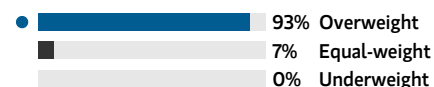
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We see strong potential for Inovance's general automation products to gain market share in the medium to high-end OEM and project markets, in the long term, on the back of its competitive product quality, diversified product spectrum, good service and prompt delivery.
- EV drive is the second growth driver in the medium term. We see a ~25% revenue CAGR over 2025-27, expanding clients from new EV players to large traditional Chinese auto makers and global brands.
- Inovance targets >20% revenue from the overseas market in the mid-long term, up from the current ~6%.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb130.00

50x bull case 2026e EPS

Stronger macroeconomic recovery encourages higher-than-expected penetration of automation products: Benefiting from robust demand, local manufacturers accelerate the adoption of automation products in their production lines. Inovance gains more market share than expected. Gross margin in NEV segment improves notably, thanks to economies of scale. Inovance becomes one of the key suppliers for foreign humanoid OEMs.

BASE CASE

Rmb95.00

40x base case 2026e EPS

Market share gains continue despite weak market recovery. Market share in AC drive, servo, PLC and 6-axis robots further increases in 2026-27, although the pace is slower than in 2021-23. Decent growth momentum in NEV business is supported by sustainable new orders from traditional auto OEMs and overseas. Inovance to start have humanoid robots revenue since 2026.

BEAR CASE

Rmb50.00

25x bear case 2026e EPS

Weak macro conditions and failure to develop new products: A weaker-than-expected macro environment discourages downstream IA demand, and Inovance's market share shrinks on failure to develop new products. G&A expenses increase at a faster rate, eroding profitability. Gross margins in the NEV segment deteriorate further with slower-than-expected client penetration. Inovance humanoid products fail to win orders from key customers.

Risk Reward – Shenzhen Inovance Technology (300124.SZ)

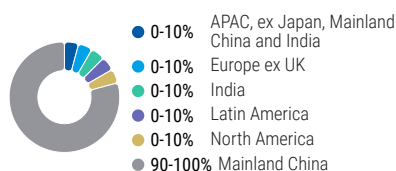
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Inverters segment revenue growth (%)	(0.7)	20.2	16.9	14.9
New Energy and Railway segment revenue growth (%)	72.1	34.5	19.5	22.6
Gross Margin (%)	28.7	28.1	27.9	27.8

INVESTMENT DRIVERS

- Acceleration in IA market share gain and overseas expansion
- Property recovery resulting in more demand for elevators/control products
- Large-scale delivery to NEV manufacturers and more new orders from traditional auto manufacturers

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected macroeconomy boosts demand for automation products.
- ePVs equipped with Inovance's EV control system see stronger-than-expected sales in 2026-27.

RISKS TO DOWNSIDE

- Failure to develop high-end automation products, with low-end products suffering declining ASP due to stiff competition.
- Larger-than-expected gross margin decline on raw materials price hike.

OWNERSHIP POSITIONING

Inst. Owners, % Active 96.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (Rmb, mn) 42,457.7 **45,737.5** 47,793.0
45,832.2

EBITDA (Rmb, mn) 4,887.0 **6,669** 7,168.0
6,328.7

Net income (Rmb, mn) 5,200.6 **5,358** 5,706.9
5,493.4

EPS (Rmb) 1.9 **2.0** 2.1
2.0

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Leader Harmonious Drive Systems (688017.SS)

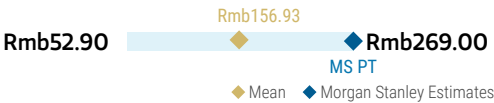
Well positioned to capture structural tailwind of humanoids and other robotics

PRICE TARGET Rmb269.00

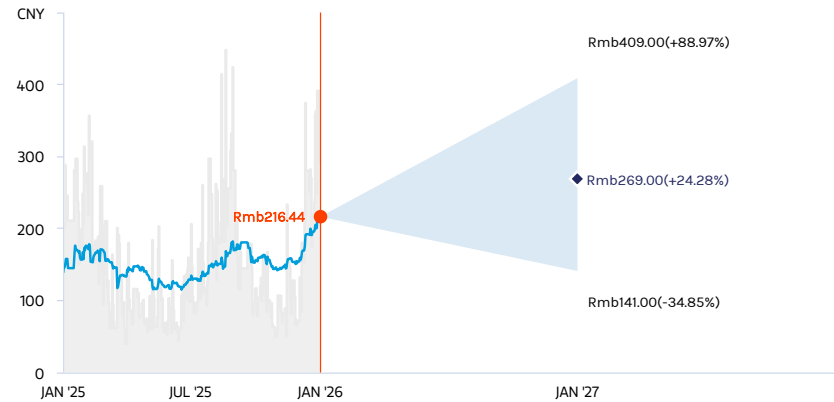
Base case. We use DCF for Leaderdrive, by discounting 2025-50e cash flow at a WACC of 11% and terminal growth rate of 4%, to derive per share value of Rmb269.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



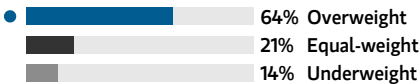
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Leaderdrive is a key supplier of humanoid harmonic reducers, supplying to key domestic integrators with a leading market share.
- For other robots, we expect an increase in the average number of harmonic reducers per robot, thanks to rising manipulation capabilities, offsetting the price price impact.
- Leaderdrive is developing other products for humanoids, such as planetary roller screws and linear actuators, which can capture higher value per robot.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb409.00

Bull case DCF

Leaderdrive's bargaining power continues to improve, supported by high technological barriers and quality. Humanoid robots progress is better than expected, with Leaderdrive capturing more market share globally.

BASE CASE

Rmb269.00

Base case DCF

Leaderdrive, as the leading domestic harmonic reducer company, with leading market share in domestic humanoid integrators. Industrial robot continue steady growth. The rising manipulation capability leads to an increase in the average number of harmonic reducer per robot.

BEAR CASE

Rmb141.00

Bear case DCF

Mass production of humanoid robots is slower than expected. Harmonic reducer is no longer a mainstream solutions for humanoids. Leaderdrive's products underperform competitor with a significant market share loss.

Risk Reward – Leader Harmonious Drive Systems (688017.SS)

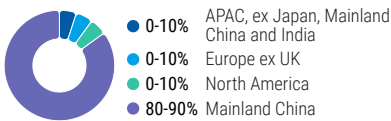
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Harmonic reducer revenue growth (%)	5.0	16.0	25.3	24.9
Harmonic reducer GP margin (%)	38.0	38.0	37.0	36.5

INVESTMENT DRIVERS

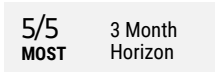
- 1) The average unit price of harmonic reducers returns to positive growth and the company's cost control ability remains strong.
- 2) Integrated actuator business expands quickly, with continuous gross profit margin improvement.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS



Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected growth in industrial robot demand (especially cobot)
- Faster humanoid robot adoption and successfully penetrating the humanoid integrators' supply chain
- Margin expansion via higher capacity utilization and more favorable product mix

RISKS TO DOWNSIDE

- Lower-than-expected manufacturing capex in China
- Slower-than-expected humanoid development
- Harmonic redcuer is no longer a mainstream solution

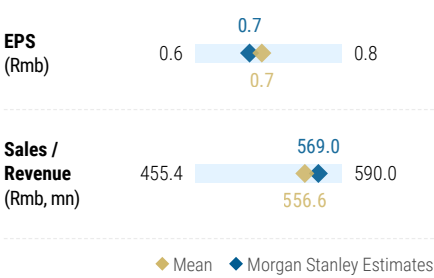
OWNERSHIP POSITIONING



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e



Source: Refinitiv, Morgan Stanley Research

Risk Reward – Hongfa Technology Co Ltd (600885.SS)

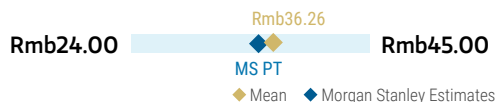
Good fundamentals, diversified segment growth prospects

PRICE TARGET Rmb35.00

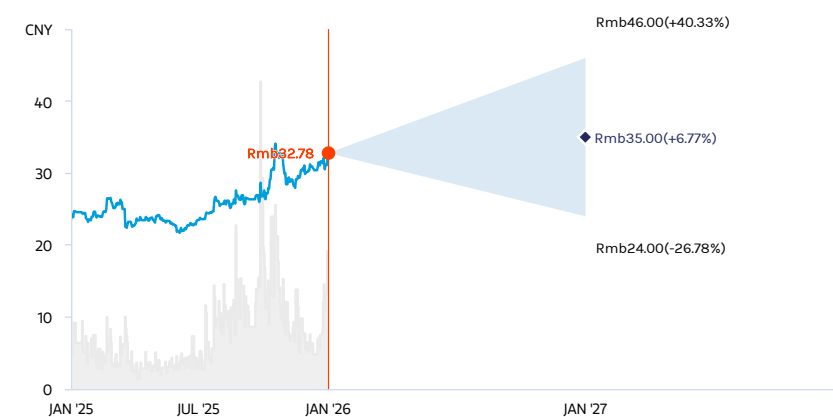
Base case, P/E. We apply a 2026e P/E multiple of 23x to derive our new PT of Rmb35, we think a 10-year average P/E multiple of 23x is appropriate, considering Hongfa's sustained stable growth prospects with contributions from new non-relay products.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



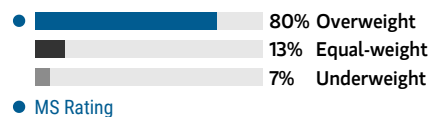
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Hongfa is a leading global relay manufacturer with potential for continued market share gains.
- Although the traditional relay market is mature, Hongfa enjoys growth from the robust global NEV, new energy, AIDC, ESS demand.
- We believe Hongfa will benefit from continuous global market share gains as well as long-term growth in non-relay new products.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*
Renewable Energy: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb46.00

28x bull-case 2026e EPS

NEV, automotive and new energy relays show stronger-than-expected growth. Hongfa benefits from better-than-expected recovery in home appliances and power relays, with further accelerated ramp-up in new non-relay products.

BASE CASE

Rmb35.00

23x base-case 2026e EPS

New energy, NEV, auto, industrial and signal relays benefit from strong new energy and NEV demand, with home appliance and power relays demand remain low. Gradually benefit from AIDC and ESS demands.

BEAR CASE

Rmb24.00

12x bear-case 2026e EPS

China's economy slows materially, resulting in lackluster demand for home appliances, NEV and automotive relays. Competition also becomes more intense, resulting in increasing pressure on Hongfa's margins. Hongfa loses share in its key markets. Rise in raw material price continues to impact Hongfa's margin.

Risk Reward – Hongfa Technology Co Ltd (600885.SS)

KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Electrical products revenue growth (%)	9.0	17.2	13.6	10.8
Gross Margin (%)	15.0	15.0	0.0	0.0

CATALYST CALENDAR

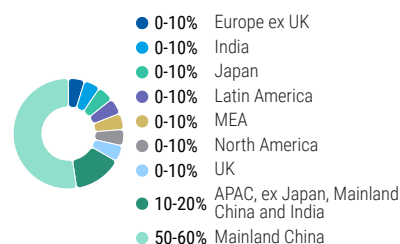
Date	Event
21 Apr 2026 - 25 Apr 2026	Hongfa Technology Co Ltd Annual Shareholders Meeting

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- New energy and NEV demand drive relay growth
- New products to gradually ramp up
- Margin to maintain stable

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Robust new energy and NEV growth.
- Recovery in property sector, which generate strong demand for home appliances.
- Faster-than-expected growth in AIDC, ESS and new electrical products

RISKS TO DOWNSIDE

- More intense price competition and rising raw material costs, hampering Hongfa's margin.
- Sharp decline in China's property market, which would result in weak home appliance consumption.
- Downturn in global EV demand.

OWNERSHIP POSITIONING

Inst. Owners, % Active 99.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (Rmb, mn) 15,897.0 16,466.5 17,187.9
16,569.4

EBITDA (Rmb, mn) 3,619.8 3,697 4,121.0
3,887.7

Net income (Rmb, mn) 1,850 1,912.1 1,985.0

EPS (Rmb) 1.2 1.3 1.8
1.3

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)

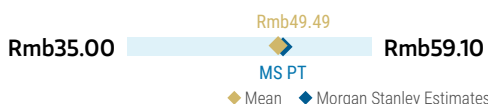
Strong NEV and intelligent actuator growth with improving margin

PRICE TARGET Rmb50.00

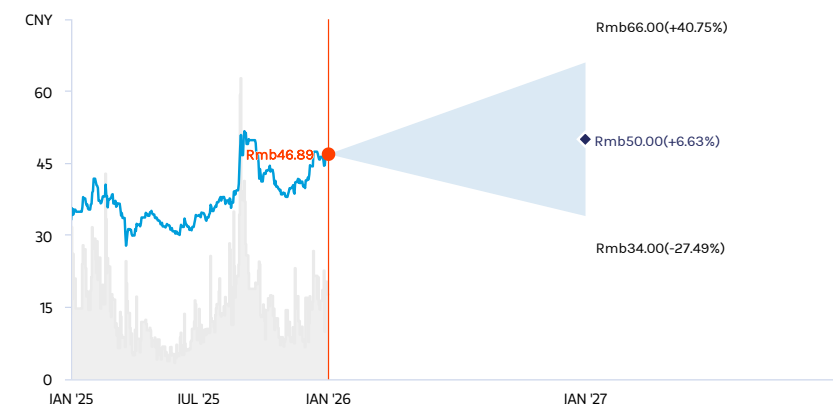
We apply a 25x 2026e P/E for the core business, which we view as appropriate to use 25x (5-year average FY1 P/E) considering the sustained growth across business lines. In terms of humanoid potential, we use 6x P/S on Rmb1.1bn sales when global humanoid sales exceeded 1mn units to derive a humanoid business value, which is justified by a longer application timeline for new reducers but higher growth potential.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



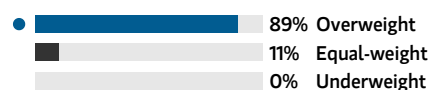
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Shuanghuan is China's largest independent gear maker, amid a broad downstream market, and we expect its growth momentum and market share gain to expand in the very fragmented industry.
- We expect NEV gears to be the key growth driver, supplemented by new energy commercial vehicles gear and robotics reducers' localization trend.
- The company aims to seize opportunities overseas, with new plant in Hungary ramping up, as well as supplying reducers for humanoids.
- Intelligent actuator growth remains robust in coming 3 years with multiple downstream applications.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb66.00

30x 2025e bull case P/E; 8x P/S for humanoids

We assume:

- 1) Significant NEV gear outperformance, thanks to better-than-expected NEV demand, Shuanghuan's market share gain, and OEM's shift in outsourcing gear manufacturing;
- 2) Faster-than-expected precision reducer localization, amid robust humanoid robot growth in China, and ramp-up in harmonic reducer business expansion; and
- 3) Better-than-expected GPM improvement, with more high-end product sales.

BASE CASE

Rmb50.00

25x 2026e base case P/E; 6x P/S for humanoids

We expect:

- 1) Revenue and net profit to grow 14% and 15% YoY, respectively, in 2026e, driven by ongoing market share gain in the NEV gear market domestically and globally while China NEV growth slowdown;
- 2) Solid growth in intelligent actuator with improving diversified downstream demand;
- 3) GPM to improve via favorable product mix.

BEAR CASE

Rmb34.00

18x 2026e bear case P/E; 3x P/S for humanoids

We assume:

- 1) Significant underperformance in automotive gears, constrained by weaker NEV sales;
- 2) Slower-than-expected intelligent actuators growth, constrained by sluggish downstream demands; and
- 3) GPM decline from NEV gear price cuts and decreasing volume per car.

Risk Reward – Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)

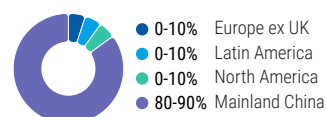
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
NEV gears revenue growth (%)	51.2	17.4	23.5	25.5
RV reducer revenue growth (%)	50.0	28.2	11.9	9.4
Gross profit margin (%)	25.0	27.3	27.3	27.5

INVESTMENT DRIVERS

- Market share gain in NEV gear market, in China and globally
- Intelligent actuators growth with diversified downstream applications
- Leading reducers supplier for industrial robot and potentially humanoids

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increasing penetration of dual/tri-motor and coaxial gearboxes
- Faster capacity expansion overseas, capturing more overseas OEMs' demand
- Faster-than-expected intelligent actuator growth driven by diversifying downstream
- Faster-than-expected progress of humanoid reducers

RISKS TO DOWNSIDE

- Slower-than-expected share gains
- Weaker-than-expected overseas market demand
- Intensifying gear and actuator competition in China

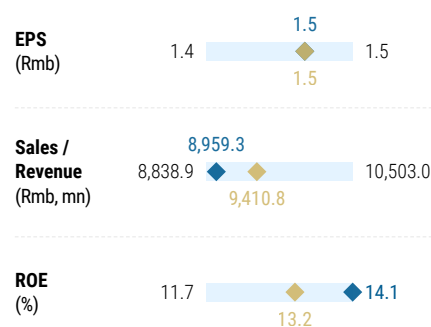
OWNERSHIP POSITIONING

Inst. Owners, % Active 99.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Estun Automation Co Ltd (002747.SZ)

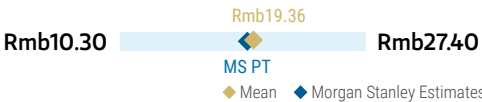
Market share gain intact but valuation too stretched; UW

PRICE TARGET Rmb19.00

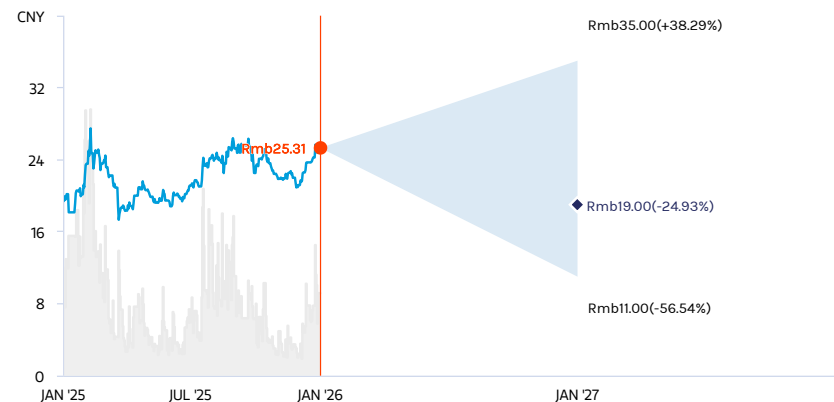
Core business valuation of 60x 2026e P/E. This is in-line with 8-year average FY2 P/E of 60x. For the humanoid robots business, we use 15x on Rmb2bn sales with global humanoid robots sales at 1mn units, below other core humanoid OEM Ubtech and Dobot's ~20x on average, due to smaller scale and market share.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



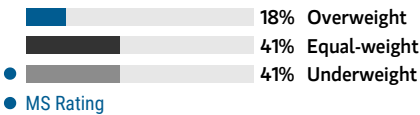
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- Industry robots demand stays decent growth in 2026-27 with softer market competition.
- We expect continuous market share gain for Estun both domestically and globally.
- However, our margin improvement expectation is below company's guidance and see downside risk.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- Pricing Power: Negative
- Secular Growth: Positive
- Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb35.00

150x 2026e P/E

China's industrial robot market grows >20% p.a. in 2026-27: Estun's high-end robots and core components notably gain market share globally. Cloos surpasses its earnings targets.

BASE CASE

Rmb19.00

82x 2026e P/E

China's industrial robot market grows at low teens growth in 2026-27 and Estun continues to gain market share in 6-axis industrial robots. SG&A expense ratio is lower, so Estun will turn from net loss in 2024 to net profit in 2025, and see margin expansion in 2026-27.

BEAR CASE

Rmb11.00

48x 2026e P/E

China's industrial robot market declines in 2026-27: The company's system integration suffers from low margins and long receivables days. Industrial robot and servo system revenue grow much slower than industry revenue does. Cloos fails to achieve financial targets.

Risk Reward – Estun Automation Co Ltd (002747.SZ)

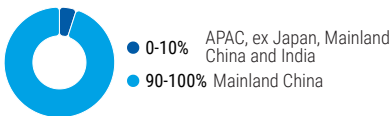
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Industrial robot revenue growth (%)	(16.0)	29.3	18.8	17.2
Automation components revenue growth (%)	(6.1)	0.0	8.0	5.0
Gross margin (%)	29.6	28.9	29.9	30.1

INVESTMENT DRIVERS

- Industrial robot segment growth
- Cost reduction.
- China's New Infrastructure spending, such as on photovoltaic.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected growth in China's industrial robot market and faster-than-expected pace of market share expansion
- Faster-than-expected cost reduction in core components for robots

RISKS TO DOWNSIDE

- Slowdown in China's industrial robot market and aggressive price competition
- Slowdown of advanced manufacturing capex and China's investment in new infrastructure

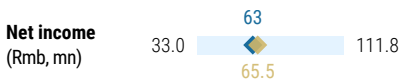
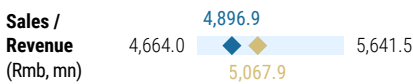
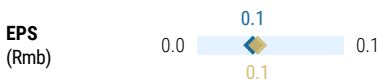
OWNERSHIP POSITIONING

Inst. Owners, % Active 65.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e



Mean Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – WeiChai Power (000338.SZ)

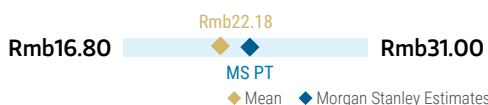
Domestic HDT sales under pressure in 2026; robust large-bore engine growth

PRICE TARGET Rmb23.90

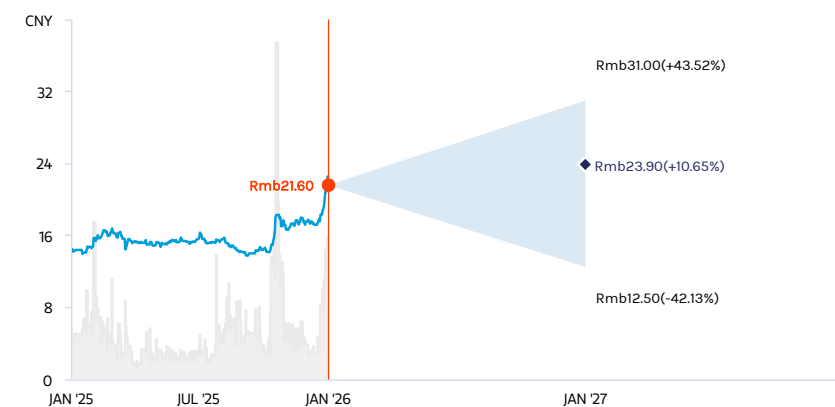
We apply 0% A-H share premium to get A-share price target at Rmb23.9 reflecting FX (HKD/RMB exchange rate of 0.9).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



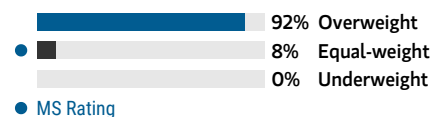
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We expect industry HDT demand to decline ~10% y-y to ~1mn units in 2026 mainly dragged by weak domestic sales due to 2025 front-loading, depressing WeiChai's diesel engine and HDT business.
- We expect it to maintain relatively steady market share in HDT engines thanks to its advanced technologies in high horsepower engines and its dominance in LNG HDT engines.
- WeiChai's large-bore engine shipments for data centers should double y-y in 2026, benefitting from domestic AI capex acceleration, and it should gain share globally in the long run.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Renewable Energy: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb31.00

20x bull case 2026e EPS

Stronger-than-expected HDT demand in 2026: Industry HDT demand exceeds 1.1mn units in 2026 with stronger than expected stimulus and macro environment. WeiChai gains significant share in China's HDT market (to >40%) and large-bore engine market globally.

BASE CASE

Rmb23.90

15x base case 2026e EPS

HDT demand under pressure in 2026; large-bore engine business stays resilient: Industry HDT demand will decline ~10% y-y to ~1mn units in 2026. WeiChai maintains stable market share in the HDT engine segment, and is able to expand engine product categories to the construction machinery, agricultural machinery, vessel, and power generator segments.

BEAR CASE

Rmb12.50

8x bear case 2026e EPS

Worse-than-expected HDT demand in 2026: Overall HDT demand significantly narrows in 2026 to below 900k units amid weaker logistics activities and a narrowing oil-to-gas gap. WeiChai loses share notably in the LNG HDT engine market.

Risk Reward – WeiChai Power (000338.SZ)

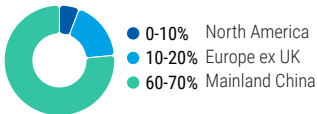
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Engine revenue growth (%)	(2.2)	12.0	2.0	6.8
Shaanxi Heavy Truck revenue growth (%)	(1.7)	21.3	(8.6)	4.5
KION revenue growth (%)	1.4	(0.9)	0.5	5.8

INVESTMENT DRIVERS

- Volume growth in engine and HDT sales
- Share gain/loss in the HDT market
- Large-bore engine shipments

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected business recovery from KION
- Better-than-expected volume growth in engine and HDT sales due to stronger stimulus

RISKS TO DOWNSIDE

- Slower-than-expected AI capex
- Market share loss in engine/HDT market

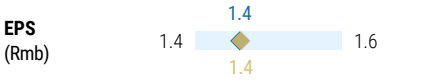
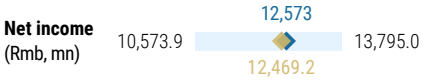
OWNERSHIP POSITIONING

Inst. Owners, % Active 94.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Sinotruk (Hong Kong) Limited (3808.HK)

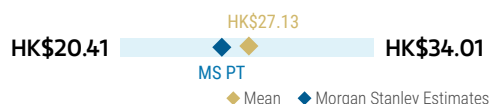
EW on soft HDT sales momentum and fair risk-reward

PRICE TARGET HK\$25.70

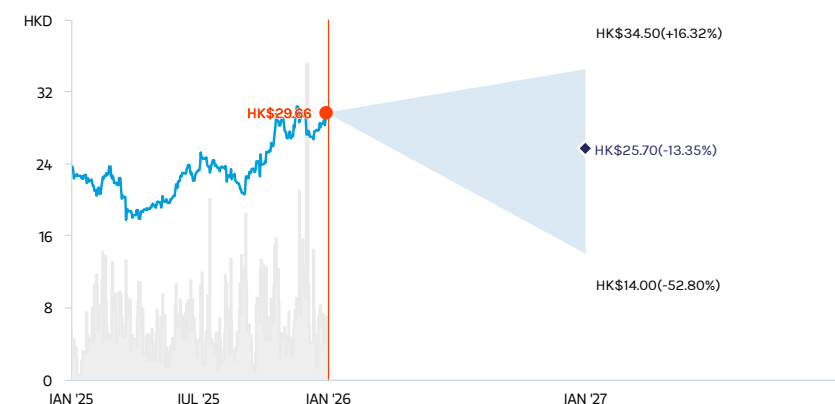
Base case, derived from P/E methodology. We apply a target multiple of 9x to our 2026e EPS estimate. This is mildly above 8-year historical average FY2 P/E of 8x, as we believe Sinotruk's overseas expansion growth has more resilience and will be the key profit contribution comparing to the past.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



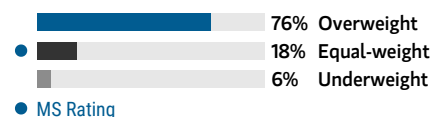
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We expect industry HDT demand to decline ~10% y-y to ~1mn units in 2026 mainly dragged by weak domestic sales due to 2025 front-loading, while exports should stay resilient.
- We think Sinotruk will continue to gain share in the domestic HDT market and maintain its strong presence in overseas markets in the medium term.
- Our EW rating reflects fair risk-reward with relatively soft HDT sales momentum in 2026-27.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$34.50

12x bull case 2026e EPS

Strong HDT sales in 2026: Industry HDT demand stays solid growth and exceed 1.2mn units in 2026. Electric HDT and light truck business makes significant market share gains.

BASE CASE

HK\$25.70

9x base case 2026e EPS

HDT demand under pressure in 2026; large-bore engine business stays resilient: Industry HDT demand will decline ~10% y-y to ~1mn units in 2026. Sinotruk market share stays steady.

BEAR CASE

HK\$14.00

6x bear case 2026e EPS

Worse-than-expected HDT demand recovery in 2026: China's HDT demand falls below 900k units in 2026 amid a slowdown in manufacturing activities; a sluggish economy delays HDT replacement demand; light truck business fails to gain market share.

Risk Reward – Sinotruk (Hong Kong) Limited (3808.HK)

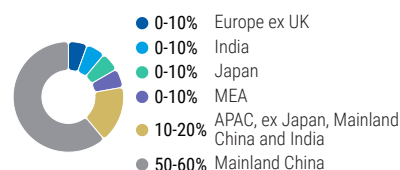
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Heavy Truck revenue growth (%)	7.2	23.5	(3.2)	5.0
Light Truck revenue growth (%)	4.1	10.0	4.0	4.0
Engines revenue growth (%)	(4.3)	22.1	2.0	10.3
Heavy Truck gross margin (%)	7.0	7.0	7.1	7.1
Engines gross margin (%)	23.0	23.0	23.0	23.0

INVESTMENT DRIVERS

- HDT sales volume in both domestic and overseas markets
- LDT sales volume in domestic markets
- HDT/LDT margin trend

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected infrastructure construction and logistics transport demand
- Larger-than-expected share gains in the HDT market

RISKS TO DOWNSIDE

- Aggressive pricing strategy outweighing cost reduction efforts
- Slower-than-expected overseas market expansion.

OWNERSHIP POSITIONING

Inst. Owners, % Active 38.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (Rmb, mn) 102,778.0 112,579.7 116,221.0
109,000.8

EBITDA (Rmb, mn) 8,631.3 10,765 12,052.0
10,241.3

Net income (Rmb, mn) 5,948.4 6,874 7,777.5
6,745.0

EPS (Rmb) 2.3 2.5 2.8
2.5

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Zoomlion Heavy Industry (1157.HK)

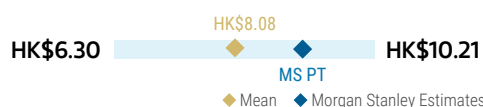
Key beneficiary of later stage of upcycle

PRICE TARGET HK\$9.10

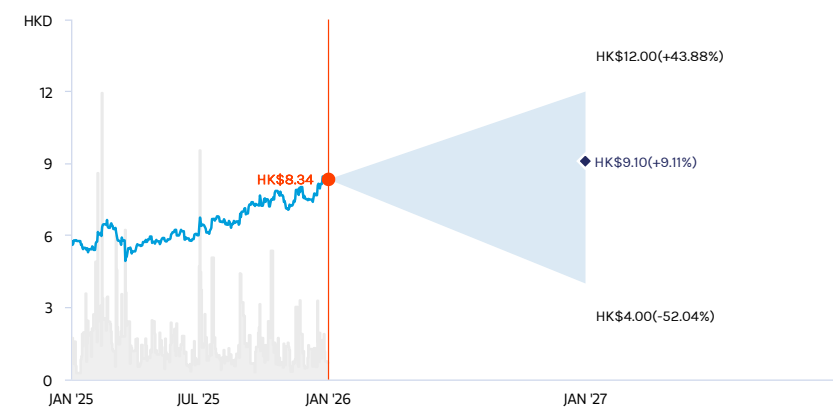
Our H-share valuation is based on 12x 2026e P/E. We think this multiple is appropriate, largely in line with the average of 13x over 2013-25.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



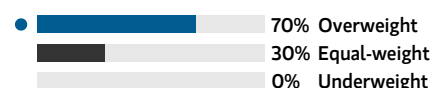
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Benefits from continued domestic upcycle, particularly non-excavator machinery to ramp in later stage of upcycle
- Improving OPM, with a higher overseas mix, basic completion of overseas sales network and improving utilization.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$12.00

14x 2026e EPS

Domestic construction machinery recovery and exports growth is faster than expected in 2026-27: Excavators, cranes and concrete machinery see faster than expected domestic growth with economic turnaround and government equipment upgrade subsidies. Overseas sales growth is faster than expected with market share gain in new growth segments, stronger-than-expected global economy recovery and easing trade tensions.

BASE CASE

HK\$9.10

12x 2026e EPS

Domestic construction machinery remains in upcycle in 2026-27: We expect Zoomlion to be a key beneficiary in the later stages of the upcycle, with higher non-excavator machinery exposure.

Modest overseas sales growth is expected for 2026-27, reflecting established overseas sales channels and capacity.

BEAR CASE

HK\$4.00

8x 2026e EPS

Domestic construction machinery recovery is not persistent, while exports growth slowdown is worse than expected in 2026-27: Domestic recovery is led by small tonnage excavators from county-level and small infra projects, while cranes/concrete machinery remain in a cyclical bottom without a meaningful pickup in property construction. Overseas sales growth is slower than expected amid uncertainty in the global economy and tariffs and intensified competition among Chinese players in EMs.

Risk Reward – Zoomlion Heavy Industry (1157.HK)

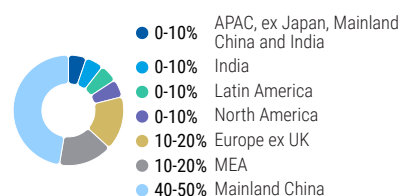
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Concrete machinery sales growth (%)	(6.8)	25.0	20.0	18.0
Crane machinery sales growth (%)	(23.4)	11.0	15.0	18.0
Concrete machinery business gross margin (%)	22.7	23.0	24.0	24.0
Crane machinery business gross margin (%)	32.4	33.0	33.3	33.5

INVESTMENT DRIVERS

- Sales volume of concrete machinery, crane machinery and agricultural machinery
- Gross margin of concrete machinery, crane machinery and agricultural machinery
- Overseas business growth rate

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected replacement demand from emissions standard upgrade.
- Stronger demand for excavators and aerial work platform products.

RISKS TO DOWNSIDE

- Lower-than-expected infrastructure and property investment growth.
- Lower-than-expected overseas demand.

OWNERSHIP POSITIONING

Inst. Owners, % Active 36.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (Rmb, mn) 46,552.0 50,437.8 54,637.0
50,179.9

EBITDA (Rmb, mn) 5,812.0 7,338 8,070.0
6,771.0

Net income (Rmb, mn) 4,016.3 4,889 5,038.0
4,593.3

EPS (Rmb) 0.5 0.6 0.6
0.5

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Zoomlion Heavy Industry (000157.SZ)

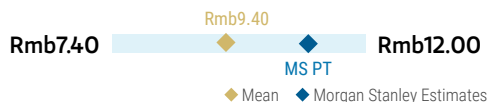
Key beneficiary of later stage of upcycle

PRICE TARGET Rmb10.90

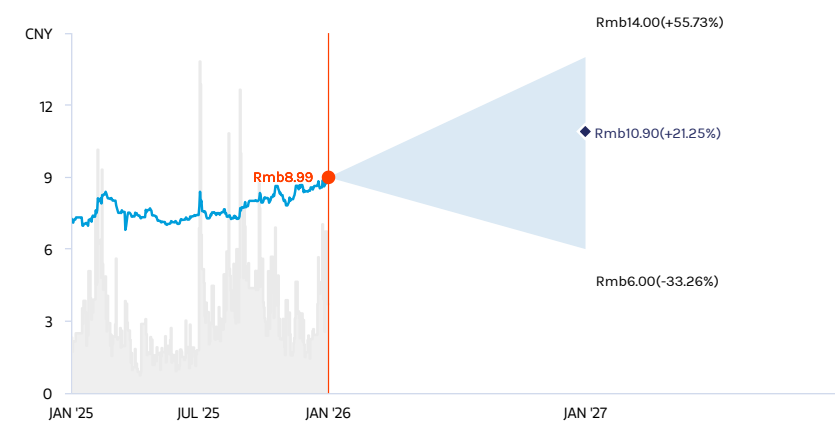
Our H-share valuation is based on 12x 2026e P/E. We think this multiple is appropriate, in line with the average of 13x P/E over 2013-25. We apply a 20% A-H premium to derive our PT for the A-shares, implying 16x A-share P/E for 2026.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

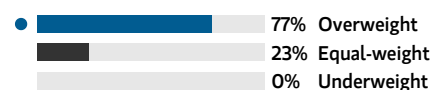


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Continued domestic upcycle while Zoomlion to be key beneficiary of later stage of upcycle with higher exposure of non-excavator machinery.
- Improving OPM, with higher overseas mix, basic completion of overseas sales network and improving utilization.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb14.00

19x 2026e EPS

Domestic construction machinery recovery and exports growth is faster than expected in 2026-27: Excavators, cranes and concrete machinery see faster than expected domestic growth with economic turnaround and government equipment upgrade subsidies. Overseas sales growth is faster than expected with market share gain in new growth segments, stronger-than-expected global economy recovery and easing trade tensions.

BASE CASE

Rmb10.90

16x 2026e EPS

Domestic construction machinery remains in upcycle in 2026-27: We expect Zoomlion to be a key beneficiary in the later stages of the upcycle, with higher non-excavator machinery exposure.

Modest overseas sales growth is expected for 2026-27, reflecting established overseas sales channels and capacity.

BEAR CASE

Rmb6.00

12x 2026e EPS

Domestic construction machinery recovery is not persistent, while exports growth slowdown is worse than expected in 2026-27: Domestic recovery is led by small tonnage excavators from county-level and small infra projects, while cranes/concrete machinery remain in a cyclical bottom without a meaningful pickup of property construction. Overseas sales growth is slower than expected amid uncertainty in the global economy and tariffs and intensified competition among Chinese players in EMs.

Risk Reward – Zoomlion Heavy Industry (000157.SZ)

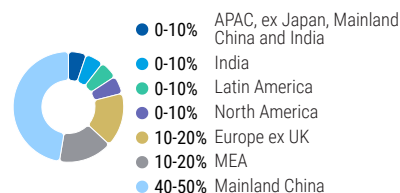
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Concrete machinery sales growth (%)	(6.8)	25.0	20.0	18.0
Crane machinery sales growth (%)	(23.4)	11.0	15.0	18.0
Concrete machinery business gross margin (%)	22.7	23.0	24.0	24.0
Crane machinery business gross margin (%)	32.4	33.0	33.3	33.5

INVESTMENT DRIVERS

- Sales volume of concrete machinery, crane machinery and agricultural machinery.
- Gross margin of concrete machinery, crane machinery and agricultural machinery.
- Overseas business growth rate.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected replacement demand from emissions standard upgrade.
- Stronger demand for excavators and aerial work platform products.

RISKS TO DOWNSIDE

- Lower-than-expected infrastructure and property investment growth.
- Lower-than-expected overseas demand.

OWNERSHIP POSITIONING

Inst. Owners, % Active 92.3%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (Rmb, mn) 48,425.8 50,437.8 54,637.0
50,553.5

EBITDA (Rmb, mn) 5,812.0 7,338 8,070.0
6,943.5

Net income (Rmb, mn) 4,016.3 4,889 5,086.0
4,711.5

EPS (Rmb) 0.5 0.6 0.6
0.6

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)

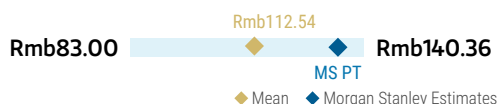
OW on domestic excavator recovery and humanoid robot penetration

PRICE TARGET Rmb133.00

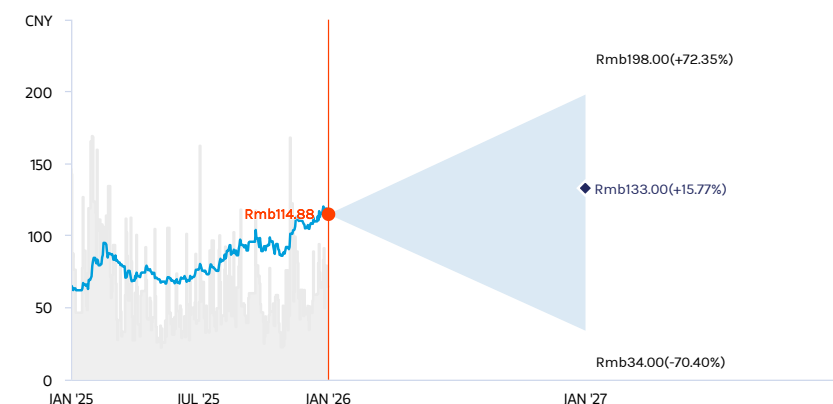
Our price target is derived by 1) applying 35x 2026e P/E for its core business; 2) We use DCF for humanoid robot parts business by discounting 2025-50e cash flow at a WACC of 11% and terminal growth rate of 4%, to derive per share value of Rmb94. Combining both, the target price is Rmb133.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

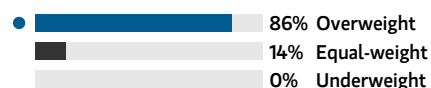
OVERWEIGHT THESIS

■ Hengli is a leading player in China's excavator cylinder, pumps and valves market. The company is growing beyond domestic construction machinery cyclicality due to market share gains in global excavator and non-excavator machinery supply chains.

■ On humanoid robots, Hengli is a competitive supplier mainly in planetary roller screws, with: 1) secured quality via imported high-precision machine tools and overseas R&D talent, and 2) cost reduction potential by in-house developed auxiliary equipment and localized materials procurement.

■ We use 35x 2026e P/E for its core business to derive a ~Rmb86/share valuation and 6x P/S for the humanoid robot parts business to derive a ~Rmb20/share valuation.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Renewable Energy: Positive

Secular Growth: Positive

Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb198.00

69x 2026e EPS

Hengli sees faster-than-expected growth in non-excavator hydraulic parts and penetration in the overseas construction machinery supply chain, riding on accelerated imports substitution. Domestic construction machinery recovery is better than expected. Humanoid robots penetration is faster than our base case scenario.

BASE CASE

Rmb133.00

50x 2026e EPS

Hengli maintains strong R&D capability and market share gains in non-excavator hydraulic parts markets, solid overseas growth with penetration into more global top-tier clients' supply chain, and solid domestic demand recovery with strengthened policy support. Humanoid robots penetration is on track.

BEAR CASE

Rmb34.00

34x 2026e EPS

Hengli sees slower-than-expected growth in non-excavator hydraulic parts and penetration in the overseas construction machinery supply chain amid a weak macro environment. Humanoid robots penetration is slower than our base case scenario.

Risk Reward – Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)

KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Excavator Cylinder revenue growth (%)	(9.1)	18.7	34.8	32.5
Non-standard Cylinder (%)	12.9	3.0	15.0	19.0
Pumps and Valves (%)	9.6	18.9	20.5	21.0

INVESTMENT DRIVERS

- Continued strong excavator monthly sales in China, and market share expansion from domestic brands.
- More progress in supplying pumps, valves, and motors to excavator companies.

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% Europe ex UK
- 0-10% North America
- 70-80% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected excavator and pumps & valves demand.
- Notable penetration into foreign brands' supply chain.
- Faster-than-expected humanoid robots penetration and market share gain in supply chain.

RISKS TO DOWNSIDE

- Sharp decline in excavator and pumps & valves demand in China.
- Failure to expand its share in the non-excavator parts.
- Slower-than-expected humanoid robot penetration.

OWNERSHIP POSITIONING

Inst. Owners, % Active 92.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (Rmb, mn) 10,265.6 **10,854.2** 11,198.0
10,680.5

EBITDA (Rmb, mn) 3,223.0 **3,321** 3,779.0
3,458.6

Net income (Rmb, mn) 2,622.0 **2,942** 3,007.0
2,869.0

EPS (Rmb) 2.0 **2.2** 2.3
2.1

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Wuxi Lead Intelligent (300450.SZ)

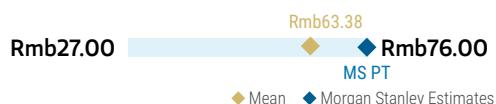
Compelling demand catalysts to support order growth in 2026-27

PRICE TARGET Rmb75.00

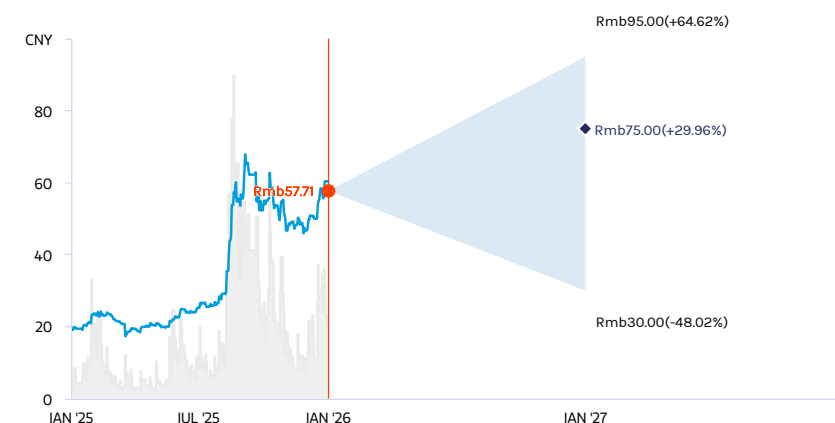
We apply 4x market cap-to-new order multiple on 2026 new orders of c.Rmb29bn to derive our price target. We think the 4x multiple is appropriate as it is in line with multiple the stock traded at the early stage of the last cycle. We cross check our PT with P/E valuation, which implies 54x P/E on 2026e.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

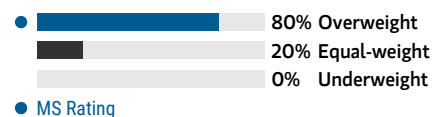
OVERWEIGHT THESIS

We expect LiB equipment to reach the next cyclical high in coming years, up by 54%, 35% and 27% in 2025-27, respectively, driven by triple compelling catalysts:

- Leading players' capacity expansion with improving utilization rate and market share concentration.
- First major replacement cycle starting 2025.
- Solid state battery commercialization and global BEV penetration reaccelerates from 2027, likely to support order growth in 2025-26.

Wuxi Lead remains the key beneficiary in this upcycle.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb95.00

60x bull-case 2026e EPS

Higher-than-expected LiB equipment demand in 2026-27, driven by strong global ESS demand, slower-than-expected downstream consolidation and global supply-chain localization

BASE CASE

Rmb75.00

54x base-case 2026e EPS

We expect LiB equipment to reach the next cyclical high in the coming years, driven by three compelling catalysts: Leading players' capacity expansions with improving utilization rate and market share concentration; first major replacement cycle starting in 2025; and solid state battery commercialization and global BEV penetration reaccelerates from 2027, likely to support order growth in 2026-27.

BEAR CASE

Rmb30.00

30x bear-case 2026e EPS

Lower-than-expected LiB equipment demand in 2026-27 driven by weak EV and ESS demand amid weak macro and tariff uncertainty, faster-than-expected downstream consolidation and cautious capex amid downstream competitive environment

Risk Reward – Wuxi Lead Intelligent (300450.SZ)

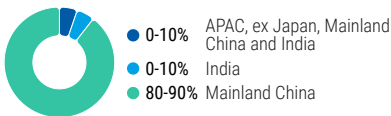
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
LiB equipemnt sales growth (%)	(39.2)	32.1	44.5	51.4
GPM (%)	35.0	32.5	33.9	35.4

INVESTMENT DRIVERS

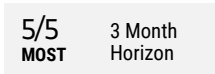
- Battery makers' capex growth
- Other battery-related business (such as battery pack assembly, factory logistics) to boost revenue scale

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS



Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected EV sales outlook in 2024-30.
- Faster-than-expected progress of overseas expansion.
- Strong penetration increase of 4680-spec cell.

RISKS TO DOWNSIDE

- Weaker-than-expected EV sales outlook in 2024-30.
- Limited progress in overseas expansion with global EV deceleration.
- Slower-than-expected penetration increase of 4680-spec cell.

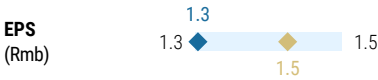
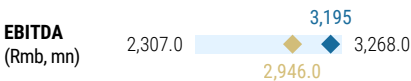
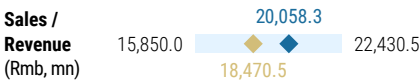
OWNERSHIP POSITIONING



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Shenzhen Envicool Technology Co Ltd (002837.SZ)

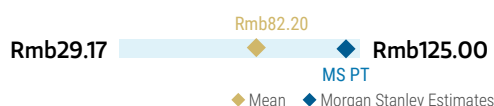
Riding the China AI capex wave; Overseas breakthrough unfolds long-term growth

PRICE TARGET Rmb118.00

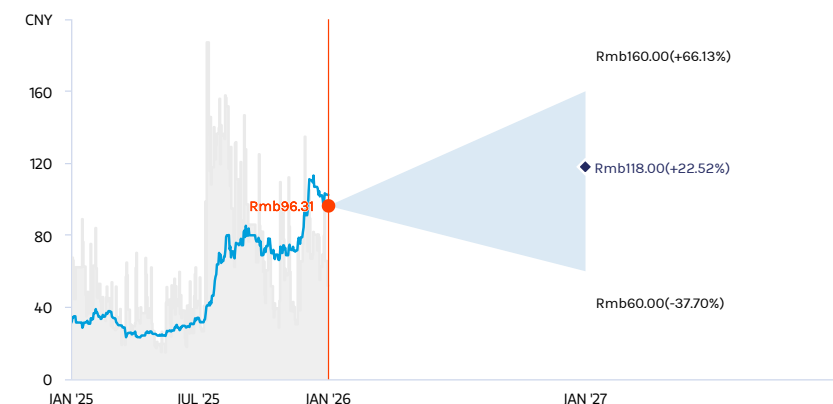
We use a DCF methodology to discount free cash flow over 2025-2035, with a WACC of 9.7% and 3% terminal growth to drive its overseas liquid cooling business value per share of Rmb94. We use 30x 2026e P/E for its other traditional business to get value per share of Rmb24, which is largely in-line with its historical 5-year average FY2 P/E of 32x. Combining both these values, our PT is Rmb118.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



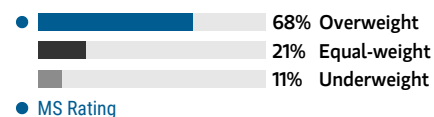
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Envicool is a domestic leader in thermal management, with advanced cooling solutions for data centers, energy storage systems and other applications. It has strong relationships with high-quality customers.
- It benefits from the data center demand up-cycle in China in 2025-27e with AI inference workload as a key driver. Its comprehensive and premium-quality product offerings and strong delivery capabilities will support market share gains, in our view.
- Envicool has potential to capture overseas market opportunities with higher margins in next few years.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb160.00

100x 2026e bull-case P/E

>60% revenue CAGR in 2025-27 with **significant margin expansion**: We assume: 1) greater-than-expected contribution from higher-value liquid cooling businesses given solid AI infrastructure investment and acceleration in direct-to-chip business; 2) significant market share gain in key overseas customers; 3) stronger than expected ESS shipment globally.

BASE CASE

Rmb118.00

84x 2026e base-case P/E

We see 46% revenue CAGR in 2025-27, with **clear margin expansion**: supported by: 1) hyperscalers' increasing AI capex globally and rapid liquid cooling penetration; 2) market share gains with better client mix and comprehensive product matrix; 3) overseas customers breakthrough and increasing revenue/profit contribution.

BEAR CASE

Rmb60.00

40x 2026e bear-case P/E

We see ~20% revenue CAGR in 2025-27, with **flat margin**: We assume: 1) lower-than-expected data center capex and slower liquid cooling deployment; 2) failure to gain market share globally given more entrants and intense competition; 3) ESS project delays with slower than expected growth.

Risk Reward – Shenzhen Envicool Technology Co Ltd (002837.SZ)

KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Data center room cooling revenue YoY (%)	48.8	45.0	25.6	19.2
ESS cooling revenue YoY (%)	23.0	21.2	40.3	19.5
Total GPM (%)	28.7	27.9	31.2	32.4

INVESTMENT DRIVERS

- Data infrastructure and transition to liquid cooling technology
- Cooling tender from hyperscalers and telcos
- ESS tenders and installations
- Breakthrough in the direct-to-chip area

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected AI investment and AI server shipments
- Market share gain
- Margin improvement

RISKS TO DOWNSIDE

- Global economic slowdown
- Rising raw material prices

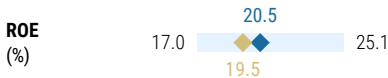
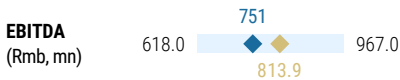
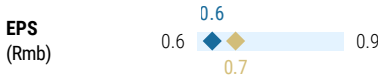
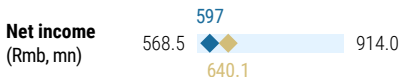
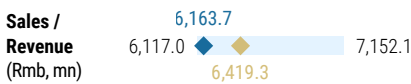
OWNERSHIP POSITIONING

Inst. Owners, % Active 95.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Zhejiang Hangke Technology (688006.SS)

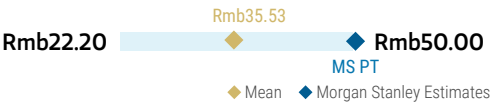
Key beneficiary in this LiB equipment upcycle

PRICE TARGET Rmb50.00

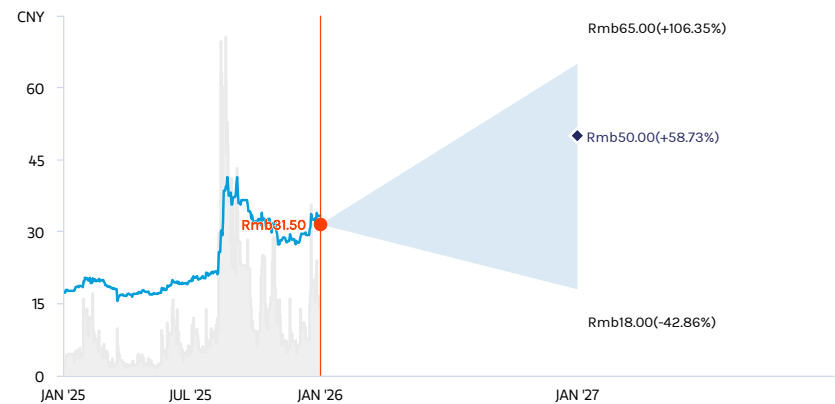
We apply 4x market cap-to-new order multiple on 2026e new orders of c.Rmb7.5bn. We think the 4x multiple is appropriate as it is in line the multiple the stock traded at in the early stage of the last cycle. We also cross-check our price target with P/E valuation, which implies 35x 2026e P/E.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

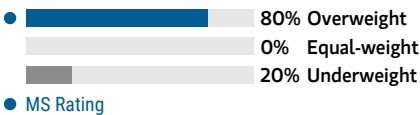
OVERWEIGHT THESIS

We expect LiB equipment to reach the next cyclical high in coming years, up by 54%, 35% and 27% in 2025-27, respectively, driven by three compelling catalysts:

- Leading players' capacity expansion with improving utilization rate and market share concentration.
- First major replacement cycle starting 2025.
- Solid state battery commercialization and global BEV penetration reaccelerates from 2027, likely to support order growth in 2025-26.

Hangke remains the key back-end equipment beneficiary in this upcycle.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: Positive
Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb65.00

40x bull-case 2026e EPS

Higher-than-expected LiB equipment demand in 2026-27, driven by strong global ESS demand, slower-than-expected downstream consolidation and global supply-chain localization.

BASE CASE

Rmb50.00

35x base-case 2026e EPS

We expect LiB equipment to reach the next cyclical high in the coming years, driven by three compelling catalysts: Leading players' capacity expansion with improving utilization rate and market share concentration; first major replacement cycle starting in 2025; and solid state battery commercialization and global BEV penetration reaccelerates from 2027, likely to support order growth in 2026-27.

BEAR CASE

Rmb18.00

18x bear-case 2026e EPS

Lower-than-expected LiB equipment demand in 2026-27, driven by weak EV and ESS demand amid weak macro and tariff uncertainty, faster-than-expected downstream consolidation and cautious capex amid downstream competitive environment.

Risk Reward – Zhejiang Hangke Technology (688006.SS)

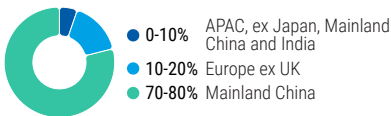
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Revenue (%)	(24.2)	20.1	32.1	40.8
Gross Profit (%)	31.3	30.8	31.4	31.9

INVESTMENT DRIVERS

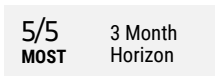
- Battery makers' capex growth
- Equipment transformation, which would determine Hangke's stickiness with cell makers and expand its revenue scale

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS



Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher-than-expected overseas expansion demand.
- Better-than-expected pouch battery procurement by Chinese OEMs.
- Better-than-expected cost reduction of new technologies, leading to stronger demand.

RISKS TO DOWNSIDE

- Higher export tariffs or other unfavorable cross-border policies depressing overseas demand.
- Slower-than-expected technology development.
- Increasing bad debt if supply exceeds demand.

OWNERSHIP POSITIONING



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Suzhou Maxwell Technologies Co Ltd (300751.SZ)

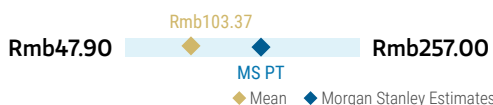
Higher downside risk amid diversified solar cell tech routes

PRICE TARGET Rmb166.00

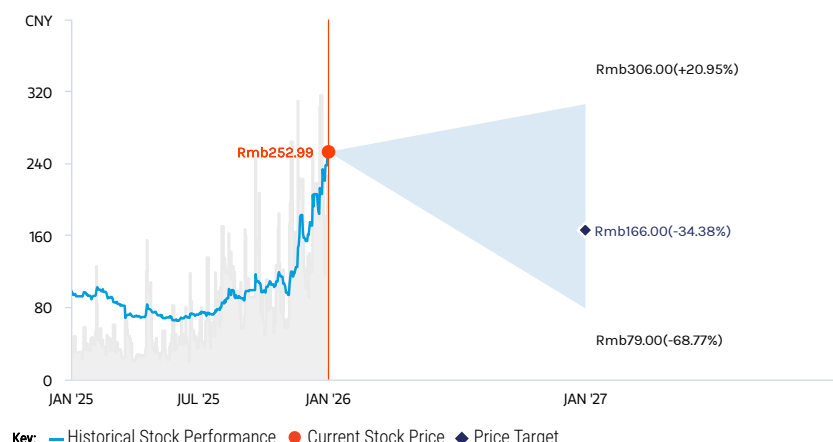
We expect Maxwell's 2026 new orders to grow 68% YoY. We apply a 5x market cap-to-new order multiple on 2026 new orders of c.Rmb9bn to derive our PT of Rmb166.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

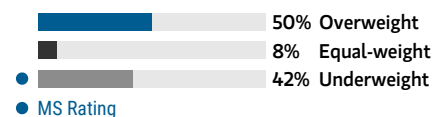


Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- We believe the company faces greater downside risk given higher uncertainty in market potential for HJT cells, with slower-than-expected development and cost reduction than other tech options.
- We think Maxwell will face greater margin pressure with intensified competition in HJT equipment supply as well as ASP mark-down pressure from clients to reduce HJT manufacturing costs.
- A prolonged solar downcycle could trigger more extensive financial issues among downstream players, potentially weakening Maxwell's revenue recognition and net profit in the near term.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
 Secular Growth: *Negative*
 Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb306.00

Bear-case implying 7x 2026e market-cap-to-order

We assume up to xxGW of incremental solar capacity demand to power c.200k units of LEO/SSO satellites and xx GW of space-based data centers in the long term. Given HJT's superior efficiency conversion, enhanced radiation resistance, and better performance under extreme temperature and degradation conditions, we remain positive on HJT penetration in space solar and Maxwell's dominant ~70% market share in HJT equipment.

BASE CASE

Rmb166.00

Bear-case implying 5x 2026e market-cap-to-order

We expect new order growth at 68% in 2026, mainly driven by HJT equipment (mainly from HJT demand for satellite and space data center), Perovskite and semi equipment growth, despite screen printing order shortfall amid solar downcycle. We apply a 5x market cap-to-new order multiple on 2026 new orders of c.Rmb9bn to derive our PT of Rmb166. We think the 5x multiple is appropriate for faster order growth than peers in 2026 and high growth potential from space solar in long term.

BEAR CASE

Rmb79.00

Bear-case implying 3x 2026e market-cap-to-order

Slower-than-expected ramp-up in LEO/SSO satellite launches and space-based data center deployment in the near to medium term, constrained by launch capacity bottlenecks, elevated upfront capex requirements, regulatory and geopolitical uncertainties, as well as delayed commercialization timelines for space infrastructure. However, we remain positive on HJT penetration rate in space solar and Maxwell's dominance in HJT equipment market.

Risk Reward – Suzhou Maxwell Technologies Co Ltd (300751.SZ)

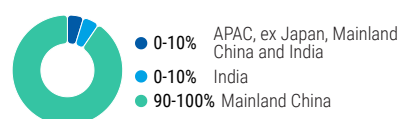
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Solar cells screen printing equipment rev growth (%)	26.9	(31.3)	(19.4)	12.4
Gross margin (%)	28.1	36.6	36.9	37.7

INVESTMENT DRIVERS

- HJT cost compared to PERC and TOPCon
- Acquire more HJT orders from clients.
- Leading cell makers start to build HJT cell capacity.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected solar cycle bottoming out.
- Faster-than-expected cost reduction of HJT cell.
- Faster-than-expected technology breakthrough in HJT-Perovskite tandem cell.

RISKS TO DOWNSIDE

- Slower-than-expected solar cycle bottoming out.
- Slower-than-expected HJT cell cost reduction.
- More technology breakthrough to further reduce TOPCon cell cost.

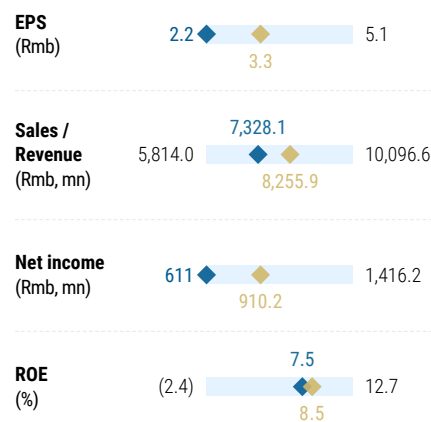
OWNERSHIP POSITIONING

Inst. Owners, % Active 90.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Shenzhen SC New Energy Technology Corp (300724.SZ)

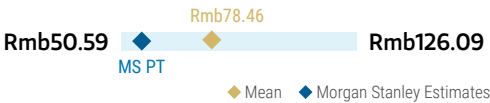
Order and earnings pressure in downcycle

PRICE TARGET Rmb56.00

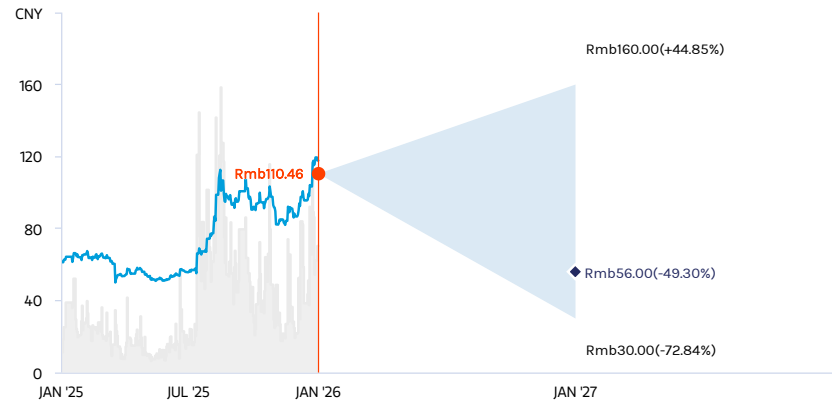
We expect SC new orders to rise at 11% YoY to Rmb3.9bn in 2026 and apply a 5x market cap-to-new order multiple on 2026 new orders of c.Rmb3.9bn to derive our target price.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



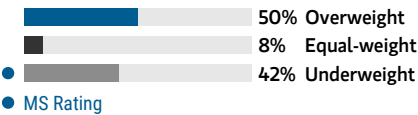
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- We expect SC to maintain its high market share in TOPCon equipment as well as its leading position in TOPCon R&D to improve conversion efficiency.
- However, we expect net profit pressure in 2025-26, with new order shortfall, slower revenue recognition and higher credit impairment losses amid a solar downcycle.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- Secular Growth: Negative
- Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb160.00

Base-case 7x 2026e market-cap-to-order multiple

We expect solid overseas TOPCon demand with solar supply chain localization in 2026, while additional growth potential from space solar. Our bull case scenario expects c.190GW module demand for powering LEO/SSO satellites and space data center launched in the next 10 years, which would normally requires c.50GW+ new solar capacity. A steeper ramp or a sudden surge in annual module demand would push capacity requirements meaningfully above this level.

BASE CASE

Rmb56.00

Base-case 5x 2026e market-cap-to-order multiple

We expect SC new orders to rise at 11% YoY in 2026 and 13% in 2027 vs. 60% decline in 2025, with overseas TOPCon demand, Perovskite and semi equipment growth to partly offsetting domestic order shortfall. We apply a 5x market cap-to-new order multiple on 2026 new orders of c.Rmb3.9bn to derive our new price target.

BEAR CASE

Rmb30.00

Base-case 3x 2026e market-cap-to-order multiple

We expect slower capex in overseas markets without sufficient policy support/subsidy for new energy, while assume a slower-than-expected ramp-up in LEO/SSO satellite launches and space-based data center deployment in the near to medium term, constrained by launch capacity bottlenecks, elevated upfront capex requirements, regulatory and geopolitical uncertainties, as well as delayed commercialization timelines for space infrastructure.

Risk Reward – Shenzhen SC New Energy Technology Corp (300724.SZ)

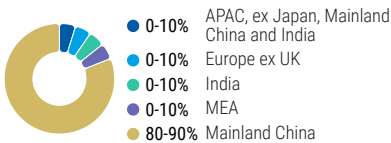
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Revenue growth (%)	116.3	(7.7)	(63.4)	(13.9)
Gross margin (%)	26.5	28.9	28.6	29.3

INVESTMENT DRIVERS

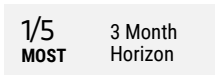
- Rising conversion efficiency of TOPCon with more technology breakthroughs.
- Acquires more HJT orders from clients.
- Stronger-than-expected capacity expansion of PERC+/TOPCon.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS



Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher-than-expected TOPCon cell demand.
- More technology breakthroughs to further reduce TOPCon cell cost.
- Slower-than-expected cost reduction of HJT cells.

RISKS TO DOWNSIDE

- Lower-than-expected TOPCon cell demand.
- Fewer technology breakthroughs to further reduce TOPCon cell cost.
- Faster-than-expected cost reduction of HJT cells.

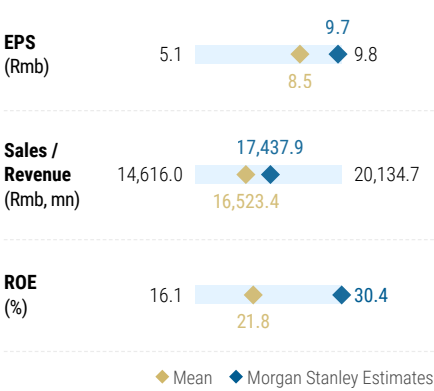
OWNERSHIP POSITIONING



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e



Risk Reward – Jingsheng Mechanical & Electrical Co (300316.SZ)

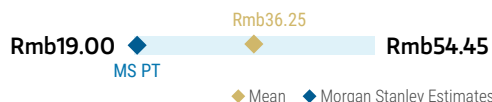
Near-term pressure amid solar downcycle

PRICE TARGET Rmb19.00

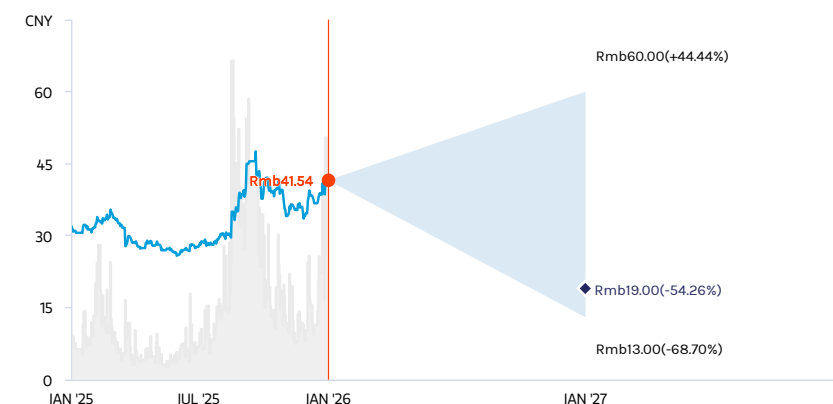
We apply 1.5x 2025e P/B multiple to derive our price target. Our P/B multiple is lower than others comparable companies' average at 2.0x as JSG has higher exposure to materials, thereby higher gross margin pressure with downstream solar product prices lingering at an historical bottom.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



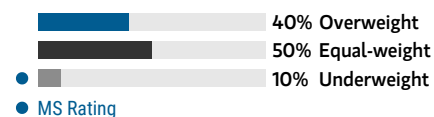
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- We expect JSG to maintain its dominant position in crystal growing furnaces but this should be offset by the solar downcycle in 2025-26.
- Equipment segment is under pressure due to slower solar equipment recognition, muted new order demand for solar equipment before material downstream consolidation/de-capacity.
- Materials segment will decline further in 2025 with: 1) solar materials (quartz crucible and diamond wire) dragged by solar product prices, which remain at historical low levels; and 2) lower SiC demand and price competition due to slower global EV penetration, despite sapphire seeing positive growth along with consumable electronics bottoming out.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Negative*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb60.00

4x 2026e P/B

We assume: 1) higher-than-expected crystal growing replacement demand due to rapid technology iteration; 2) higher-than-expected revenue growth for materials; and 3) rapid R&D progress in semi and SiC equipment. Faster-than-expected semi equipment new order ramp up along with continued localization of semi supply chain in China

BASE CASE

Rmb19.00

1.5x 2026e P/B

We expect net profit to decline due to stable equipment margin but margin erosion in materials segments and lower operational leverage in the solar downcycle.

BEAR CASE

Rmb13.00

1.1x 2026e P/B

We assume: 1) lower-than-expected crystal growing furnace replacement demand due to cautious downstream capex; 2) slower-than-expected revenue growth for materials; and 3) prolonged R&D progress in semi and SiC equipment.

Risk Reward – Jingsheng Mechanical & Electrical Co (300316.SZ)

KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Equipment rev growth (%)	4.3	(45.5)	(42.3)	(13.9)
Material rev growth (%)	(19.6)	(38.2)	6.6	14.8
Gross margin (%)	33.4	25.8	22.3	21.0

INVESTMENT DRIVERS

- Solar crystal growing capacity additions and the replacement of outdated models
- Solid demand for quartz crucibles, diamond wire and sapphire substrate
- Rapid R&D breakthroughs in semi and SiC equipment

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected crystal growing furnace upgrade.
- Higher-than-expected product sales in materials.
- Faster-than-expected mass production of equipment in the semi and SiC segments.

RISKS TO DOWNSIDE

- Slower-than-expected crystal growing furnace upgrade.
- Lower-than-expected product sales in materials.
- New products in semi and SiC segments are less competitive vs. peers.

OWNERSHIP POSITIONING

Inst. Owners, % Active 86.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

EPS (Rmb) 0.4 1.0 0.9

Sales / Revenue (Rmb, mn) 10,432.4 17,577.0 12,835.6

ROE (%) 2.8 7.6 7.0

Net income (Rmb, mn) 458 1,295.0 1,230.0

Mean Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

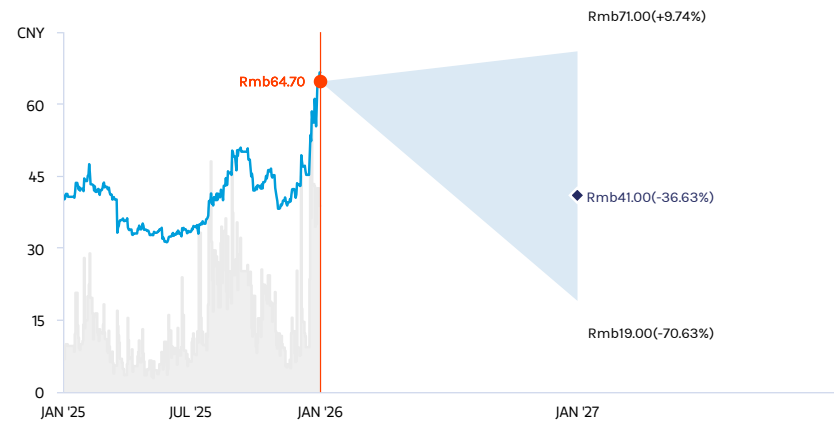
Risk Reward – Wuxi Autowell Technology Co Ltd (688516.SS)

Near-term earnings pressure with solar downcycle

PRICE TARGET Rmb41.00

We apply a 2x market cap-to-new-orders multiple to our 2026E new orders of c.Rmb6.5bn to derive a PT of Rmb41.

RISK REWARD CHART



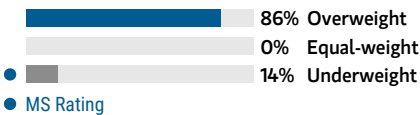
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- With our MS global utilities team latest forecast for global solar installations (single-digit growth in 2026-27), we remain bearish on solar equipment demand in 2025-26 amid global overcapacity. The "anti-involution" initiatives could instead suppress capex with insignificant price recovery during a long-lasting negotiations to address interest of stakeholders.
- We are UW Autowell to reflect weak fundamentals into 2026-27 without sufficient order backlog to support growth.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb71.00

Bull-case 4x 2026e market-cap-to-order

Faster than expected order growth with more overseas order with supply chain localization, semi equipment order ramp-up with faster client validation, and additional capacity brought by space solar demand.

BASE CASE

Rmb41.00

Base-case 2x 2026e market-cap-to-order

We expect Autowell new order to rise at 8% YoY in 2026 and 6% in 2027 vs. 41% decline in 2025, with overseas module equipment, ESS equipment and semi equipment demand partly offsetting domestic downcycle.

BEAR CASE

Rmb19.00

Bear-case 1x 2026e market-cap-to-order

Slower than expected order growth with less overseas order with elevated geopolitical risks, slower demo validation of semi equipment, further order shortfall of domestic stringer upgrade demand amid global overcapacity and slower space solar development

Risk Reward – Wuxi Autowell Technology Co Ltd (688516.SS)

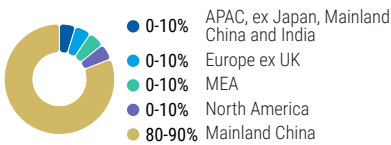
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
PV equipment rev growth (%)	44.9	(42.0)	(29.0)	8.5
Gross margin (%)	32.9	32.0	32.1	32.1

INVESTMENT DRIVERS

- Solar module capacity additions and replacement demand of out-dated stringer
- Solar cell capacity additions
- R&D progress in lithium and semiconductor

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Continued robust module capacity expansion in 2024-25.
- Faster-than-expected growth of new solar equipment such as crystal growing furnaces.
- Faster-than-expected client validation of new semiconductor equipment.

RISKS TO DOWNSIDE

- Module capacity expansion slowdown in 2024-25.
- Slower-than-expected growth of new solar equipment due to price competition.
- Longer time for client validation on semiconductor equipment.

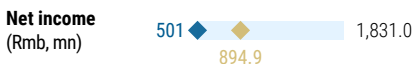
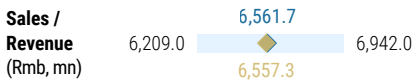
OWNERSHIP POSITIONING



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Times Electric (3898.HK)

Railway business growth to moderate; balanced risk-reward; EW

PRICE TARGET HK\$39.00

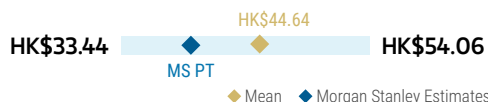
SOTP:

We apply P/E multiples to its two main segments:

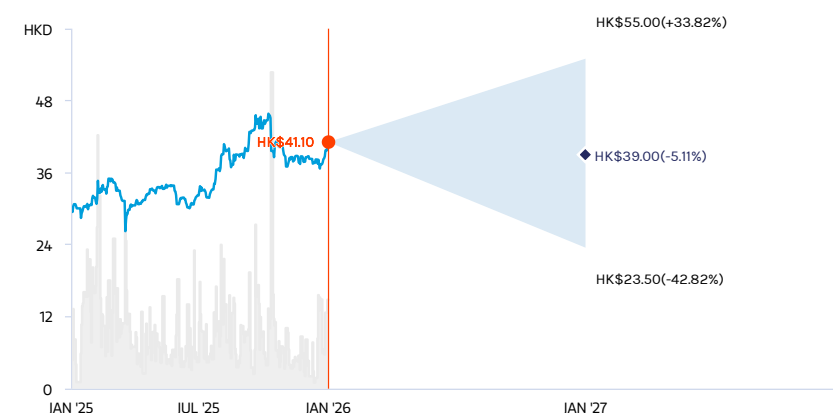
- 1) 9x 2026e P/E for the railway business, in line with CRRC's railway business valuation.
- 2) 12x 2026e for emerging businesses, as we expect solid profitability in 2026-27.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



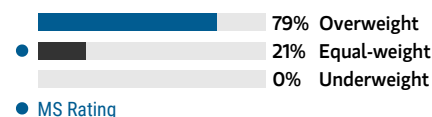
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- After the solid MU procurement tender upcycle in 2023-25, we expect growth to moderate in 2026-27.
- The IGBT business should become a primary growth driver and profit contributor over the long term as penetration and utilization increase.
- Times Electric's new energy business (i.e., solar, wind, ESS) appears well positioned to benefit from strong downstream installation growth, with high-quality products covering IGBT, inverters, and others.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*
Pricing Power: *Negative*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$55.00

15x bull case 2026e EPS

IGBT new orders and railway equipment demand acceleration better than expected: Demand is better than expected for rolling stock and traction system replacement due to government stimulus; market share expansion is faster than expected in IGBT, electric drive and industrial inverter products, which become major revenue drivers.

BASE CASE

HK\$39.00

10x base case 2026e EPS

IGBT business growth momentum continues in 2026; stable railway business: NEV IGBT business shows consistent progress in order execution along with capacity ramp-up, and other new energy businesses also grow strongly with market share gains over the next three years.

BEAR CASE

HK\$23.50

6x bear case 2026e EPS

IGBT capacity climbs slowly and railway equipment demand declines in 2026: Railway equipment demand moderates notably, and traction system replacement demand is weaker than expected. IGBT market demand softens and competition intensifies, causing margin pressure.

Risk Reward – Times Electric (3898.HK)

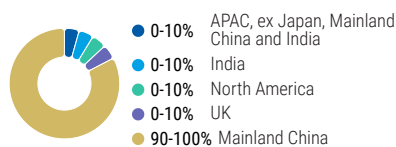
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Railway system sales volume growth (%)	(5.5)	(7.5)	(3.6)	(2.5)
Railway system segment gross margin (%)	38.6	40.2	40.7	41.4

INVESTMENT DRIVERS

- New order tenders from CSRG for MUs/locomotives and replacement demand for traction systems
- Railway investment accelerates in 2025-26
- Large new order wins in EV powertrain and IGBT

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected rolling stock procurement by China State Railway Group.
- Better-than-expected IGBT business utilization and yield improvement.

RISKS TO DOWNSIDE

- Slower-than-expected recovery in railway passenger turnover, leading to weaker demand for MUs.
- Market competition intensifying in new businesses, hurting the company's profitability.

OWNERSHIP POSITIONING

Inst. Owners, % Active 65.7%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (Rmb, mn) 27,586.9 28,796.1 28,415.8 29,010.2

EBITDA (Rmb, mn) 4,350.3 5,487 5,726.7 6,758.9

Net income (Rmb, mn) 3,407.0 4,128 4,042.1 4,302.0

EPS (Rmb) 2.8 2.9 3.0 3.2

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

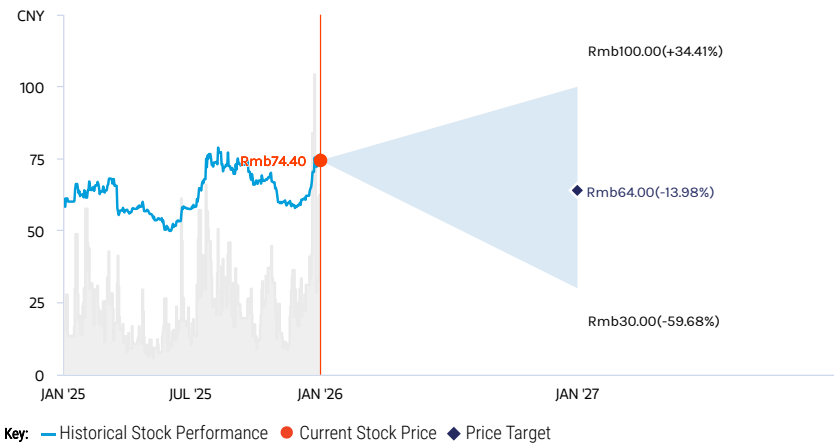
Risk Reward – DR Laser (300776.SZ)

Persistent headwind from solar down-cycle

PRICE TARGET Rmb64.00

We apply a P/E of 20x 2026e to derive our PT. We think DR Laser is fairly valued with regular sales and earnings compared to other solar equipment for its dependency on BC tech route.

RISK REWARD CHART

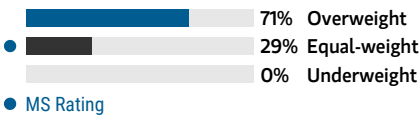


Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- The company is a pioneer and market share leader in laser ablation equipment for PERC/BC solar cell, and in SE laser doping equipment and LIF (laser induced firing) for TOPCon cell.
- Although we expect TOPCon cell capacity expansion to lessen in 2025-26, DR Laser is developing new laser-related technologies (e.g., laser equipment for BC) to improve equipment value per GW when it enters the next solar cell technology stage.
- We rate the shares EW as we think DR Laser's short-term revenue recognition and net profit growth will be under pressure amid solar downcycle, but with less downside risk with ample order backlog and new orders from BC tech to mitigate slowdown in TOPCon new orders.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Negative*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb100.00

30x 2026e P/E

TOPCon and IBC continue to demonstrate cost-effectiveness in the medium term, and penetration remains high. In addition, the company's laser technologies continue to demonstrate excellent effectiveness in boosting conversion efficiency in HJT technology in 2026.

BASE CASE

Rmb64.00

20x 2026e P/E

Solid revenue/earnings growth in 2026-27 to smooth out downcycle, driven by LIF order backlogs and ~100GW BC new orders in 2025, and c50-60GW BC micro etching and c10GW BC module order

BEAR CASE

Rmb30.00

10x 2026e P/E

TOPCon new capacity build-outs slow significantly after 2024 and the solar industry has been facing a downcycle since 1H23. New orders from BC cell is slower than expected. The company's laser products as a percentage of total equipment capex in 2025-26 solar technologies declines.

Risk Reward – DR Laser (300776.SZ)

KEY EARNINGS INPUTS

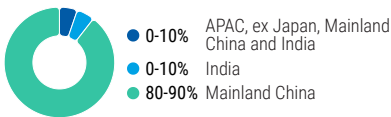
Drivers	2024	2025e	2026e	2027e
Operating margin (%)	27.6	32.3	29.2	27.5

INVESTMENT DRIVERS

Downstream (PV) capacity expansion and obsolete production lines demand new types of laser equipment.

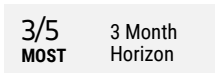
The company is the global market share leader in laser equipment for solar batteries.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS



Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- PERC solar may evolve further and improve its energy efficiency. Therefore, penetration of PERC could stay high in the next five years.
- The Chinese government could extend and increase subsidies for PV installation. Customers might become more aggressive on capacity expansion.

RISKS TO DOWNSIDE

- Unfavorable solar industry policies could depress solar cell demand.
- Technology development could be slower than expected.

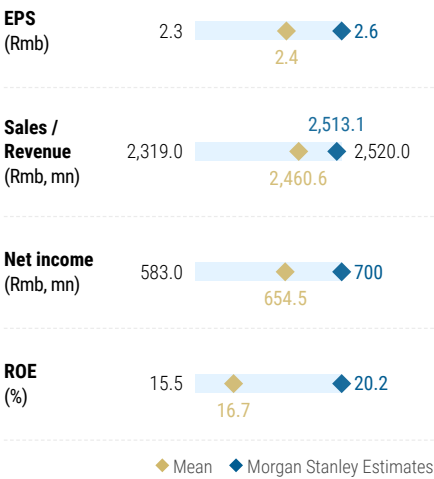
OWNERSHIP POSITIONING



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e



Source: Refinitiv, Morgan Stanley Research

Risk Reward – Han's Laser (002008.SZ)

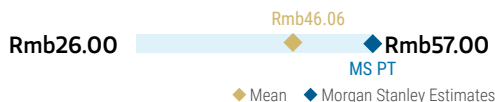
Secular Tailwinds + Share Gains; OW

PRICE TARGET Rmb57.00

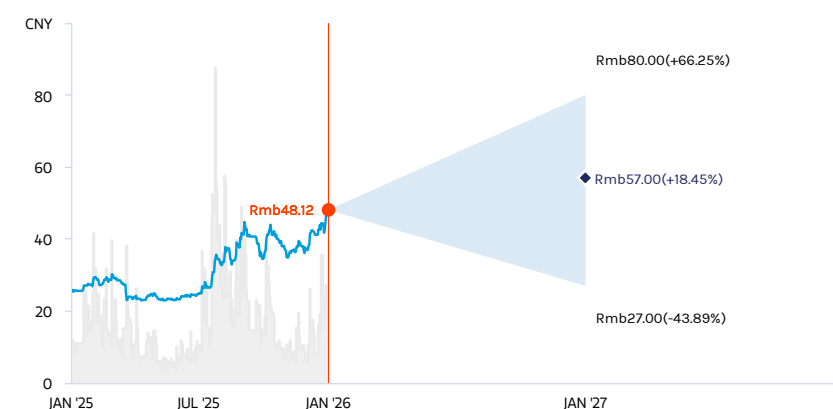
We use SOTP valuation methodology - for non-PCB business, we use 20x 2026e P/E, largely in-line with 8-year historical company average of FY2 P/E of 20x; for PCB business, its based on subsidiary Han's CNC's market cap and Han's Laser's stake.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



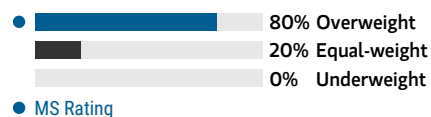
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Han's Laser is a leading high-end industrial laser machine manufacturer. PCB business has been the growth pillar in 2025-26, with solid AI server demand globally and continuous capex expansion from PCB manufacturers.
- We think Apple's innovation in foldable iPhone will become the new growth driver for the company in 2026, and it will also help improve the blended margin with a better client mix.
- The worst for new energy business is now behind us. We expect general laser business to remain stable amid the current soft domestic manufacturing investment climate. We remain positive on the company's long-term growth potential amid China's increasing laser penetration.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: Positive
Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb80.00

48x bull case 2026e EPS

Robust demand for laser machines from clients: Benefiting from strong manufacturing capex recovery and solid laser demand in both domestic and overseas markets, Han's Laser presents >30% y-y revenue growth in 2026-27. Gross margin improves significantly on better client mix and economic of scales.

BASE CASE

Rmb57.00

34x base case 2026e EPS

Clear revenue growth momentum in key segment in 2026-27: PCB and 3C businesses are key drivers in 2026 with ~50% and ~40% revenue growth, respectively. New orders of EV battery bottomed out in 2025. Gross margin expands ~1ppt in 2026-27.

BEAR CASE

Rmb27.00

17x bear case 2026e EPS

Weak macro conditions dampen demand for laser machines: PCB capex expansion moderates notably in 2026, leading to new orders decline. Apple orders miss expectation. Gross margin erodes due to unfavorable revenue mix and aggressive pricing strategy in high-power laser.

Risk Reward – Han's Laser (002008.SZ)

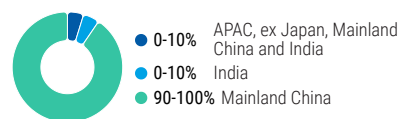
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
LP Laser machines revenue growth (%)	104.6	77.7	46.7	14.8
HP Laser machines revenue growth (%)	(1.8)	23.7	38.9	0.5
PCB equipment revenue growth (%)	14.7	10.0	5.0	5.0
Gross margin (%)	31.8	32.4	33.2	33.6

INVESTMENT DRIVERS

- Continuous capex expansion from PCB manufacturers and evolving towards high-end
- Orders growth from Apple in 2026-27
- Growth in the high-power laser market with continuous rising penetration
- Development of business in the new energy segment

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Profitability of China's manufacturing industry improves, which should increase companies' appetites for capital spending
- Upbeat new contracts from key clients in PCB markets

RISKS TO DOWNSIDE

- More impairment from new energy business
- 3C equipment demand below expectations

OWNERSHIP POSITIONING

Inst. Owners, % Active 94.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (Rmb, mn) 14,296.5 18,274.3 18,400.2 17,528.8

EBITDA (Rmb, mn) 576.3 1,486.8 2,034

Net income (Rmb, mn) 465.0 1,247 1,380.0 1,085.2

EPS (Rmb) 0.9 1.2 1.3 1.1

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – CRRC Corp Ltd (1766.HK)

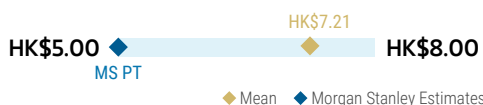
Railway business growth peaking out; UW

PRICE TARGET HK\$5.00

We apply a 8x 2026e P/E for CRRC-H, largely at the middle of historical 8-year average FY2 of 9x and avg 1st of 6x. considering the cycle peaking out in 2025.

Consensus Price Target Distribution

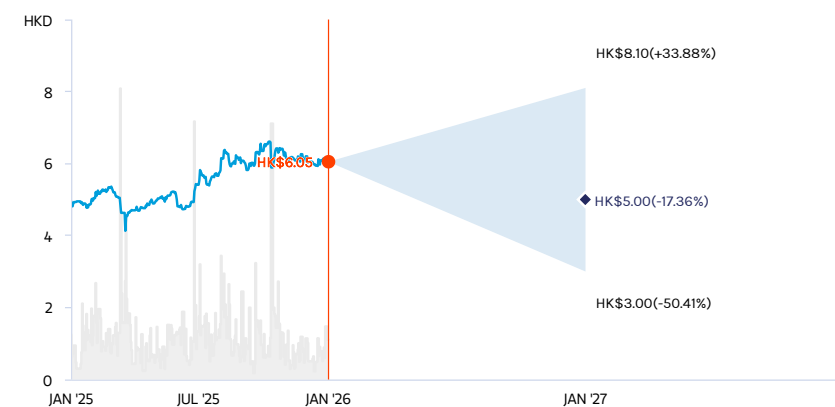
Source: Refinitiv, Morgan Stanley Research



UNDERWEIGHT THESIS

- Multiple-unit tenders will decline y-y to below 200 sets in 2026e, partly offset by growth in locomotive tenders on the back of the equipment upgrade stimulus.
- We expect maintenance demand to stay relatively robust thanks to a rapid recovery in railway traffic and improving vehicle utilization.

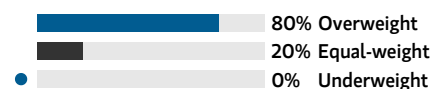
RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$8.10

13x bull case 2026e EPS

Domestic demand for rolling stock accelerates sharply in 2026, thanks to stronger-than-expected growth in passenger and freight transportation and fast expansion of the railway network in China. Gross margin in metro segment expands notably, thanks to higher ASP.

BASE CASE

HK\$5.00

8x base case 2026e EPS

We project total sales of ~700 sets from MU delivery over 2024-26, vs. 420 sets in 2021-23, up >60%. The urban RTV businesses should remain muted in 2026.

BEAR CASE

HK\$3.00

5x bear case 2026e EPS

Domestic demand for rolling stock notably declines in 2026, caused by weaker passenger and freight transportation and slower-than-expected railway network expansion. Gross margin in the metro segment deteriorates due to lower ASP.

Risk Reward – CRRC Corp Ltd (1766.HK)

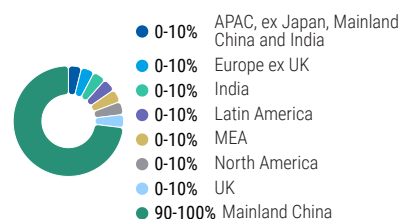
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Total locomotive sales volume growth (%)	(27.3)	20.0	20.0	20.0
Total MUs sales volume growth (%)	46.5	25.0	(28.0)	(10.0)
Total Urban RTV sales volume growth (%)	(3.2)	5.0	0.0	0.0
Gross Margin (%)	21.4	21.7	21.7	21.8

INVESTMENT DRIVERS

- Railway network completion.
- Passenger and freight transportation demand.
- Metro rail segment gross margin.
- Maintenance revenue from MUs.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 MOST **3 Month Horizon**

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher-than-expected new railway line completions and tender.
- Stronger-than-expected high-level maintenance demand.

RISKS TO DOWNSIDE

- Weaker-than-expected passenger and freight transport demand.
- Sharp slowdown in new overseas orders.

OWNERSHIP POSITIONING

Inst. Owners, % Active 29.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (Rmb, mn) 234,262.0 264,619.1 290,261.2

EBITDA (Rmb, mn) 26,173.7 27,392 28,730.0

Net income (Rmb, mn) 10,311.0 14,146.8 16,580

EPS (Rmb) 0.5 0.5 0.6

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – CRRC Corp Ltd (601766.SS)

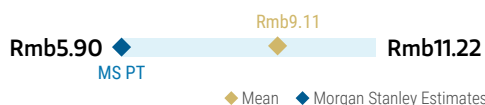
Railway business growth peaking out; UW

PRICE TARGET Rmb5.90

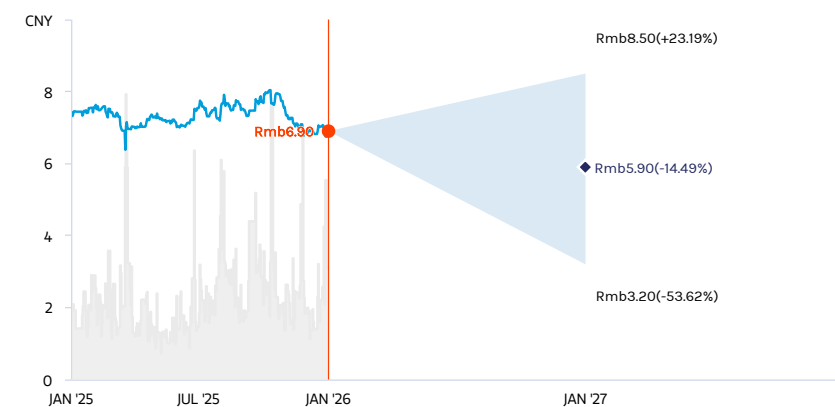
We apply a 30% A-H premium to derive our A-share PT, in line with its past 1-year average premium.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



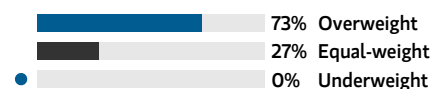
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- Multiple-unit tenders will decline y-y to below 200 sets in 2026e, partly offset by growth in locomotive tenders on the back of the equipment upgrade stimulus.
- We expect maintenance demand to stay relatively robust thanks to a rapid recovery in railway traffic and improving vehicle utilization.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb8.50

15x bull case 2026e EPS

Domestic demand for rolling stock accelerates sharply in 2026, thanks to stronger-than-expected growth in passenger and freight transportation and fast expansion of the railway network in China. Gross margin in metro segment expands notably, thanks to higher ASP.

BASE CASE

Rmb5.90

11x base case 2026e EPS

We project total sales of ~700 sets from MU delivery in 2024-26, vs. 420 sets over 2021-23, up >60%. The urban RTV business should remain muted in 2026.

BEAR CASE

Rmb3.20

6x bear case 2026e EPS

Domestic demand for rolling stock declines in 2026, caused by weaker passenger and freight transportation and slower-than-expected railway network expansion. Gross margin in the metro segment deteriorates due to lower ASP.

Risk Reward – CRRC Corp Ltd (601766.SS)

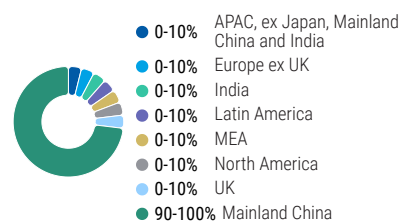
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Total locomotive sales volume growth (%)	(27.3)	20.0	20.0	20.0
Total MUs sales volume growth (%)	46.5	25.0	(28.0)	(10.0)
Total Urban RTV sales volume growth (%)	(3.2)	5.0	0.0	0.0
Gross Margin (%)	21.4	21.7	21.7	21.8

INVESTMENT DRIVERS

- Railway network completion
- Passenger and freight transportation demand
- Metro rail segment gross margin
- Maintenance revenue from MUs

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected procurement by China State Railway Group.
- Stronger-than-expected high-level maintenance demand.

RISKS TO DOWNSIDE

- Weaker-than-expected MU, locomotive and metro train demand.
- Sharp slowdown in new overseas orders.

OWNERSHIP POSITIONING

Inst. Owners, % Active 96%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (Rmb, mn) 263,715.0 273,041.8 290,261.2

EBITDA (Rmb, mn) 24,382.0 27,392 28,730.0
27,100.3

Net income (Rmb, mn) 13,572.0 14,681.1 16,580

EPS (Rmb) 0.5 0.5 0.6

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Shanghai BOCHU Electronic Technology (688188.SS)

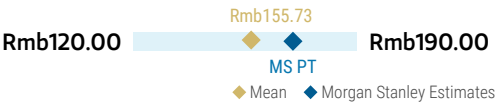
China's leading laser-cutting MCS player expanding to welding robot market

PRICE TARGET Rmb169.00

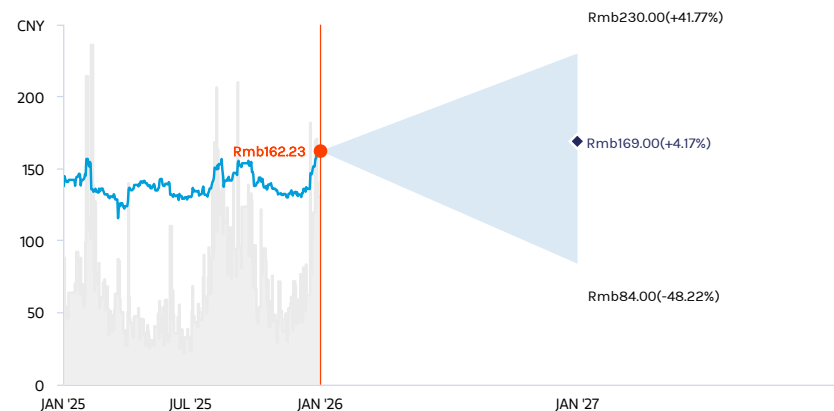
Base case, derived from P/E methodology. Our target multiple is 35x 2026e P/E, this is in-line with Inovance's 35x 2026e P/E for its core business, given Bochu's dominant position in laser cutting motion control system, but it's still below Bochu's 5-year historical average FY2 P/E of 39x on slower revenue growth projections in 2026-27.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



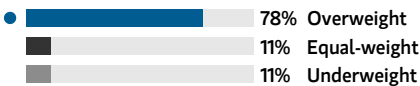
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- As China's largest laser-cutting MCS provider, BOCHU enjoys over 70% market share in the low- to mid-power range, and has become a substitute for foreign brands in the high-power range with market share at >40%, per our estimate.
- It is also building a product ecosystem by providing cutting heads compatible with its high-power MCS products.
- BOCHU is expanding its business scope into the welding robot MCS market to broaden its opportunities for long-term growth.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- Pricing Power: Positive
- Secular Growth: Positive
- Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb230.00

45x 2026e P/E

We anticipate 45% net profit CAGR in 2025-27: We assume the company gains share in the high-power laser MCS market rapidly to >70%; robust cutting head sales; stronger-than-expected demand in welding robot MCS sales; gross margin stay solid at >80% level.

BASE CASE

Rmb169.00

35x 2026e P/E

We anticipate 25% net profit CAGR in 2025-27: We project the company will gradually gain share in the high-power MCS market and maintain its solid position in the low-power MCS market. More diversified product line with more hardware (e.g., cutting head) equipped; Welding robot MCS sales pickup. Mild gross margin contraction due to product mix.

BEAR CASE

Rmb84.00

22x 2026e P/E

We anticipate 10% net profit CAGR in 2025-27: We assume market share loss in the low-to mid-power laser segment and slower-than-expected penetration in the high-power MCS market. Laser export demand softens significantly. Welding robot MCS sales weaker-than-expected due to weak downstream capex plan.

Risk Reward – Shanghai BOCHU Electronic Technology (688188.SS)

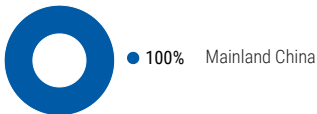
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Low-to-mid power MCS revenue growth (%)	46.5	16.8	13.1	11.7
High-power system MCS revenue growth (%)	(39.9)	35.4	52.2	62.3
Low-to-mid power MCS GPM (%)	84.4	84.2	84.0	83.8
High-power system MCS GPM (%)	89.0	89.0	88.9	88.8

INVESTMENT DRIVERS

- 1) Domestic manufacturing capex momentum
- 2) High-power MCS sales
- 3) Laser cutting head sales
- 4) Welding robot MCS sales

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected market share gains in high-power MCS market.
- Faster-than-expected market expansion in welding MCS market.

RISKS TO DOWNSIDE

- Narrowing demand for low- to mid-power equipment.
- Margin pressure from intensified competition in the low- to mid-power market.
- Unfavorable product mix.

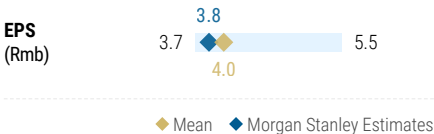
OWNERSHIP POSITIONING

Inst. Owners, % Active 91.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e



Source: Refinitiv, Morgan Stanley Research

Risk Reward – Newway Valve (Suzhou) Co., Ltd (603699.SS)

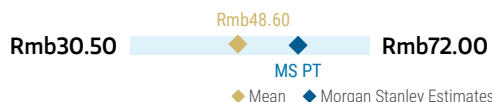
Leader in industrial valve segment with global presence; OW

PRICE TARGET Rmb59.00

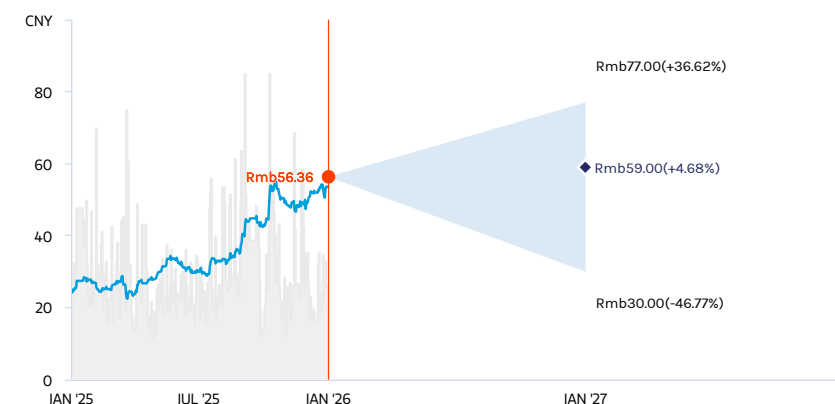
We apply a 25x P/E multiple to our 2026 EPS estimate to derive the price target. This is above the eight-year average two-year forward multiple of 17x but largely in-line with the 23x average for comparable industrial peers. We believe the premium to the stock's historical average is warranted given stronger growth visibility and anticipated margin expansion.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



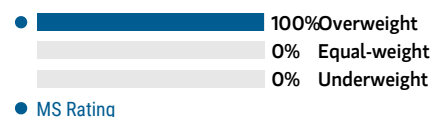
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Newway is reaping the benefits of solid global energy capex in LNG, offshore engineering, and nuclear, supported by the themes of energy security and energy mix diversification.
- We expect continued global market share gains via: 1) downstream expansion - from conventional oil & gas into chemicals, offshore engineering, nuclear, and water treatment; 2) broadening of the product portfolio and greater focus on specialized, higher-margin valves, such as cryogenic valves used in LNG applications.
- As the largest valve manufacturer in China, Newway generates >60% of its revenue from overseas markets and it's building capacity in key growth regions.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: Positive

Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb77.00

30x 2026e base case EPS

25% revenue and 30% net profit CAGRs in 2025-27, supported by: 1) rapid valve demand growth from robust global LNG investments, offshore engineering, and nuclear projects; 2) market share growth in the Middle East, the US, and APAC; and 3) notable margin expansion (NPM >20%) from improved product mix and operational leverage.

BASE CASE

Rmb59.00

25x 2026e base case EPS

19% revenue and 23% net profit CAGRs in 2025-27, driven by: 1) steady valve demand from global LNG investments, offshore engineering, and nuclear projects; 2) market share gains in the Middle East, the US, and APAC; and 3) margin growth from better mix and operational leverage.

BEAR CASE

Rmb30.00

15x 2026e base case EPS

Single-digit revenue and net profit CAGRs in 2025-27, weighed down by: 1) valve demand weakness due to slowing global LNG capex, offshore engineering and nuclear construction; 2) market share losses in the Middle East, the US, and APAC; and 3) margin contraction due to fierce competition.

Risk Reward – Neway Valve (Suzhou) Co., Ltd (603699.SS)

KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Sales (Rmb, mn)	6,238	7,733	8,909	10,099

INVESTMENT DRIVERS

- Global LNG capex
- FPSO and LNG carrier orders
- Middle East NoC capex and orders
- Oil and gas prices

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS



Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Global LNG project approvals and construction accelerate.
- Global nuclear project construction accelerates.
- Market share gains in the Middle East are faster than expected.

RISKS TO DOWNSIDE

- Rapid decline in oil/gas prices weighs on willingness to invest.
- Rising raw material prices hurt gross margins.
- US-China trade tension escalates.

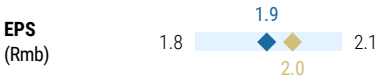
OWNERSHIP POSITIONING



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of December 31, 2025)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1519	41%	415	48%	27%	674	42%
Equal-weight/Hold	1583	43%	362	42%	23%	720	45%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	564	15%	87	10%	15%	216	13%
Total	3,670		865			1611	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (01/21/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb5.48
China Railway Group (0390.HK)	E (08/11/2025)	HK\$4.07
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb5.08
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb49.72
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb21.86
iRay Technology Company Limited (688301.SS)	E (01/16/2025)	Rmb116.71
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb58.91
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb162.72
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb99.37
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK\$31.46
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb16.57
CRRCLtd (1766.HK)	U (01/21/2026)	HK\$6.08
CRRCLtd (601766.SS)	U (01/21/2026)	Rmb6.83
DR Laser (300776.SZ)	E (12/17/2021)	Rmb79.30
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb25.13
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK\$24.20
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb32.70
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb18.48
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb121.12
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb40.66

Leader Harmonious Drive Systems (688017.SS)	O (01/21/2026)	Rmb215.00
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb22.58
Shenzhen Inovance Technology (300124.SZ)	O (05/19/2025)	Rmb80.08
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb107.26
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK\$32.24
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb246.60
Times Electric (3898.HK)	E (01/21/2026)	HK\$41.34
WeiChai Power (2338.HK)	E (09/08/2025)	HK\$24.88
WeiChai Power (000338.SZ)	E (09/08/2025)	Rmb22.56
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb65.56
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb58.91
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb59.74
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb32.18
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb47.66
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK\$8.45
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb8.98

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